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TITLE 6—AGRICULTURAL CREDIT

Chapter III—Farmers Home Administration, Department of Agriculture

Subchapter B—Farm Ownership Loans

[FHA Instruction 428.1]

PART 331—POLICIES AND AUTHORITIES

AVERAGE VALUES OF FARMS; MICHIGAN

On January 3, 1957, for the purposes of Title I of the Bankhead-Jones Farm Tenant Act, as amended, average values of efficient family-type farm-management units for the counties identified below were determined to be as herein set forth. The average values heretofore established for said counties, which appear in the tabulations of average values under § 331.17, Chapter III, Title 6 of the Code of Federal Regulations, are hereby superseded by the average values set forth below for said counties.

MICHIGAN

County:	Average value	County:	Average value
Alcona	$22,000	Ionia	$30,000
Alger	20,000	Iosco	22,000
Allegan	30,000	Iron	20,000
Alpena	22,000	Isabella	28,000
Antrim	20,000	Jackson	30,000
Arenac	22,000	Kalamazoo	30,000
Baraga	20,000	Kalkaska	22,000
Barry	30,000	Kent	30,000
Bay	30,000	Lake	20,000
Benzie	22,000	Lapeer	35,000
Berrien	30,000	Leelanau	27,000
Branch	35,000	Lenawee	35,000
Calhoun	30,000	Livingston	30,000
Cass	30,000	Mackinac	15,000
Charlevoix	20,000	Macomb	35,000
Cheboygan	18,000	Manistee	22,000
Chippewa	18,000	Marquette	18,000
Clare	20,000	Mason	25,000
Clinton	30,000	Mecosta	25,000
Crawford	20,000	Menominee	20,000
Delta	19,000	Midland	28,000
Dickinson	18,000	Missaukee	22,000
Eaton	30,000	Monroe	35,000
Emmet	18,000	Montcalm	25,000
Genesee	32,000	Montmorency	20,000
Gladwin	20,000	Muskegon	25,000
Gogebic	20,000	Newaygo	25,000
Grand Traverse	27,000	Oakland	30,000
Gratiot	30,000	Oceana	25,000
Hillsdale	32,000	Ogemaw	22,000
Houghton	20,000	Ontonagon	20,000
Huron	30,000	Osceola	21,000
Ingham	30,000	Oscoda	22,000

MICHIGAN—Continued

County:	Average value	County:	Average value
Otsego	$20,000	Sanilac	$33,000
Ottawa	30,000	Schoolcraft	18,000
Presque Isle	18,000	Shiawassee	30,000
Roscommon	20,000	Tuscola	30,000
Saginaw	30,000	Van Buren	30,000
St. Clair	35,000	Washtenaw	32,000
St. Joseph	35,000	Wayne	25,000
		Wexford	22,000

(Sec. 41 (i), 60 Stat. 1066; 7 U. S. C. 1015 (i))

Dated: January 16, 1957.

[SEAL] H. C. SMITH,
Acting Administrator,
Farmers Home Administration.

[F. R. Doc. 57-454; Filed, Jan. 22, 1957; 8:49 a. m.]

TITLE 7—AGRICULTURE

Chapter I—Agricultural Marketing Service (Standards, Inspections, Marketing Practices), Department of Agriculture

PART 46—REGULATIONS (OTHER THAN RULES OF PRACTICE) UNDER PERISHABLE AGRICULTURAL COMMODITIES ACT, 1930, AS AMENDED

LICENSES

On December 27, 1956, a notice of proposed rule making was published in the FEDERAL REGISTER (21 F. R. 10338) regarding a proposed revision of regulations, other than rules of practice, of the Perishable Agricultural Commodities Act, 1930, as amended.

After consideration of all relevant matters presented by the fruit and vegetable industry concerning these proposed regulations, set forth in the aforesaid notice, the following regulations are hereby promulgated pursuant to the authority contained in the Perishable Agricultural Commodities Act, 1930 (46 Stat. 537, as amended; 7 U. S. C. 499o):

1. Revise § 46.6 *License fee* to read:

§ 46.6 *License fee.* Each application for license shall be accompanied by the required license fee. Effective February 1, 1957, and thereafter, the annual license fee shall be twenty five dollars

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($25). An application submitted by mail shall be accompanied by the license fee in the form of a money order, bank draft, cashier's check, or certified check made payable to the Agricultural Marketing Service. Thereafter, fees submitted by mail shall be in one of those forms. Field representatives of the Department may also accept applications for licenses, and may accept payment of fees in cash and issue receipts therefor.

2. Revise § 46.8 *Copies of licenses* to read:

§ 46.8 *Copies of licenses.* Copies of licenses may be issued upon request and upon the payment of a fee of $2 for each copy. Each copy shall bear the word "Copy" in conspicuous letters on its face and shall be certified by the Director as a true copy of the original.

3. Revise § 46.9 *Termination of license; notice; renewal* to read:

§ 46.9 *Termination of license; notice; renewal.* Thirty days or more prior to the anniversary date of a valid and effective license, the Director shall mail a notice to the licensee at the latest address known to the Director, advising that the license will automatically terminate on its anniversary date unless the annual fee is paid on or before such date. If the annual fee is not paid by the anniversary date the licensee may obtain a renewal of that license at any time within thirty days by paying the annual fee, plus five dollars ($5). Within sixty days after the termination date of a valid and effective license, the licensee shall be notified that its license has been terminated. No termination notice shall be mailed to a licensee whose license is at that time under suspension due to failure to pay one or more reparation orders on which appeals have not been perfected, or whose license has been suspended because of refusal to make its records available for examination, or whose license has been revoked.

It is hereby found and determined that good cause exists for not postponing the effective date of these amendments later than February 1, 1957, in that: (1) additional revenue is needed to effectively administer the act; (2) it will simplify the computation, by the applicant for license, of fees due for the period business was conducted subject to the act prior to filing an application for license if the effective date of the amendment is on the first day of a month; (3) prior notice was given the public of the proposed amendments of the regulations as well as notice that it was proposed to make the amendments effective February 1, 1957, by having been published in the FEDERAL REGISTER over thirty (30) days prior to the effective date; and (4) the persons affected should require no additional advance time for compliance with these amendments (60 Stat. 238; 5 U. S. C. 1003c).

(Sec. 15, 46 Stat. 537, as amended; 7 U. S. C. 499o)

Dated: January 17, 1957, to become effective February 1, 1957.

[SEAL] ROY W. LENNARTSON,
Deputy Administrator,
Marketing Services.

[F. R. Doc. 57-452; Filed, Jan. 22, 1957; 8:49 a. m.]

Chapter VIII—Commodity Stabilization Service (Sugar), Department of Agriculture

Subchapter B—Sugar Requirements and Quotas

[Sugar Reg. 811, Amdt. 1]

PART 811—CONTINENTAL SUGAR REQUIREMENTS AND AREA QUOTAS

REQUIREMENTS AND QUOTAS FOR 1957

Correction

In Federal Register Document 57-377, published on page 369 of the issue for Friday, January 18, 1957, the tables in amendatory paragraphs 2 and 3 were inadvertently transposed. As corrected, amendatory paragraphs 2 and 3 read as follows:

2. Section 811.91 (a) is amended to read:

§ 811.91 *Quotas for domestic areas.* (a) For the calendar year 1957 quotas for sugar to be brought into or marketed for consumption in the continental United States from domestic areas are established in column (1) and the amounts of such quotas for offshore areas that may be filled by direct-consumption sugar are established in column (2) as follows:

(Short tons, raw value)

Area	(1) Quota	(2) Direct-consumption limits
Domestic beet sugar	1,953,952	no limit
Mainland cane sugar	601,250	no limit
Hawaii	1,090,496	30,700
Puerto Rico	1,140,253	133,064
Virgin Islands	15,549	000

3. Section 811.92 is amended to read:

§ 811.92 *Quotas for foreign countries.* For the calendar year 1957, quotas for sugar to be imported into the continental United States for consumption therein from foreign countries are established in column (1) and the amount of each such quota that may be filled by direct-consumption sugar is established in column (2), as follows:

(Short tons, raw value)

Country	(1) Quotas	(2) Direct-consumption limits
Republic of the Philippines	980,000	59,920
Cuba	3,001,295	375,000
Peru	78,207	9,560
Dominican Republic	61,657	8,523
Mexico	44,409	15,481
Nicaragua	11,731	10,208
Haiti	6,179	6,179
Netherlands	3,453	3,453
China	3,386	3,386
Panama	3,386	3,386
Costa Rica	3,381	3,381
Canada	631	631
United Kingdom	516	516
Belgium	182	182
British Guiana	84	84
Hong Kong	3	3
All other countries	0	0

TITLE 14—CIVIL AVIATION

Chapter I—Civil Aeronautics Board

[Regulation No. SR-419]

PART 42—IRREGULAR AIR CARRIER AND OFF-ROUTE RULES

SPECIAL CIVIL AIR REGULATION; AUTHORITY TO DEVIATE FROM CERTAIN PROVISIONS OF CIVIL AIR REGULATIONS IN CONDUCT OF MILITARY CONTRACT OPERATIONS

Adopted by the Civil Aeronautics Board at its office in Washington, D. C., on the 17th day of January 1957.

By petition dated October 8, 1956, AAXICO Airlines, Inc., Capitol Airways, Inc., and Riddle Airlines, Inc., requested the Board to permit them to carry certain passengers in aircraft in the performance of certain military contract operations without compliance with the passenger-carrying rules prescribed in Part 42 of the Civil Air Regulations and Special Civil Air Regulation No. SR-406C. The petitioners informed the Board that they have entered into contracts with the United States Air Force to provide scheduled cargo service for the Air Force among numerous domestic military installations utilizing a fleet of over forty Curtiss C-46 aircraft. This contract operation is commonly known at the Air Force Logistical Airlift, or "LOGAIR" Service. They state further that the continued efficient operation of LOGAIR is in the interest of national defense and essential for the domestic airlift requirements of the Air Force. The petitioners have advised the Board that it is essential in the performance of these contracts that government couriers traveling with classified information or for the purpose of maintaining security requirements with respect to certain classified cargo be carried. They have also advised that the occasional transportation (deadheading) by one LOGAIR contractor of crew members of another LOGAIR contractor is essential for the efficient operation of LOGAIR.

Petitioners advise that the LOGAIR operation is under the complete operational control of the Air Force; that flight operations are conducted only between Air Force bases; and that all load-

ing, servicing, and scheduling matters are handled by the Air Force.

By letter dated October 12, 1956, the Department of the Air Force officially confirmed the essential information submitted by the petitioners and requested that the Board give favorable consideration to the petitioners' request. In justification of petitioners' request, the Air Force stated in part that LOGAIR is necessary to execute successfully the Air Force mission. In addition the Air Force stated that part of LOGAIR's value to the Air Force is due to the fact that it can carry classified cargo with a maximum of speed and with a minimum of special handling. As the various missile programs develop and other new weapons come into the Air Force inventory, the requirement for this type of transportation will continue to increase. Couriers must be carried on LOGAIR aircraft to effect the safe handling and expeditious delivery of this classified cargo. The Air Force also stated that is was necessary to provide deadhead transportation of LOGAIR flight crew members on aircraft of other LOGAIR contractors because restricting their movement to their own company's aircraft or to commercial carriers that neither originate nor terminate at military installations often results in lengthy delays in LOGAIR schedules that reduce the value of this service as a means of fast and economical transportation.

In addition to the couriers and the deadheading crew members which were the subject of the petitioners' request, the Air Force has requested that authority also be provided to permit the carriage of Air Force route supervisors. The mission of these supervisors is to work out liaison with contractor crews and Air Force personnel from the Air Materiel Command, the Air Defense Command, and the Strategic Air Command. Their areas of responsibility, in addition to normal air terminal operation inspections, include checking weight and balance procedures and adequacy of tiedown techniques, as well as observing the adequacy of the temperature control provided for the cargo compartment during actual flight operations. The route supervisors also evaluate the control tower communications furnished at Air Force bases by Air Force personnel, the adequacy of follow-me vehicles, fire guards, and ramp alert personnel. Most of these activities either directly or indirectly affect the safety of the operation of LOGAIR. These checks on LOGAIR, both on the ground and in the air, are considered by the Air Force to be necessary in assuring a safe, efficient, and dependable airline operation. The Air Force has also stated that the cost resulting from placing passenger-carrying weight limitations on the C–46 aircraft in the LOGAIR operations would be prohibitive.

Section 42.2 (Deviation authority) of Part 42 authorizes the Administrator to permit air carriers conducting operations pursuant to contracts with the military service to deviate from the applicable provisions of Part 42 only, subject to any terms and conditions that the Administrator finds are necessary in the interest of safety. This authority is limited to those operations which the Department of Defense has certified to the Administrator are essential to the national defense and require the requested deviation. It was anticipated by the Board that petitions similar to the one herein discussed would normally have been handled by the Administrator under this deviation authority. However, this authority is not broad enough to permit the Administrator to grant the relief requested in this instance since the petitioners request relief from the provisions of Special Civil Air Regulation No. SR–406C in addition to certain provisions of Part 42. SR–406C contains no deviation authority comparable to that contained in Part 42.

The Board has considered the information submitted by the petitioners and the Air Force in support of the relief requested and finds that a sufficient showing has been made to justify granting such relief through the promulgation of a Special Civil Air Regulation. The Board considers that the carriage of the various categories of personnel as requested would not affect the public interest adversely. The carriage of these persons would, on the contrary, constitute a contribution to the efficiency and safety of essential national defense operations, and, therefore, would be in the public interest.

The provisions of this Special Civil Air Regulation authorize the carriage of military couriers, LOGAIR crew members, and LOGAIR route supervisors in aircraft without compliance with the passenger-carrying rules prescribed in Part 42 and SR–406C.

Prior to engaging in operations pursuant to this Special Civil Air Regulation each operator will be required to give notice to the Administrator of the type and registration number of the aircraft to be used and satisfactory evidence that it is a bona fide contractor acting pursuant to a LOGAIR contract.

Since this Special Civil Air Regulation will neither affect adversely the safety of the public nor impose any additional burden on any person, and because the Board has been advised by the Department of the Air Force that the authority granted by this regulation with respect to LOGAIR operations is necessary to the successful execution of the Air Force mission, the Board finds that omission of notice and public procedure is not contrary to the public interest and that good cause exists for making this regulation effective on less than 30 days' notice.

In consideration of the foregoing, the Civil Aeronautics Board hereby makes and promulgates the following Special Civil Air Regulation effective January 17, 1957.

Subject to conditions hereinafter set forth, the operators listed in Appendix A, and any other operator authorized by the Administrator to be added to such list pursuant to this regulation, may, while conducting operations under an Air Force contract known as LOGAIR, carry the persons listed in subparagraph 1 in aircraft without complying with the passenger-carrying rules prescribed in Part 42 of the Civil Air Regulations and Special Civil Air Regulation No. SR–406C, subject to such terms and conditions as the Administrator may find are necessary in the interest of safety.

1. Military couriers, route supervisors, and LOGAIR flight crew members of other LOGAIR contractors.

2. Each operator shall furnish the Administrator, prior to the carriage of such persons, with a list showing the type aircraft, registration number, and an authorization from the Air Force for the transportation of such persons.

3. The operator shall be responsible for the issuance of appropriate instructions to insure that the persons authorized to be carried will not create any interference with the control of the aircraft.

4. Upon notification by any other bona fide contractors acting pursuant to the above specified LOGAIR contracts, the Administrator of Civil Aeronautics is authorized to add to the list in Appendix A any such operator who he determines meets the requirements of this Special Civil Air Regulation.

This Special Air Regulation shall remain in effect until superseded or rescinded by the Board.

(Sec. 205, 52 Stat. 984; 49 U. S. C. 425. Interpret or apply secs. 601, 603, 604, 52 Stat. 1007, 1009, 1010, as amended; 49 U. S. C. 551, 553, 554)

By the Civil Aeronautics Board.

[SEAL] M. C. MULLIGAN,
Secretary.

APPENDIX A

OPERATOR

AAXICO Airlines, Inc.
Capitol Airways, Inc.
Riddle Airlines, Inc.

[F. R. Doc. 57–550; Filed, Jan. 22, 1957; 8:53 a. m.]

Chapter II—Civil Aeronautics Administration, Department of Commerce

[Amdt. 12]

PART 610—MINIMUM EN ROUTE IFR ALTITUDES

MISCELLANEOUS AMENDMENTS

The minimum en route IFR altitudes appearing hereinafter have been coordinated with interested members of the industry in the regions concerned insofar as practicable. The altitudes are adopted without delay in order to provide for safety in air commerce. Compliance with the notice, procedures, and effective date provisions of Section 4 of the Administrative Procedure Act would be impracticable and contrary to the public interest, and therefore is not required.

Part 610 is amended as follows: (Listed items to be placed in appropriate sequence in the sections indicated).

Section 610.12 *Green civil airway 2* is amended to read in part:

From Grand Rapids, Mich., LFR; to *Lansing, Mich., LFR; MEA 2,000. *2,400—MCA Lansing LFR, eastbound.

Section 610.102 *Amber civil airway 2* is amended to read in part:

From Delta, Utah, LFR; to *Salt Lake City, Utah, LFR; MEA 12,000. *10,000—MCA Salt Lake City, LFR, southbound.

From Riverton, Utah, FM; to Salt Lake City, Utah, LFR, northbound only; MEA 11,000.

Section 610.106 *Amber civil airway 6* is amended to read in part:

From Columbus, Ohio, LFR; to A beam Mansfield, Ohio, LF/RBN; MEA 2,600.

Section 610.208 *Red civil airway 8* is amended to read in part:

From Rushville, INT, Ind.; to *Liberty INT, Ohio; MEA 2,500. *3,000—MCA Liberty INT, eastbound.

Section 610.211 *Red civil airway 11* is amended to read in part:

From Enid (Vance), Okla., LF/RBN; to Mulhall INT, Okla.; MEA 2500.

Section 610.217 *Red civil Airway 17* is amended to read in part:

From Findlay, Ohio, LF/RBN; to Mansfield, Ohio, LF/RBN; MEA 2,700.

Section 610.237 *Red civil airway 37* is amended to read in part:

From Tyler, Tex., LF/RBN; to Hainsville INT, Tex.; MEA 1,700.

Section 610.268 *Red civil airway 68* is amended to read in part:

From Duncanville, Tex., LF/RBN; to Tyler, Tex., LF/RBN; MEA 2,000.

From Tyler, Tex., LF/RBN; to Shreveport, La., LFR; MEA 2,100.

Section 610.603 *Blue civil airway 3* is amended to read in part:

From Muscle Shoals, Ala., LFR; to Int. NE crs Muscle Shoals LFR and SW crs Nashville LFR; MEA 2,500.

Section 610.605 *Blue civil airway 5* is amended to read in part:

From Crescent INT, Okla.; to Mulhall INT, Okla.; MEA 2,500.

From Mulhall INT, Okla.; to Oxford INT, Okla.; MEA 2,400.

Section 610.634 *Blue civil airway 34* is amended to read:

From Terre Haute, Ind. LFR; to Chanute, Ill., LF/RBN; MEA 2,000.

From Chanute, Ill., LF/RBN; to Pontiac INT, Ill.; MEA 2,000.

Section 610.1001 *Direct routes, U. S.* is amended by adding:

From Birmingham, Ala., VOR; to Greenwood, Miss., VOR; MEA *5,000. *1,700—MOCA.

From Greenword, Miss., VOR; to El Dorado, Ark., VOR; MEA *3,000. *1,600—MOCA.

From Baton Rouge, La., VOR; to Jackson, Miss., VOR; MEA *3,000. *2,000—MOCA.

From Baton Rouge, La., VOR; to Monroe, La., VOR; MEA *3,500. *1,500—MOCA.

From Mobile, Ala., VOR; to Jackson, Miss., VOR; MEA *3,500. *2,000—MOCA.

From Marathon, Fla., LF/RBN; to Tamiami, Fla., LF/RBN; MEA 1,100.

Section 610.1001 *Direct routes—U. S.* is amended to read in part:

From Watertown, S. Dak., VOR; to Fargo, N. Dak., VOR; MEA 3,100.

Section 610.6003 *VOR civil airway 3* is amended to read in part:

From Daytona Beach, Fla., VOR; to *Bunnell, INT, Fla.; MEA 1,400. *2,500—MRA.

From Bunnell INT, Fla.; to Jacksonville, Fla., VOR; MEA 1,400.

From Millbury INT, Mass.; to Natick INT, Mass.; MEA *3,000. *2,200—MOCA.

From Natick INT, Mass., to Boston, Mass., VOR; MEA *3,000. *2,300—MOCA.

Section 610.6006 *VOR civil airway 6* is amended to delete:

From Battle Mountain, Nev., VOR; to Wells, Nev., VOR; MEA 120.

From Battle Mountain, Nev., VOR via S alter.; to Elko, Nev., VOR via S alter.; MEA 110.

From Elko, Nev., VOR via S alter.; to Wells, Nev., VOR via S alter., MEA 130.

Section 610.6006 *VOR civil airway 6* is amended by adding:

From Battle Mountain, Nev., VOR; to Elko, Nev., VOR; MEA 11,000.

From Elko, Nev., VOR; to Wells, Nev., VOR; MEA 13,000.

Section 610.6006 *VOR civil airway 6* is amended to read in part:

From *Ogden, Utah, VOR; to **Lost Creek INT, Utah; MEA 12,000. *11,000—MCA Ogden VOR, eastbound. **14,000—MRA.

From Lost Creek INT, Utah; to Ft. Bridger, Wyo., VOR; MEA 12,000.

Section 610.6008 *VOR civil airway 8* is amended to read in part:

From Denver, Colo., VOR via S alter.; to *Bennett INT, Colo., via S alter.; MEA 6,600. *7,000—MRA.

From Bennett INT, Colo., via S. alter.; to Akron, Colo., VOR via S alter; MEA *7,000. *6,600—MOCA.

From Findlay, Ohio, VOR; to Upper Sandusky INT, Ohio; MEA 2,500.

From Upper Sandusky INT, Ohio; to Mansfield, Ohio, VOR; MEA 2,700.

Section 610.6010 *VOR civil airway 10* is amended to read in part:

From Carleton, Mich., VOR; to Detroit River INT, Mich.; MEA 2,000.

From Detroit River INT, Mich.; to Pelee INT, Ontario, Canada; MEA *2,500. *For that airspace over U. S. territory.

From Pelee INT, Ontario, Canada; to Gill INT, Ohio; MEA *7,000. *For that airspace over U. S. territory.

From *Gill INT, Ohio; to N. Perry INT, Ohio; MEA 3,000. *7,000—MCA Gill INT, westbound.

Section 610.6014 *VOR civil airway 14* is amended to read in part:

From Roswell, N. Mex., VOR; to *Caprock INT, N. Mex.; MEA **7,000. *7,500—MRA. **6,600—MOCA.

Section 610.6015 *VOR civil airway 15* is amended to read in part:

From Dallas, Tex., VOR; to *Prosper INT, Tex.; MEA **2,100. *2,900—MRA. **1,900—MOCA.

Section 610.6016 *VOR civil airway 16* is amended to read in part:

From Goldsmith INT, Tex. via N alter; to Midland, Tex., VOR via N alter; MEA 4,300.

From Big Spring, Tex., VOR via S alter.; to Lazy X INT, Tex., via S alter.; MEA 4,000.

From Lazy X INT, Tex., via S alter.; to Abilene, Tex., VOR via S alter.; MEA *4,000. *3,600—MOCA.

Section 610.6017 *VOR civil airway 17* is amended to read in part:

From Spring Branch INT, Tex., via W alter.; to Austin, Tex., VOR via W alter.; MEA 2,800.

Section 610.6022 *VOR civil airway 22* is amended to read in part:

From Greenville INT, Fla., via N alter.; to Lee INT, Fla., via N alter.; MEA *2,500. *1,500—MOCA.

From Lee INT, Fla., via N. alter.; to *Taylor INT Fla., via N. Alter.; MEA **3,000. *3,000—MRA. **1,200—MOCA.

From Taylor INT, Fla., via N alter.; to Bryceville INT, Fla., via N alter.; MEA *2,500. *1,200—MOCA.

Section 610.6026 *VOR civil airway 26* is amended by adding:

From Redwood Falls, Minn., VOR; to Minneapolis, Minn., VOR; MEA 2,200.

Section 610.6032 *VOR civil airway 32* is amended to read in part:

From Bonneville, Utah, VOR; to *Timpie INT, Utah, westbound, MEA 10,000; eastbound, MEA 11,000. *15,000—MRA.

From Timpie INT, Utah; to *Stansbury INT, Utah, westbound, MEA 10,000; eastbound, MEA 11,000. *12,000—MRA.

Section 610.6038 *VOR civil airway 38* is amended to read in part:

From Parkersburg, W. Va., VOR; to Benson INT, W. Va., westbound, MEA 3,500; eastbound, MEA 5,000.

From Benson INT, W. Va.; to Elkins, W. Va., VOR; MEA 5,000.

Section 610.6051 *VOR civil airway 51* is amended to read in part:

From Daytona Beach, Fla., VOR; to *Bunnell INT, Fla.; MEA 1,400. *2,500—MRA.

From Bunnell INT, Fla.; to Jacksonville, Fla., VOR; MEA 1,400.

Section 610.6060 *VOR civil airway 60* is amended to read in part:

From *Pleasant Hill INT, N. Mex.; to Farwell INT, Tex.; MEA **13,000. *15,500—MRA. **5,300—MOCA.

From Farwell INT, Tex.; to Lubbock, Tex., VOR; MEA *10,000. *5,100— MOCA.

Section 610.6066 *VOR civil airway 66* is amended to read in part:

From Midland, Tex., VOR; to *Jack INT, Tex.; MEA **6,200. *6,200—MRA. **4,400—MOCA.

From Jack INT, Tex.; to Lazy X INT, Tex.; MEA *7,200. *3,600—MOCA.

From Lazy X INT, Tex.; to Abilene, Tex., VOR; MEA *4,000. *3,600—MOCA.

From Fort Worth, Tex., VOR; to Denton INT, Tex.; MEA 2,100.

From Denton INT, Tex.; to *Prosper INT, Tex.; MEA **2,900. *2,900—MRA. **2,100—MOCA.

Section 610.6068 *VOR civil airway 68* is amended to read in part:

From Kingsville INT, Tex.; to Brownsville, Tex., VOR; MEA *4,700. *1,300—MOCA.

Section 610.6077 *VOR civil airway 77* is amended to read in part:

From Fort Sill INT, Okla.; to *Chickasha INT, Okla.; MEA **2,800. *4,000—MRA. **2,500—MOCA.

Section 610.6092 *VOR civil airway 92* is amended to read in part:

From Bergholz INT, Ohio; to Wheeling, W. Va., VOR; MEA 3,000.

Section 610.6097 *VOR civil airway 97* is amended to read in part:

From *Hudson INT, Fla., via E alter.; to Cross City, Fla., VOR via E alter.; MEA **2,000. *2,000—MRA. **1,200—MOCA.

Section 610.6144 *VOR civil airway 144* is amended to read in part:

From Findlay, Ohio, VOR; to Upper Sandusky INT, Ohio; MEA 2,500.
From Upper Sandusky INT, Ohio; to Mansfield, Ohio, VOR; MEA 2,700.

Section 610.6163 *VOR civil airway 163* is amended to read in part:

From Brownsville, Tex., VOR; to Kingsville INT, Tex.; MEA *4,700. *1,300—MOCA.
From Kingsville INT, Tex.; to Alice, Tex., VOR; MEA 1,400.

Section 610.6188 *VOR civil airway 188* is amended to read in part:

From Carleton, Mich., VOR; to Detroit River INT, Mich.; MEA 2,000.
From Detroit River INT, Mich.; to Pelee INT, Ontario, Canada; MEA *2,500. *For that airspace over U. S. territory.
From Pelee INT, Ontario, Canada; to Gill INT, Ohio; MEA *7,000. *For that airspace over U. S. territory.
From *Gill INT, Ohio; to N. Perry INT, Ohio; MEA 3,000. *7,000—MCA Gill INT, westbound.
From N. Perry INT, Ohio; to Jefferson, Ohio, VOR; MEA 2,500.

Section 610.6201 *VOR civil airway 201* is amended to read in part:

From Carp INT, Calif.; to *Los Angeles, Calif., VOR; MEA 3,500. *6,000—MCA Los Angeles VOR, northeastbound.

Section 610.6209 *VOR civil airway 209* is amended to read in part:

From *Fillmore, Calif., VOR; to Reyes INT, Calif., northwest bound, MEA 12,500; southeast bound, MEA 9,500. *9,500—MCA Fillmore VOR, northwest bound.
From Reyes INT, Calif.; to Paso Robles, Calif., VOR; MEA *12,500. *9,500—MOCA.

Section 610.6246 *VOR civil airway 246* is amended to read:

From Dayton, Ohio, VOR; to Claiborne INT, Ohio; MEA 2,500.
From Claiborne INT, Ohio; to Mansfield, Ohio, VOR; MEA 2,700.

(Sec. 205, 52 Stat. 984, as amended; 49 U. S. C. 425. Interpret or apply sec. 601, 52 Stat. 1007, as amended; 49 U. S. C. 551)

These rules shall become effective February 12, 1957.

[SEAL] JAMES T. PYLE,
Administrator of Civil Aeronautics.

[F. R. Doc. 57-412; Filed, Jan. 22, 1957; 8:45 a. m.]

TITLE 17—COMMODITY AND SECURITIES EXCHANGES

Chapter II—Securities and Exchange Commission

PART 270—GENERAL RULES AND REGULATIONS, INVESTMENT COMPANY ACT OF 1940

APPLICATIONS REGARDING JOINT ENTERPRISES OR ARRANGEMENTS

On September 12, 1955, the Securities and Exchange Commission published notice that it had under consideration an amendment of § 270.17d-1 (Rule N-17D-1) under the Investment Company Act of 1940 and invited all interested persons to comment upon the proposal. The Commission has considered all comments and suggestions received and has determined to adopt § 270.17d-1 in the form set forth below. The purpose of the amendment is to have the scope of the rule coincide, in general, with the scope of section 17 (d).

The rule would require an application to, and an order issued by the Commission in respect of transactions of affiliated persons of or the principal underwriter for an investment company, on the one hand, and such investment company or a company controlled by such investment company, on the other, involving joint enterprises or other joint arrangements or profit-sharing plans in which such investment company is a joint or a joint and several participant.

This action is taken pursuant to section 17 (d) and section 38 (a) of the Investment Company Act of 1940.

§ 270.17d-1 *Applications regarding joint enterprises or arrangements and certain profit-sharing plans.* (a) No affiliated person of or principal underwriter for any registered investment company (other than a company of the character described in section 12 (d) (3) (A) and (B) of the act) and no affiliated person of such a person or principal underwriter, acting as principal, shall participate in, or effect any transaction in connection with, any joint enterprise or other joint arrangement or profit-sharing plan in which any such registered company, or a company controlled by such registered company, is a participant, and which is entered into, adopted or modified subsequent to the effective date of this rule, unless an application regarding such joint enterprise, arrangement or profit-sharing plan has been filed with the Commission and has been granted by an order entered prior to the submission of such plan or modification to security holders for approval, or prior to such adoption or modification if not so submitted, except that the provisions of this rule shall not preclude any affiliated person from acting as manager of any underwriting syndicate or other group in which such registered or controlled company is a participant and receiving compensation therefor.

(b) In passing upon such applications, the Commission will consider whether the participation of such registered or controlled company in such joint enterprise, joint arrangement or profit-sharing plan on the basis proposed is consistent with the provisions, policies and purposes of the act and the extent to which such participation is on a basis different from or less advantageous than that of other participants.

(c) "Joint enterprise or other joint arrangement or profit-sharing plan" as used in this section shall mean any written or oral plan, contract, authorization or arrangement, or any practice or understanding concerning an enterprise or undertaking whereby a registered investment company or a controlled company thereof and any affiliated person of or a principal underwriter for such registered investment company, or any affiliated person of such a person or principal underwriter, have a joint or a joint and several participation, or share in the profits of such enterprise or undertaking, but shall not include an investment advisory contract subject to section 15 of the act.

(d) Notwithstanding the requirements of paragraph (a) of this section, no application need be filed pursuant to this section with respect to any of the following:

(1) Any profit-sharing plan provided by any controlled company which is not an investment company for its officers or employees, provided no affiliated person of any investment company which is an affiliated person of such controlled company participates therein.

(2) Any plan provided by any registered investment company or any controlled company for its officers or employees if such plan has been qualified under section 401 of the Internal Revenue Code of 1954 and all contributions paid under said plan by the employer qualify as deductible under section 404 of said Code.

Effective: January 10, 1957.

(Sec. 38, 54 Stat. 841; 15 U. S. C. 80a-37)

By the Commission.

[SEAL] ORVAL L. DUBOIS,
Secretary.

JANUARY 10, 1957.

[F. R. Doc. 57-433; Filed, Jan. 22, 1957; 8:45 a. m.]

TITLE 32—NATIONAL DEFENSE

Chapter I—Office of the Secretary of Defense

Subchapter C—Military Personnel

PART 59—ORDERING THE READY RESERVE TO ACTIVE DUTY IN A NATIONAL EMERGENCY DECLARED BY THE PRESIDENT

Sec.
59.1 Purpose.
59.2 Applicability.
59.3 Statutory provisions.
59.4 Policy.

AUTHORITY: §§ 59.1 to 59.4 issued under sec. 208, 66 Stat. 484, as amended, sec. 673, 70A Stat. 28; 50 U. S. C. 928, 10 U. S. C. 673.

§ 59.1 *Purpose.* The purpose of this part is to prescribe uniform policy governing the ordering to active duty of units and individuals in the Ready Reserve in a national emergency declared by the President.

§ 59.2 *Applicability.* This part is applicable to all military departments in the employment of authority, contained in subsection 673 (a), 70A Stat. as amended by subsection 2 (f), 69 Stat. 598, to order to active duty in a national emergency declared by the President, units and individuals in the Ready Reserve.

§ 59.3 *Statutory provisions.* (a) In time of national emergency declared by the President subsequent to January 1, 1953, or when otherwise authorized by law, subsection 673 (a), 70A Stat. as amended by subsection 2 (f), 69 Stat. 598, provides that any unit or any member not assigned to a unit organized to serve as such in the Ready Reserve may, by authority designated by the Secretary concerned, be ordered to active duty for

a period not to exceed 24 consecutive months, without the consent of the persons affected, except that numbers in excess of 1,000,000 may not be required to perform active duty involuntarily at any time unless authorized by the Congress.

(b) When the authority cited in paragraph (a) of this section is employed, subsection 673 (b), 70A Stat. requires that in the interest of fair treatment as between members in the Ready Reserve being considered for involuntary recall to duty, attention shall be given to the duration and nature of previous service with the objective of assuring such sharing of hazardous exposure as the national security and the military requirement will reasonably permit, to family responsibilities, and to employment found to be necessary to the maintenance of the national health, safety, or interest. At such time as the screening of the Ready Reserve under provisions of Part 53 of this chapter, 21 F. R. 3250, becomes current, the requirements of cited subsection 673 (b), 70A Stat. will be considered as having been satisfied. Meanwhile, the provisions of Department of Defense Directive Number 1235.5, subject: Involuntary Recall of Ready Reservists, subsection 233 (b) (2), Armed Forces Reserve Act of 1952 (Public Law 476, 82d Congress), dated September 1, 1953, will apply.

(c) In any expansion of the active Armed Forces of the United States which requires that units and members of the reserve components be ordered into the active military service of the United States, subsection 672 (c), 70A Stat. provides that, insofar as practicable, members of units organized and trained for the purpose of serving as such shall be ordered involuntarily to active duty only with their units, but does not prohibit the reassignment of personnel of such units after being ordered into the active military service of the United States. Policy governing application of this provision is contained in Department of Defense Directive Number 1235.6, subject: Integrity of Units, dated September 22, 1953.

§ 59.4 *Policy.* (a) The authority contained in subsection 673 (a), 70A Stat. to order units or members of the Ready Reserve involuntarily to active duty shall be exercised only on direction of the President.

(b) Where the nature of the emergency permits, the Secretary of Defense, with the advice of the Joint Chiefs of Staff, will determine the numbers and composition of forces to be ordered involuntarily to active duty from the Ready Reserve by each Service, subject to the conditions of paragraph (a) of this section within the 1,000,000 authorized by law or within whatever larger number may have been authorized by the Congress.

(c) Where the nature of the emergency precludes procedures contemplated in paragraph (b) of this section, the 1,000,000 members of the Ready Reserve authorized by law to be ordered involuntarily to active duty may be so ordered by authorities designated by the Secretaries concerned, subject to the conditions of paragraph (a) of this section, in numbers previously allocated to the military services by the Secretary of Defense.

(1) The Joint Chiefs of Staff shall be responsible for providing to the Secretary of Defense on a current basis the recommended numbers which each Service will be authorized to order involuntarily to active duty under such circumstances, based on appropriate war or mobilization plans.

(2) The Joint Chiefs of Staff shall periodically review the allocation made by the Secretary of Defense, for the purpose of recommending such changes as new conditions may dictate.

(d) Where the nature of the emergency indicates imminent attack upon the continental United States, those authorities having been designated by the Secretaries concerned may order to active duty, subject to the conditions of paragraph (a) of this section, those Ready Reserve forces previously determined by the Secretary of Defense, on the recommendation of the Joint Chiefs of Staff, as required for the immediate defense of the continental United States.

(e) The designation of individuals and units of the Ready Reserve to comprise the forces to be ordered involuntarily to active duty by each Service, within numbers determined by the Secretary of Defense in accordance with paragraphs (b), (c), or (d) of this section, shall be the responsibility of the Secretary of the military department concerned.

C. E. WILSON,
Secretary of Defense.

[F. R. Doc. 57-394; Filed, Jan. 19, 1957; 9:32 a. m.]

TITLE 43—PUBLIC LANDS: INTERIOR

Chapter I—Bureau of Land Management, Department of the Interior

Appendix—Public Land Orders

[Public Land Order 1382]

[1825382]

NEVADA

PARTIALLY REVOKING EXECUTIVE ORDER NO. 8578 OF OCTOBER 29, 1940, AS MODIFIED BY EXECUTIVE ORDER NO. 9019 OF JANUARY 12, 1942, WHICH WITHDREW LANDS FOR USE OF THE WAR DEPARTMENT AS AN AERIAL BOMBING AND GUNNERY RANGE

By virtue of the authority vested in the President and pursuant to Executive Order No. 10355 of May 26, 1952, it is ordered as follows:

1. Executive Order No. 8578 of October 29, 1940, as modified by Executive Order No. 9019 of January 12, 1942, reserving public lands in Nevada for use of the War Department as an aerial bombing and gunnery range, is hereby revoked so far as it affects the following-described lands:

a. Beginning at the Northwest corner of T. 1 S., R. 51 E., Mount Diablo Base and Meridian;

Thence East along the Mount Diablo Base line approximately 8.5 miles to the Southeast corner of T. 1 N., R. 51½ E.;

Thence North approximately 1 mile to the Southwest corner of T. 1 N., R. 52 E.;

Thence East along the Mount Diablo Base line approximately 15 miles to the Northeast corner of Section 4, T. 1 S., R. 54 E.;

Thence South along section lines approximately 12 miles to the Southeast corner of Section 33, T. 2 S., R. 54 E.;

Thence West along Township lines approximately 17½ miles to the Southeast corner of T. 2 S., R. 51 E.;

Thence North along the range line approximately 6 miles to the Northeast corner of T. 2 S., R. 51 E.;

Thence West along the Township line approximately 6 miles to the Southwest corner of T. 1 S., R. 51 E.;

Thence North along the range line approximately 5½ miles to the point of beginning.

The area described contains 155,645 acres.

b. Beginning at a point that has coordinates Northing, 911,554.32; Easting, 714,867.37; Latitude 37°15'07.268" N.; Longitude 115°55'42.268" W.; which is the northeast corner of the present Atomic Energy Commission Proving Ground as withdrawn by Public Land Order No. 805, thence

N. 0°32'47" W., 2 miles to the intersection of a line bearing west of the point for a corner of Tps. 7 and 8 S., Rgs. 55 and 56 E.

East, 10 miles along line for Tps. 7 and 8 S.

South, 6 miles to intersection of the 2nd Standard Parallel South and Rgs. 55 and 56 E.

West, 10 miles along said Parallel to east boundary of Public Land Order No. 805.

N. 0°32'47" W., 4 miles along said boundary to point of beginning.

The above described tract will embrace the following lands if and when surveyed:

MOUNT DIABLO MERIDIAN

T. 8 S., R. 54 E.,
Secs. 1 to 4, 9 to 16, 21 to 28, and 33 to 36 inclusive.
T. 8 S., R. 55 E.

The area described contains approximately 38,400 acres.

2. The lands described in paragraph 1 (b) of this order are included in an application for withdrawal (Nev. 043795) filed by the Atomic Energy Commission. With respect to such lands, applications under the public land laws will be suspended in accordance with 43 C. F. R. 295.10 until final action on the application for withdrawal has been taken.

3. The lands are grazing lands in Nye County, Nevada. Vegetation in a typical desert type with some scrub pinon and juniper at the higher elevations which changes to yucca, white burr sage, and annuals as the elevation decreases.

4. No application for the restored lands may be allowed under the homestead, desert-land, small tract or any other non-mineral public-land law unless the lands have already been classified as valuable or suitable for such type of application. Any application that is filed will be considered on its merits. The lands will not be subject to occupancy or disposition until they have been classified.

5. Subject to any valid existing rights and the requirements of applicable law, the public lands released from withdrawal by this order, are hereby opened to filing of applications, selections, and locations in accordance with the following; the unsurveyed lands being opened to such applications, selections, and loca-

tions as are allowable on unsurveyed lands.

a. Applications and selections under the non-mineral public-land laws may be presented to the Manager mentioned below, beginning on the date of this order. Such applications and selections will be considered as filed on the hour and respective dates shown for the various classes enumerated in the following paragraphs:

(1) Applications by persons having prior existing valid settlement rights, preference rights conferred by existing laws, or equitable claims subject to allowance and confirmation will be adjudicated on the facts presented in support of each claim or right. All applications by persons other than those referred to in this paragraph will be subject to the applications and claims mentioned in this paragraph.

(2) All valid applications for surveyed lands under the Homestead, Desert Land, and Small Tract Laws and for unsurveyed lands under the Small Tract Laws by qualified veterans of World War II or of the Korean Conflict, and by others entitled to preference rights under the act of September 27, 1944 (58 Stat. 747; 43 U. S. C. 279–284) as amended, presented prior to 10:00 a. m. on February 21, 1957, will be considered as simultaneously filed at that hour. Rights under such preference right applications filed after that hour and before 10:00 a. m. on May 23, 1957, will be governed by the time of filing.

(3) All valid applications and selections under the nonmineral public-land laws, other than those coming under paragraphs 5 (a) (1) and 5 (a) (2) above, and applications and offers under the Mineral Leasing Laws presented prior to 10:00 a. m. on May 23, 1957, will be considered as simultaneously filed at that hour. Rights under such applications and selections filed after that hour will be governed by the time of filing.

b. The lands described in paragraph 1 (a) will be open to location under the United States mining laws beginning at 10:00 a. m. on May 23, 1957.

6. Persons claiming veterans preference rights under paragraph 5 (a) (2) above, must enclose with their applications proper evidence of military or naval service, preferably a complete photostatic copy of the certificate of honorable discharge. Persons claiming preference rights based upon valid settlement, statutory preference, or equitable claims must enclose properly corroborated statements in support of their claims. Detailed rules and regulations governing applications which may be filed pursuant to this notice can be found in Title 43 of the Code of Federal Regulations.

Inquiries concerning the lands shall be addressed to the Manager, Land Office, Bureau of Land Management, Reno, Nevada.

HATFIELD CHILSON,
Assistant Secretary of the Interior.

JANUARY 16, 1957.

[F. R. Doc. 57–448; Filed, Jan. 22, 1957; 8:48 a. m.]

TITLE 38—PENSIONS, BONUSES, AND VETERANS' RELIEF

Chapter I—Veterans Administration

PART 21—VOCATIONAL REHABILITATION AND EDUCATION

SUBPART B—VETERANS' READJUSTMENT ASSISTANCE ACT OF 1952

COMMENCEMENT; TIME LIMITATIONS

In § 21.2012, a new paragraph (d) is added as follows:

§ 21.2012 *Commencement; time limitations.* * * *

(d) *Special administrative consideration.* (1) Where a fully eligible veteran has timely filed a perfected application with the Veterans Administration and is shown to have been prevented from initiating the program applied for on or before the applicable delimiting date and it is clearly established that his failure to do so was the direct result of one of the following enumerated conditions—and of no other condition—it will be deemed that the provisions of paragraph (a) of this section as to timely initiation have been constructively met:

(i) There is of record a showing that his application was denied through clear and unmistakable error upon the part of the Veterans Administration and the veteran protested the denial within 60 days following the date of notice of denial.

(ii) The applicant relied upon the terms of an erroneous certificate for education and training issued on or prior to the applicable delimiting date which on its face clearly authorized commencement of training at a time following the applicable delimiting date and it is established that the veteran did commence his course within the period provided by the erroneous certificate.

(iii) There is of record a showing—as of the time of the asserted misinformation—that the veteran was erroneously informed by a responsible Veterans Administration employee that he could commence such program after the applicable delimiting date and the veteran did in fact commence his course within the period provided by the misinformation.

(iv) The veteran's application, proper in all respects, having been received in the Veterans Administration not later than the 10th workday immediately preceding the applicable delimiting date, and the veteran establishes by competent evidence that he was in fact prevented from commencing the program of education and training applied for on or before the applicable delimiting date solely because of failure upon the part of the Veterans Administration to issue a proper certificate for education and training on or before the third workday immediately preceding the applicable delimiting date and the veteran protested within 60 days following his delimiting date.

(2) Relief, as provided for in subparagraph (1) of this paragraph, will not be extended in any case where the veteran is unable to establish by competent and acceptable evidence—the burden of proof being upon the veteran—that, but for one of the conditions therein set out, his actual initiation of the program applied for would have been possible on or prior to his delimiting date. In no event will relief be extended as provided in subparagraph (1) (i) and (ii) of this paragraph unless the veteran has commenced or does commence active pursuit of the program applied for not later than the first date as of which students are admitted or 30 days after the date of the notification by the Veterans Administration of his eligibility, whichever is later.

(Sec. 261, 66 Stat. 663; 38 U. S. C. 971)

This regulation is effective January 23, 1957.

[SEAL] JOHN S. PATTERSON,
Deputy Administrator.

[F. R. Doc. 57–520; Filed, Jan. 22, 1957; 8:58 a. m.]

PROPOSED RULE MAKING

DEPARTMENT OF HEALTH, EDUCATION, AND WELFARE

Food and Drug Administration

[21 CFR Part 19]

CHEESES; PROCESSED CHEESES; CHEESE FOODS; CHEESE SPREADS; AND RELATED FOODS; DEFINITIONS AND STANDARDS OF IDENTITY

NOTICE OF PROPOSALS TO ADOPT DEFINITIONS AND STANDARDS OF IDENTITY FOR MOZZARELLA CHEESE, SCAMORZA CHEESE; PART-SKIM MOZZARELLA CHEESE, PART-SKIM SCAMORZA CHEESE

Notice is hereby given that a petition has been filed by the National Cheese Institute, Inc., 110 North Franklin Street, Chicago 6, Illinois, whose members include manufacturers and distributors of various cheeses, setting forth proposals to adopt definitions and standards of identity for mozzarella cheese, scamorza cheese; part-skim mozzarella cheese, part-skim scamorza cheese.

Pursuant to the authority of the Federal Food, Drug, and Cosmetic Act (secs. 401, 701, 52 Stat. 1046, 1055, as amended 70 Stat. 919; 21 U. S. C. 341, 371) and delegated to him by the Secretary of Health, Education, and Welfare (20 F. R. 1996, 21 F. R. 6581), the Commissioner of Food and Drugs invites all interested persons to present their views in writing regarding the proposals published below. Such views and comments should be submitted in quintuplicate, addressed to the Hearing Clerk, Department of Health, Education, and Welfare, Room 5440,

Health, Education, and Welfare Building, 330 Independence Avenue SW., Washington 25, D. C., prior to the thirtieth day following the date of publication of this notice in the FEDERAL REGISTER.

It is proposed that the following new sections be added to Part 19:

§ 19.—. *Mozzarella cheese, scamorza cheese: identity.* (a) Mozzarella cheese, scamorza cheese, is the food prepared from milk and other ingredients specified in this section, by the procedure set forth in paragraph (b) of this section, or by another procedure which produces a finished cheese having the same physical and chemical properties as the cheese produced when the procedure set forth in paragraph (b) of this section is used. It may be made in several shapes. It contains not more than 52 percent of moisture, and its solids contain not less than 45 percent of milk fat, as determined by the methods prescribed in § 19.500 (c).

(b) Milk, which is pasteurized and which may be clarified or homogenized or both, and which may be warmed, may be subjected to the action of harmless lactic-acid-producing bacteria present in such milk or added thereto, or the milk may be acidified with vinegar. Sufficient rennet, rennet paste, or extract of rennet paste (with or without purified calcium chloride in a quantity not more than 0.02 percent, calculated as anhydrous calcium chloride, of the weight of the milk) is added to set the milk to a semisolid mass. The mass is cut, stirred, and allowed to stand, and it may be agitated again and heated. The whey is drained and the curd is cut and piled to promote the separation of the whey from the curd. The curd may be washed with cold water and the water drained off. The curd is placed in bundles for drainage and for ripening. It may be stored under refrigeration or ice or kept at room temperature for further ripening. The curd is cut and is immersed in hot water or heated with steam and is kneaded and stretched until it is smooth and free from lumps. Then it is cut and molded. During the molding the curd is kept sufficiently warm to cause proper sealing of the surface. The molded curd is then firmed by immersion in cold water, may be salted in brine, and dried. A harmless preparation of enzymes capable of aiding in the curing or development of flavor of mozzarella cheese, scamorza cheese may be added during the procedure, in such quantities that the weight of the solids of such preparation is not more than 0.1 percent of the weight of the milk used.

(c) For the purposes of this section:

(1) The word "milk" means cow's milk, which may be adjusted by separating part of the fat therefrom or by adding thereto one or more of the following: Cream, skim milk, concentrated skim milk, nonfat dry milk, water in a quantity sufficient to reconstitute any concentrated skim milk or nonfat dry milk used.

(2) Milk shall be deemed to have been pasteurized if it has been held at a temperature of not less than 143° F. for a period of not less than 30 minutes, or for a time and at a temperature equivalent thereto in phosphatase destruction. Mozzarella cheese shall be deemed not to have been made from pasteurized milk if 0.25 gram shows a phenol equivalent of more than 3 micrograms when tested by the method prescribed in § 19.500 (f), provolone modification.

§ 19.—. *Part-skim mozzarella cheese, part-skim scamorza cheese: identity.* Part-skim mozzarella cheese, part-skim scamorza cheese, conforms to the definition and standard of identity prescribed by § 19.— for mozzarella cheese, scamorza cheese, except that its solids contain less than 45 percent of milk fat, but not less than 30 percent.

Dated: January 17, 1957.

[SEAL] JOHN L. HARVEY,
Deputy Commissioner of Food and Drugs.

[F. R. Doc. 57-440; Filed, Jan. 22, 1957; 8:46 a. m.]

[21 CFR Parts 146a, 146b, 146c, 146d, 146e]

ANTIBIOTIC AND ANTIBIOTIC-CONTAINING DRUGS USED FOR MASTITIS IN DAIRY ANIMALS

NOTICE OF PROPASAL RE WARNING STATEMENT TO BE REQUIRED ON ANTIBIOTIC DRUGS INTENDED FOR INTRAMAMMARY INFUSION

Notice is given that the Commissioner of Food and Drugs, pursuant to the provisions of the Federal Food, Drug, and Cosmetic Act (secs. 507, 701, 52 Stat. 1055, as amended, 59 Stat. 463 as amended; 21 U. S. C. 357, 371) and under authority delegated to him by the Secretary of Health, Education, and Welfare (20 F. R. 1996) hereby offers an opportunity to all interested persons to submit their views in writing to the Hearing Clerk, Department of Health, Education, and Welfare, 330 Independence Avenue SW., Washington 25, D. C., on the proposal set forth below. All views and comments should be submitted in quintuplicate.

It is proposed that all sections of the regulations dealing with antibiotic drugs intended for intramammary infusion in the treatment or prevention of mastitis in dairy animals be amended by adding thereto the following subparagraph:

On the immediate container, if it is intended for use in the prevention or treatment of mastitis in dairy animals by intramammary infusion, the statement "Warning—Milk taken from dairy animals within ___ hours after the latest treatment for mastitis must not be used for human consumption," the blank being filled in with the number 72, unless the person who requests certification has submitted to the Commissioner information adequate to prove that milk from dairy animals treated with the drug as prepared by him contains no antibiotics after a time period that is shorter than 72 hours after the latest treatment. In such cases, the blank shall be filled in with the number 60, or 48, or 36, or 24, as authorized by the Commissioner.

Dated: January 16, 1957.

[SEAL] JOHN L. HARVEY,
Deputy Commissioner of Food and Drugs.

[F. R. Doc. 57-441; Filed, Jan. 22, 1957; 8:46 a. m.]

[21 CFR Part 130]

NEW DRUGS; PROCEDURAL AND INTERPRETATIVE REGULATIONS

NOTICE OF PROPOSAL TO AMEND REQUIREMENTS GOVERNING NEW DRUGS FOR INVESTIGATIONAL USE

Correction

In Federal Register Document 57-378, published on page 386 of the issue for Friday, January 18, 1957, the word "paragraph", in the last sentence of subparagraph (3) of § 130.3 (a), should read "subparagraph".

Public Health Service

[42 CFR Part 71]

FOREIGN QUARANTINE

YELLOW FEVER; DISINSECTING VESSELS AND AIRCRAFT; IMPORTATION OF DOGS, CATS, AND MONKEYS

Notice is hereby given that the Surgeon General of the Public Health Service, with the approval of the Secretary of Health, Education, and Welfare, proposes to amend the Public Health Service Regulations as indicated below, to protect the public health of the United States in accord with amendments to the International Sanitary Regulations adopted by the Eighth World Health Assembly on May 26, 1955, which came into force on October 1, 1956, and to clarify, modify, and strengthen the provisions regarding disinsecting of vessels and aircraft and importation of dogs, cats, and monkeys. Interested persons may submit written data, views, or arguments (in duplicate) in regard to the proposed amendments to the Surgeon General of the Public Health Service, Washington 25, D. C. All relevant material received not later than 30 days after the publication of this notice in the FEDERAL REGISTER will be considered.

1. Section 71.1 (l) would be amended to read as follows:

(l) *Infected local area.* A local area (as defined in the International Sanitary Regulations) where:

(1) There is a nonimported case of cholera or smallpox; or

(2) There is a nonimported case of plague, or there is plague infection among rodents; or

(3) There is a nonimported case of yellow fever, or there is activity of yellow fever virus in vertebrates other than man; or

(4) There is an epidemic of typhus or relapsing fever.

2. Section 71.1 (gg) would be deleted.

3. Section 71.1 (hh) would be amended to read as follows:

(hh) *Yellow fever receptive area.* An area where the yellow fever virus does not exist but where Aedes aegypti or any other domiciliary or peri-domiciliary vector of yellow fever is present and development of the disease, if introduced, would thus be possible.

4. Section 71.9 would be amended to read as follows:

§ 71.9 *Listing of infected and receptive areas.* Each medical officer in charge shall maintain an accurate listing of (a) ports and other areas infected with quarantinable or other communicable diseases, and (b) yellow fever receptive areas.

5. Section 71.90 would be amended to read as follows:

§ 71.90 *Yellow fever; vessels and aircraft; classification.* For the purpose of applying sanitary and quarantine measures against the spread of yellow fever:

(a) An infected vessel means a vessel which has on board on arrival or which during its voyage had on board a case of yellow fever.

(b) An infected aircraft means an aircraft which has on board on arrival a case of yellow fever.

(c) A suspected vessel means a vessel which has left a yellow fever infected local area within 6 days prior to arrival or which arriving within 30 days after leaving such area has Aedes aegypti on board.

(d) A suspected aircraft means an aircraft which has left an airport situated in a yellow fever infected local area bound for a yellow fever receptive area in the United States if on arrival the quarantine officer is not satisfied that it was adequately disinsected before departure from such area or in flight and finds live mosquitoes on board.

(For disinsecting requirements for aircraft and vessels see §§ 71.102 and 71.102a.)

6. The Subpart G heading would be amended to read as follows:

SUBPART G—SANITARY INSPECTION: CONTROL OF RODENTS, INSECTS, AND OTHER VERMIN; DISINFECTION

7. Section 71.101 would be amended to read as follows:

§ 71.101 *General provisions.* Vessels or aircraft arriving at a port under the control of the United States from a foreign port shall be subject to sanitary inspection to ascertain whether there exists rodent, insect, or other vermin infestation, contaminated food or water, or other insanitary condition requiring measures for the prevention of the introduction, transmission, or spread of communicable disease. (For sanitary measures with respect to border traffic see § 71.140.)

8. Section 71.102 would be amended to read as follows:

§ 71.102 *Disinsecting of aircraft.*[1] (a) The following aircraft shall be disinsected:

(1) An infected aircraft as defined in § 71.90.

(2) An aircraft that has left a local area that is infected with yellow fever or an area that is infected with other insect-borne communicable disease, if it has not been adequately disinsected before arrival.

(3) An aircraft that has left any foreign airport where Aedes aegypti exists and arrives at an airport under the control of the United States that has been freed of Aedes aegypti, if it has not been adequately disinsected before arrival.

(b) The medical officer in charge shall accept prearrival disinsecting as adequate if after inspection he determines that such disinsecting has been effective, and the insecticide and disinsecting methods meet the following requirements:

(1) The insecticide shall be either Insecticidal Aerosol G–382, G–651, G–1152, or G–1029, the formulas of which are given below, or an insecticide found by the Surgeon General of the Public Health Service, upon application by an interested person, to be substantially as effective as these aerosols:

FORMULAS FOR INSECTICIDAL AEROSOLS: G–382, G–651, G–1152, AND G–1029

Component	Percent by weight			
	High pressure aerosols		Medium pressure aerosols	
	G–382	G–651	G–1152	G–1029
Pyrethrum extract (20 percent pyrethrins)	5.0	6.0	5.0	6.0
DDT	3.0	2.0	3.0	2.0
Cyclohexanone	5.0	------	5.0	------
Lubricating oil (SAE 30)	2.0	------	2.0	------
Aromatic petroleum derivative solvents: (Velsicol AR60 or Socony Vacuum 544G)	------	8.0	------	6.0
(Velsicol AR50 or Socony Vacuum 544C)	------	------	------	2.0
Trichlorofluoromethane (Freon-11 or Genetron-11)	------	------	25.5	25.2
Dichlorodifluoromethane (Freon-12 or Genetron-12)	85.0	84.0	59.5	58.8

(2) The insecticide shall be dispensed in the amount of not less than 5 grams for each 1,000 cu. ft. of enclosed space in the aircraft, and shall be released or sprayed throughout all accessible compartments.

(3) Disinsecting may be accomplished either while the aircraft is on the ground before take-off from the last airport before arrival in the United States, or after departure from such airport (for compartments accessible in flight). In no case shall disinsecting be accomplished later than 30 minutes before the first landing at a United States port.

(4) The ventilation system shall be stopped and all openings to the exterior kept closed while the insecticide is being released or sprayed, and for a period of at least 3 minutes thereafter. If disinsecting is accomplished on the ground before take-off, the ventilation system may be opened at the end of such period, provided the system is equipped with filters or other means for preventing entry of insects into the aircraft; but doors, windows, or other such openings to the exterior shall be kept closed until after the take-off, except to permit persons applying the insecticide to debark.

(c) An infected or suspected aircraft as defined in § 71.90, or any other aircraft subject to disinsecting under this section which the medical officer in charge deems to present a special hazard of introduction of insect vectors, shall be kept tightly closed on arrival; disinsecting shall be accomplished before discharge of passengers, crew, mail, baggage, cargo, or other material; and no person except quarantine officials shall be allowed on board until disinsecting is completed.

9. Section 71.102a would be added to read as follows:

§ 71.102a *Disinsecting and disinfesting vessels*—(a) *Disinsecting (yellow fever).* (1) The following vessels shall be disinsected:

(i) An infected vessel as defined in § 71.90.

(ii) A vessel arriving from a yellow fever infected local area, if it has not been adequately disinsected before arrival.

(iii) A vessel that has left a port where Aedes aegypti exists and arrives at a port under the control of the United States that has been freed of Aedes aegypti, if it has not been adequately disinsected before arrival.

(2) In a yellow fever receptive area infected vessels shall be moored at least 400 meters from the land until disinsecting required by this paragraph is completed. Other vessels that are required to be disinsected under this paragraph shall be so moored when deemed necessary by the medical officer in charge to prevent the introduction of vectors of yellow fever.

(3) The medical officer in charge shall accept prearrival disinsecting as adequate if after inspection he determines that such disinsecting has been effective, and the insecticide and disinsecting methods meet the requirements specified for aircraft in § 71.102 (b), except that the ventilation system shall be stopped and all openings to the exterior kept closed for a period of at least 15 minutes after the insecticide is released or sprayed.

(b) *Disinfesting (general).* A vessel may be disinfested on arrival if the medical officer in charge considers disinfestation necessary to prevent the spread of infection or for the destruction of insects and other vermin capable of transmitting communicable disease.

10. Section 71.102b would be added to read as follows:

[1] At airports where the hazard of introducing disease-carrying insects exists, it is the policy of the United States Public Health Service to conduct "entomological surveillance" of the airport area. This surveillance consists of periodic entomological surveys carried on by entomologists or trained representatives for the purpose of the early detection and prompt eradication of any insect of public health importance which may unknowingly have been introduced by aircraft.

§ 71.102b *Disinsecting and disinfection of persons and things; Vessels and aircraft.* The person, effects, and baggage of any vermin infested person arriving aboard a vessel or aircraft shall be disinsected and, if necessary in the judgment of the medical officer in charge, disinfected.

11. Section 71.154 would be amended to read as follows:

§ 71.154 *Dogs, cats, and monkeys*—(a) *Definitions.* As used in this section and § 71.155, the term:

(1) "Dog" includes all domestic and wild members of the dog family (Canidae).

(2) "Cat" includes all domestic and wild members of the cat family (Felidae).

(3) "Monkey" includes all monkeys and such other Primates as lemurs, baboons, and chimpanzees.

(4) "United States" means the continental United States, its territories, and possessions (other than the Canal Zone).

(5) "Zoological park" means a place, premises, or an establishment maintained for the exhibition of live animals for recreational or educational purposes.

(b) *General requirements*—(1) *Inspection by quarantine officer.* All dogs, cats, and monkeys brought into the United States from any foreign country shall be inspected by the quarantine officer at the port of arrival. Only animals in which no evidence of communicable disease (see § 71.1 (b)) is revealed shall be admitted.

(2) *Examination by veterinarian at port of arrival; detention of animals.* When a dog, cat, or monkey does not appear to be in good health on arrival (i. e., it has such symptoms as emaciation, lesions of the skin, nervous system disturbances, jaundice, or diarrhea), the medical officer in charge may give the owner or his agent an opportunity to call in a licensed veterinarian to examine the animal and give or arrange for any tests or treatment indicated. The medical officer in charge will consider the findings of any such examination and tests in determining whether the animal may have a communicable disease. The owner shall bear the expense of such examination, tests, and treatment. When it is necessary to detain an animal pending determination of its admissibility, the owner or his agent shall provide satisfactory detention facilities which in the judgment of the medical officer in charge will afford protection against the existence of a health hazard. The owner or his agent shall bear the expense of such detention.

(3) *Report of sickness or death; exposed animals.* (i) A record of sickness or death of dogs, cats, or monkeys en route to the United States shall be made by the person responsible for care of the animals, and shall be submitted to the quarantine officer at the port of arrival. Animals sick or dead while en route or on arrival shall be separated from other animals as soon as discovered.

(ii) When a dog, cat, or monkey appears healthy but, during shipment, has been exposed to a sick or dead animal suspected of having a communicable disease, the exposed animal shall be admitted only if tests or other examination, made at a time when infection with communicable disease could be determined, reveals no evidence that the animal may be infected with such disease. The provisions of subparagraph (2) of this paragraph shall be applicable to such tests or other examination.

(4) *Sanitation.* When the quarantine officer finds that the cages or other containers of dogs, cats, or monkeys arriving in the United States are in an insanitary condition that may constitute a health hazard:

(i) The animals shall not be admitted in such containers unless the owner or his agent has the containers cleaned; and

(ii) The quarantine officer shall report the matter to the customs officer for investigation pursuant to customs regulations regarding importation of animals under inhumane or unhealthful conditions (19 CFR 12.26 (k)).

(c) *Dogs only; rabies vaccination.* (1) Rabies vaccination is required for a dog that is brought into the United States, unless:

(i) For the six months before arrival the dog has been only in a country determined by the Public Health Service to be rabies-free [2]; or

(ii) The owner submits evidence satisfactory to the quarantine officer that the dog is destined for a zoological park, or that it is destined for a research establishment and vaccination would seriously interfere with its use for scientific investigation; or

(iii) The dog on arrival is less than three months of age, in which case it shall be released under surveillance (kept on a leash when outdoors, or otherwise restrained by the owner) and the owner shall certify that the dog will be vaccinated at three months of age and remain under surveillance for one month following vaccination.

(2) Vaccination shall be accomplished with nervous-tissue vaccine more than one month but not more than 12 months before the dog's arrival, or with chicken-embryo vaccine more than one month but not more than 36 months before arrival.

(3) Where vaccination is required, the dog shall be accompanied by a valid certificate of rabies vaccination. This certificate shall: (i) Identify the dog, (ii) be signed by a licensed veterinarian, and (iii) specify that such veterinarian vaccinated the dog with "nervous-tissue" vaccine or with "chicken-embryo" vaccine, on a stated date within the respective time limit provided in subparagraph (2) of this paragraph.

(4) If a dog that is subject to vaccination arrives without a valid certificate of rabies vaccination, it shall not be admitted until it has been vaccinated (except as provided in subparagraph (5) of this paragraph). The owner shall arrange for and bear the expense of this vaccination. Upon admission the dog shall be placed under surveillance (kept on a leash when outdoors, or otherwise restrained by the owner) for at least 30 days.

(5) If a dog arrives with a certificate which is valid except that vaccination was received less than one month before arrival, the dog may be admitted but placed under surveillance until at least 30 days have elapsed since vaccination.

(6) In no case will vaccination be recognized if performed on a dog less than three months of age.

(d) *Dogs and cats; special provisions.* Notwithstanding other provisions of this section, if a dog or cat comes from a locality having a high incidence of rabies and under conditions otherwise indicating that a special hazard of rabies introduction is present, it shall be subject to such additional requirements, or to exclusion, as may be found necessary by the medical officer in charge, and approved by the Chief of the Division of Foreign Quarantine of the Public Health Service, to prevent the introduction of rabies. However, any such dog that has been vaccinated after the age of 3 months as provided in paragraph (c) of this section shall be admitted after 30 days have elapsed since vaccination, if inspection of the animal following this period has revealed no evidence of communicable disease.

(e) *Monkeys only; measures regarding yellow fever.* (1) Monkeys arriving from or having passed through a yellow fever infected local area, or an area in which there is reason to suspect the existence of yellow fever virus, shall be admitted only if inspection of the animals reveals no signs of yellow fever, and there is evidence satisfactory to the medical officer in charge that:

(i) At least nine days have elapsed following their departure from the last such area contacted, or

(ii) They arrive in a mosquito-proof structure, and have been kept in such a structure for at least nine days immediately before arrival, or

(iii) They have an effective immunization against yellow fever.

(2) The structure referred to in subparagraph (1) of this paragraph shall have coverings of mosquito-proof material in at least two layers sufficiently separated to prevent mosquitos from biting the monkeys.

(f) *Dogs, cats, and monkeys in transit.* The provisions of this section shall apply to dogs, cats, and monkeys shipped through the United States from one foreign country to another, except as indicated below:

(1) Animals that appear healthy, but have been exposed to a sick or dead animal suspected of having a communicable disease, need not undergo tests or other examination as provided in paragraph (b) (3) of this section if conditions of their transportation will afford adequate protection to the United States against introduction of communicable disease.

(2) Rabies vaccination is not required for dogs that are shipped by airplane or

[2] A current list of rabies-free countries may be obtained from the Surgeon General, Public Health Service, Department of Health, Education, and Welfare, Washington 25, D. C., Attention: Chief, Division of Foreign Quarantine, or from Public Health Service Quarantine Stations at United States ports.

ship and are retained in custody of the carrier under conditions preventing introduction of rabies.

12. Section 71.155 would be amended to read as follows:

§ 71.155 *Dogs, cats, and monkeys; disposal of excluded animals.* A dog, cat, or monkey excluded from the United States under the regulations in this part shall be exported or destroyed. Pending exportation it shall be detained under customs' custody at the port of arrival at the owner's expense. In an area where Aedes aegypti is present, monkeys not meeting requirements of paragraph (e) of § 71.154 shall be detained in a mosquito-proof structure as described in that paragraph, pending disposal.

13. Section 71.605 (a) would be amended to read as follows:

(a) Every port, and the area within the perimeter of every airport, shall be kept free from Aedes aegypti in its larval and adult stages.

(Sec. 215, 58 Stat. 690, 42 U. S. C. 216. Interpret or apply secs. 361–369, 58 Stat. 703–706; 42 U. S. C. 264–272)

Dated: January 10, 1957.

[SEAL] L. E. BURNEY,
Surgeon General.

Approved: January 16, 1957.

M. B. FOLSOM,
Secretary.

[F. R. Doc. 57-442; Filed, Jan. 22, 1957; 8:46 a. m.]

DEPARTMENT OF LABOR

Wage and Hour Division

[29 CFR Part 545]

HOMEWORKERS IN NEEDLEWORK AND FABRICATED TEXTILE PRODUCTS INDUSTRY IN PUERTO RICO

NOTICE OF PROPOSED RULE MAKING

In accordance with section 4 of the Administrative Procedure Act (5 U. S. C. 1003), and pursuant to authority under the Fair Labor Standards Act of 1938 (52 Stat. 1060, as amended; 29 U. S. C. 201 et seq.), Reorganization Plan No. 6 of 1950 (5 U. S. C. 611) and General Order No. 45–A (15 F. R. 3290), notice is hereby given that I propose to amend Part 545 (29 CFR Part 545) as hereinafter set forth.

Prior to any final action on this proposal, consideration will be given to any data, views or arguments pertaining thereto which are submitted in writing to the Administrator, Wage and Hour and Public Contracts Divisions, United States Department of Labor, Washington 25, D. C., within thirty days from publication of this notice in the FEDERAL REGISTER.

Signed at Washington, D. C., this 15th day of January 1957.

NEWELL BROWN,
Administrator, Wage and Hour and Public Contracts Divisions.

1. The caption of Part 545 is amended to read: "Part 545—Homeworkers in the Fabric and Leather Glove Industry; the Handkerchief, Square Scarf, and Art Linen Industry; the Children's Dress and Related Products Industry; the Women's and Children's Underwear Industry; and the Needlework and Fabricated Textile Products Industry in Puerto Rico."

2. Section 545.1 is amended to read:

§ 545.1 *Applicability.* The provisions of this part shall apply to persons in activities relating to homeworkers engaged in commerce or in the production of goods for commerce in the fabric and leather glove industry; the handkerchief, square scarf, and art linen industry; the children's dress and related products industry; the women's and children's underwear industry; and the needlework and fabricated textile products industry in Puerto Rico as defined in Parts 715, 716, 717, 718, and 719 of this chapter.[1]

3. Footnote 2 to § 545.3 (a) is amended to read:

[2] See § 545.13 for the schedule of piece rates prescribed in accordance with § 545.9. As an example of how to state the piece rate schedule designation, if "plain scallops" are to be made on articles in the "children's dress and related products industry," the full piece rate schedule designation would be "Operation 74, Col. 3."

4. Footnote 4 to § 545.7 (c) is redesignated footnote 5 and amended to read:

[5] See footnote 4.

5. Section 545.9 is amended to read:

§ 545.9 *Minimum piece rates prescribed by the Administrator.* Pursuant to the provisions of section 6 (a) (2) of the act, each homeworker shall be paid in lieu of the applicable hourly rate established by the wage orders for the fabric and leather glove industry; the handkerchief, square scarf, and art linen industry; the children's dress and related products industry; the women's and children's underwear industry; and the needlework and fabricated textile products industry, not less than the piece rates prescribed in § 545.13 for the operations described therein.

6. Delete footnote 5 to § 545.10 (a).

7. Section 545.13 is amended to read:

§ 545.13 *Piece rates established in accordance with § 545.9.*

SCHEDULE A—PIECE RATES SCHEDULE FOR THE WOMEN'S AND CHILDREN'S UNDERWEAR INDUSTRY, THE CHILDREN'S DRESS AND RELATED PRODUCTS INDUSTRY, AND THE BLOUSE AND NECKWEAR CLASSIFICATION OF THE NEEDLEWORK AND FABRICATED TEXTILE PRODUCTS INDUSTRY IN PUERTO RICO [1]

No.	Operation	Women's and children's underwear industry		Children's dress and related products industry	Blouse and neckwear classification, needlework and fabricated textile products industry	Unit of payment
		Silk and synthetic underwear (1)	Cotton underwear (2)	(3)	(4)	
		Cents	*Cents*	*Cents*	*Cents*	
1	Arenilla (seed stitch), close, ½" squares	42.00	37.80	42.00	48.00	Per dozen squares.
2	Arenilla (seed stitch), scattered, ½" squares.	21.00	18.90	21.00	24.00	Do.
3	Arrows, filled in, ¼"	10.50	9.45	10.50	12.00	Per dozen.
4	Back stitch on yokes, armholes, etc	[2] 23.33	[2] 21.00	33.33	40.00	Per yard.
5	Basting bias with cord	11.55	10.41	11.55	13.20	Do.
6	Basting darts before sewing	[2] 12.18	[2] 10.97	17.50	20.88	Do.
7	Basting for fagoting	3.16	2.85	3.16	3.61	Do.
8	Basting hems, 1" to 6" wide	[2] 7.00	[2] 6.30	10.00	12.00	Do.
9	Basting lace incidental to sewing on lace with solid cord stitch.	6.05	5.44	6.05	6.91	Do.
10	Basting waist lines, plackets, and facings, 2 to 3 stitches per inch.	[2] 4.38	[2] 3.95	6.26	7.50	Do.
11	Bias piping, joined, double, over 10 stitches per inch.	14.00	12.60	14.00	16.00	Do.
12	Bias piping, joined, single, over 10 stitches per inch.	17.50	15.75	17.50	20.00	Do.
13	Bias piping, second seam joined double, set flat on garment with running stitch.	21.09	18.97	21.09	24.10	Do.
14	Blanket stitch, folding included, 18 stitches per inch.	39.67	35.70	39.67	45.34	Do.
15	Buttons sewed on with double thread, 2 to 3 stitches.	[2] 4.57	[2] 4.11	6.51	7.82	Per dozen.
16	Buttonhole, stamped, ¾" long	[2] 15.10	[2] 13.58	21.54	25.85	Do.
17	Buttonholes, stamped, ½" long	[2] 20.07	[2] 18.06	28.69	34.42	Do.
18	Buttonhole stitch, close	31.50	28.35	31.50	36.00	Per yard.
19	Buttonhole stitch for joining seams	31.50	28.35	31.50	36.00	Do.
20	Cord, twisted, over basting	3.50	3.15	3.50	4.00	Per dozen inches.
21	Cutting material applied over lace with solid cord stitch.	4.80	4.32	4.80	5.49	Per yard.
22	Cutting material under lace or at seams, straight outline, following handsewing operation.	1.97	1.77	1.97	2.25	Do.
22.1	Cutting material under lace or at seams, straight outline following machine operations (formerly operation No. 93).	3.15	3.15	[2] 2.81	3.38	Do.
23	Dots, baby, not finished off, 2 to 3 stitches	2.92	2.64	2.92	3.34	Per dozen.
24	Dots, medium, not filled in, finished off, 8 to 9 stitches.	4.62	4.18	4.62	5.28	Do.
25	Eyelets, up to 1/8" diameter	7.80	7.03	7.80	8.91	Do.
26	Eyelets, 3/16" diameter	14.00	12.60	14.00	16.00	Do.
27	Fagoting, straight lines	48.75	43.87	48.75	55.71	Per yard.
28	Fagoting, twisted lines	23.33	21.00	23.33	26.66	Do.
29	Feather stitch, 12 stitches per inch	23.33	21.00	23.33	26.66	Do.
30	Feather stitch cord	12.28	11.06	12.28	14.03	Do.
31	Flat fell seams, first seam by machine	[2] 13.67	[2] 12.30	19.51	23.42	Do.
32	Flat roll	[2] 10.62	[2] 9.55	15.14	18.17	Do.

See footnotes at end of table.

[1] Persons engaged in activities relating to homeworkers in other industries in Puerto Rico are subject to Part 681 of this chapter.

SCHEDULE A—PIECE RATES SCHEDULE FOR THE WOMEN'S AND CHILDREN'S UNDERWEAR INDUSTRY, THE CHILDREN'S DRESS AND RELATED PRODUCTS INDUSTRY, AND THE BLOUSE AND NECKWEAR CLASSIFICATION OF THE NEEDLEWORK AND FABRICATED TEXTILE PRODUCTS INDUSTRY IN PUERTO RICO [1]—Continued

No.	Operation	Women's and children's underwear industry		Children's dress and related products industry	Blouse and neckwear classification, needlework and fabricated textile products industry	Unit of payment
		Silk and synthetic underwear (1)	Cotton underwear (2)	(3)	(4)	
		Cents	*Cents*	*Cents*	*Cents*	
33	French knots, not finished off	1.46	1.31	1.46	1.67	Per dozen.
34	French seams, over 12 stitches per inch	[2] 8.75	[2] 7.89	12.50	15.00	Per yard.
35	French seams, first seam by machine, 9 to 12 stitches per inch.	[2] 5.78	[2] 5.18	8.26	9.90	Do.
36	Furunecos, with tape	52.50	47.25	52.50	60.00	Do.
37	Furunecos, without tape	42.00	37.80	42.00	48.00	Do.
38	Guariquenas	3.50	3.15	3.50	4.00	Per dozen.
39	Half roll (with colored or emb. thread)	11.48	10.34	11.48	13.12	Per yard.
40	Hemming stitch for felling, 2 to 3 stitches per inch.	[2] 6.12	[2] 5.51	8.74	10.50	Do.
41	Hemming stitch for felling cuffs, collars, plackets and waist bands, 8 to 10 stitches per inch.	[2] 15.66	[2] 14.09	22.37	26.85	Do.
42	Hemstitch double (tru-tru), 4 threads in a bundle, thread drawing not included.	43.40	39.06	43.40	49.60	Do.
43	Hemstitch, single, 4 threads in a bundle, thread drawing not included.	22.78	20.53	22.78	26.03	Do.
44	Lace, joined with whipping switch	36.46	32.81	36.46	41.67	Do.
45	Lace, sewed on with hemming stitch or round roll.	17.50	15.75	17.50	20.00	Do.
46	Leaves, open, ¼" long	14.00	12.60	14.00	16.00	Per dozen.
47	Leaves, open ⅜" to ½" long	21.00	18.90	21.00	24.00	Do.
48	Leaves, simple	1.31	1.20	1.31	1.50	Do.
49	Leaves, solid, not finished off, ⅛" long	3.84	3.45	3.84	4.39	Do.
50	Leaves, solid, not finished off, ¼" long	4.67	4.20	4.67	5.34	Do.
51	Leaves, solid, not finished off, ⅜" to ½" long.	7.00	6.30	7.00	8.00	Do.
52	Leaves, solid, finished off, ⅝" to ¾" long	14.00	12.60	14.00	16.00	Do.
53	Loops, knitted, ¼ inch	4.38	3.94	4.38	5.00	Do.
54	Loops, knitted, 1 inch to 1½ inch	7.36	6.63	7.36	8.41	Do.
55	Loops, made with buttonhole stitch	10.50	9.45	10.50	12.00	Do.
56	Mounting fagoting appliques, including pinning and basting to garment, first seam with running stitch, felled seam with hemming stitch.	41.82	37.66	41.82	47.79	Per yard.
57	Overcasting seams	[2] 7.44	[2] 6.70	10.64	12.77	Do.
58	Pasadas, short, 1 inch to 8 inches	----------	3.27	----------	----------	Per dozen pasadas.
59	Patches, sewed on with single point de turc.	69.72	62.74	69.72	79.68	Per yard.
59.1	Patches, rectangular, sewed on with blind stitch, up to 1½".	4.40	3.96	4.40	5.03	Per dozen inches.
59.2	Patches, sewed on with solid cord, cutting and basting included.	68.60	61.74	68.60	78.40	Per yard.
60	Pin stitch, thread drawing not included, 1" squares.	84.00	75.60	84.00	96.00	Per dozen squares.
61	Point de turc, double, with embroidery thread.	34.82	31.36	34.82	39.80	Per yard.
62	Point de turc, plain, with embroidery thread.	20.42	18.36	20.42	23.34	Do.
63	Randa, bundles twisted but not tied, thread drawing not included.	8.75	7.87	8.75	10.00	Do.
64	Randa, Don Gonzalez, thread drawing not included.	36.75	33.06	36.75	42.00	Do.
65	Randa, Mexican, tied at center only, thread not included.	10.50	9.45	10.50	12.00	Do.
66	Ribbons, setting ends of	4.80	4.32	4.80	5.48	Per dozen.
67	Rolling armholes and reboques	[2] 17.88	[2] 16.10	25.54	30.65	Per yard.
68	Rose buds, worm stitch, 4 worms, 1 or 2 colors or tones.	10.40	9.36	10.40	11.88	Per dozen.
69	Running stitch on darts, 8 to 10 stitches per inch.	[2] 8.75	[2] 7.89	12.50	15.00	Per yard.
70	Running stitch for felling, very close stitch.	[2] 8.75	[2] 7.89	12.50	15.00	Do.
71	Running stitch on hems up to 1" wide, 12 stitches per inch.	[2] 9.40	[2] 8.45	13.46	16.15	Do.

See footnotes at end of table.

SCHEDULE A—PIECE RATES SCHEDULE FOR THE WOMEN'S AND CHILDREN'S UNDERWEAR INDUSTRY, THE CHILDREN'S DRESS AND RELATED PRODUCTS INDUSTRY, AND THE BLOUSE AND NECKWEAR CLASSIFICATION OF THE NEEDLEWORK AND FABRICATED TEXTILE PRODUCTS INDUSTRY IN PUERTO RICO [1]—Continued

No.	Operation	Women's and children's underwear industry		Children's dress and related products industry	Blouse and neckwear classification, needlework and fabricated textile products industry	Unit of payment
		Silk and synthetic underwear (1)	Cotton underwear (2)	(3)	(4)	
		Cents	*Cents*	*Cents*	*Cents*	
72	Running stitch on lace	9.29	8.35	9.29	10.61	Per yard.
73	Running stitch for plain sewing	[2] 6.32	[2] 5.69	9.04	10.85	Do.
74	Scallops, plain, cutting included	35.23	31.69	35.23	40.26	Do.
75	Shadow stitch, up to ⅜" wide	67.67	60.90	67.67	77.34	Do.
76	Shell, 4 to 5 stitches per inch	12.00	10.82	12.00	13.71	Do.
77	Shirring, material to be measured before shirring.	7.05	6.35	7.05	8.06	Do.
78	Shirring and basting lace edging, material to be measured after shirring.	8.47	7.64	8.47	9.68	Do.
79	Shirring and setting lace edging with hemming stitch on straight outline, material to be measured after shirring.	15.22	13.70	15.22	17.39	Do.
80	Shoulder straps, set with buttonhole stitch, 14½" x ¼", measured after turning, sewing up to ⅜" at each end at strap.	41.37	37.22	----------	----------	Per dozen straps.
81	Size tickets set with hemming stitch, cutting tickets included.	[2] 7.00	[2] 6.30	10.00	12.00	Per dozen inches.
82	Smocking	.29	.26	.29	.33	Per dozen stitches.
83	Snaps, sewing on, both sides	[2] 7.00	[2] 6.30	10.00	12.00	Per dozen.
84	Solid cord stitch on gores and embroidery.	32.90	29.63	32.90	37.60	Per yard.
85	Solid cord stitch to sew on lace	29.75	26.76	29.75	34.00	Do.
86	Spiders, 4 legs	7.00	6.30	7.00	8.00	Per dozen.
87	Spiders, 8 legs	13.68	12.32	13.68	15.63	Do.
88	Tacks, set for fagoting	3.50	3.16	3.50	4.00	Do.
89	Tucks, stamped, 1/16" to ¼" wide, up to 6" long.	10.95	9.85	10.95	12.52	Do.
90	Tucks, pin, stamped up to 7" long	11.54	10.38	11.54	13.19	Do.
91	Tucks, pin, unstamped, up to 6" long	14.00	12.60	14.00	16.00	Do.
93	(See operation No. 22.1.)					
94	Turning belts, machine sewn, 29" x ½" measured after turning.	13.02	13.02	11.62	13.95	Per dozen belts.
95	Turning belts, machine sewn, 60" x ½", measured after turning.	16.54	16.54	14.77	17.73	Do.
96	Turning shoulder pads, 5¾" long, with an unsewed slit of 1" for turning.	8.45	8.45	7.54	9.05	Per dozen pads.
97	Turning shoulder straps, 14½" x ¼", measured after turning.	25.95	25.95	----------	----------	Per dozen straps.

[1] For definitions of "hand-embroidery," "hand-sewing," and "other operations," and current minimum wage rates, see applicable sections of wage orders.

[2] Piece rate not applicable when operation is performed on a wholly machine made item.

SCHEDULE B—PIECE RATE SCHEDULE FOR THE HANDKERCHIEF, SQUARE SCARF, AND ART LINEN INDUSTRY IN PUERTO RICO [1]

No.	Operation	Piece rate (cents)	Unit of payment
99	Arenillas (seed stitch), close, ½" squares	30.00	Per dozen squares.
100	Arenillas (seed stitch), scattered, ½" squares	15.00	Do.
101	Arrows, filled in, ¼" long	7.50	Per dozen.
102	Basting lace for setting with straight sewing stitch	1.43	Per dozen inches.
103	Basting stitch for trimming, forming crosses, etc., 4 stitches per inch	1.25	Do.
103.1	Basting and folding hem on edges up to 1½" hem	.98	Do.
104	Blind hemstitch	5.00	Do.
105	Buttonhole stitch, 16 stitches per inch	5.00	Do.
106	Buttonhole stitch, 24 to 30 stitches per inch	7.50	Do.
107	Chain stitch, 4 stitches per inch	1.25	Do.
108	Chain stitch, 8 stitches per inch	2.50	Do.
109	Cord, solid, on stem	7.83	Do.

[1] For definitions of "hand embroidery" and "other operations" and current minimum wage rates, see applicable section of wage order.

SCHEDULE B—PIECE RATE SCHEDULE FOR THE HANDKERCHIEF, SQUARE SCARF, AND ART LINEN INDUSTRY IN PUERTO RICO [1]—Continued

No.	Operation	Piece rate (cents)	Unit of payment
110	Cord, twisted, over basting	2.50	Per dozen inches.
111	Cord or embroidery solid, without filling, up to 1/8" thick [2]	7.50	Do.
112	Crouching or flat cord, 4 stitches per inch	1.25	Do.
113	Cross stitch, 6 crosses per inch	5.33	Do.
114	Cut work with buttonhole stitch, 24 to 30 stitches per inch	10.00	Do.
114.1	Daisies, 12 to 15 stitches, with double embroidery thread	7.50	Per dozen
115	Diamonds, filled in, 1/4" to 3/8" wide	7.50	Do.
116	Dots, baby, not finished off, 2 to 3 stitches	2.08	Do.
117	Dots, large, not filled in, finished off, 12 stitches	3.75	Do.
118	Dots, large, filled in, finished off, over 12 stitches	7.50	Do.
119	Dots, large, not filled in, finished off, over 12 stitches	5.00	Do.
120	Dots, medium, not filled in, finished off 8 to 9 stitches	3.30	Do.
120.1	Dots, medium, in groups, not finished off, 5 stitches with double embroidery thread.	2.13	Do.
120.2	Dots, medium, in groups, finished off, 5 stitches, with double embroidery thread.	2.83	Do.
121	Embroidery, solid 3/16 to 3/4 thick, averages 28 stitches per inch [2]	10.00	Per dozen inches.
122	Embroidery, solid, straight or diagonal, same as image stitch, filled in, loose.	10.00	Do.
123	Embroidery, solid, straight or diagonal, same as image stitch, not filled in, loose.	7.50	Do.
124	Eyelets, 1/8 diameter	5.58	Per dozen.
125	Feather stitch, 12 stitches per inch	5.56	Per dozen inches.
126	Feather stitch cord	2.93	Do.
127	Flat hems without pasada	5.09	Do.
128	French knots, not finished off	1.05	Per dozen.
128.1	French knots, finished off, with double embroidery thread	2.00	Do.
129	Guariquenas	2.50	Do.
130	Hand or French rolling, 10 stitches or less per inch	7.07	Per 48 inches.
131	Hand or French rolling, 11 stitches or more per inch	8.49	Do.
132	Hand-rolling 1 side of a corner; the piece rate shall apply under the following conditions: (a) The machine-stitching runs to the end on 1 side of each corner; and on the other side, the space left open for hand-rolling at the corner is not less than 1/4" nor more than 1"; and (b) Only 1 side of each corner is hand-rolled; and the hand-rolling is not longer than 1".	16.67	Per dozen handkerchiefs.
133	Hand-rolling both sides of a corner; the piece rate shall apply under the following conditions: (a) The machine-stitching does not run to the end of either side of any corner; and the space left open for hand-rolling at each side of the corners is not less than 1/4" nor more than 1"; and (b) Both sides of the corners are hand-rolled; but the hand-rolling is not longer than 1 inch on either side of any corner.	33.33	Do.
134	Hand-rolling both sides of a corner; the piece rate shall apply under the following conditions: (a) The machine-stitching runs to the end on 1 side of each corner; and on the other side, the space left open for hand-rolling at the corner is not less than 1/4" nor more than 1"; and (b) Both sides of the corners are hand-rolled; but the hand-rolling is not longer than 2 inches on any corner.	41.67	Do.
135	Hemstitch, double (tru-tru), 4 threads in a bundle, thread drawing not included.	10.33	Per dozen inches.
136	Hemstitch, single, 4 threads in a bundle, thread drawing not included	5.43	Do.
137	Initials, simple, with hoops	25.00	Do.
138	Initials, simple, without hoops	15.50	Do.
139	Lace, joined at corners with hemming stitch	7.50	Do.
140	Leaves, simple	.93	Per dozen.
141	Leaves, solid, not finished off, 1/4" long	3.33	Do.
142	Leaves, solid, not finished off, 3/8" to 1/2" long	5.00	Do.
143	Leaves, solid, not finished off, 5/8" to 3/4" long	10.00	Do.
144	Loops, made with worm stitch, 1/4"	1.67	Do.
145	Pasadas, 11" x 11" to 14" x 14", linen up to 1,600 count, inclusive	[3] 5.00	Per dozen pasadas.
146	Pasadas, 11" x 11" to 14" x 14", linen 1,700 count and over	[3] 7.00	Do.
147	Pasadas, 15" x 15", linen up to 1,600 count, inclusive	[3] 8.50	Do.
148	Pasadas, 15" x 15", linen 1,700 count and over	[3] 10.50	Do.
149	Pasadas, 16" x 16" to 20" x 20", linen up to 1,400 count inclusive	[3] 12.00	Do.
150	Pasadas, short, 1" to 7", linen up to 1,600 count inclusive	[3] 2.60	Do.
	Pasadas, short:		
151	Cambric, 1" to 10"	5.00	Do.
152	Crash, 1" to 10"	3.75	Do.
153	Cambric, 10 1/2" to 18"	10.00	Do.
154	Crash, 10 1/2" to 18"	7.50	Do.

See footnotes at end of table.

SCHEDULE B—PIECE RATE SCHEDULE FOR THE HANDKERCHIEF, SQUARE SCARF, AND ART LINEN INDUSTRY IN PUERTO RICO [1]—Continued

No.	Operation	Piece rate (cents)	Unit of payment
155	Patches, circular, sewed on with hemming stitch, cutting included	5.47	Per dozen inches.
156	Patches, irregular outline, sewed on with hemming stitch, cutting included.	9.53	Do.
156.1	Patches, irregular outline, sewed on with blind stitch, up to inches	7.00	Do.
156.2	Patches, irregular outline, sewed on with blind stitch, over 4 inches	3.56	Do.
157	Patches, rectangular, sewed on with hemming stitch, cutting included	4.49	Do.
158	Pin stitch, thread drawing not included, 1" squares	60.00	Per dozen squares.
159	Randa, Don Diego, thread-drawing not included	11.25	Per dozen inches.
160	Randa, Mexican, tied at center only, thread drawing not included	2.50	Do.
161	Randa, simple, not stitched at either side, thread drawing not included	1.89	Do.
162	Rose buds, worm stitch, 4 worms, 2 colors or tones	7.42	Per dozen.
163	Scallops, plain, cutting included	8.39	Per dozen inches.
164	Shadow stitch, up to 3/8" wide	16.11	Do.
165	Spiders, 4 legs	5.00	Per dozen.
166	Spiders, 8 legs	9.78	Do.

[1] For definitions of "hand embroidery" and "other operations" and current minimum wage rates, see applicable section of wage order.

[2] These piece rates have been set on the basis of O. N. T. thread No. 5, corded, which average 28 stitches per inch of solid cord. If corded threads are used which are not so thick, the rate should be increased in proportion to the increase in the number of stitches per inch. If corded thread No. 11 is used, 15 percent must be added to the piece rates established for thread No. 5.

[3] For each additional count of 100, add 1 cent.

SCHEDULE B—PIECE RATE SCHEDULE FOR THE HANDERCHIEF, SQUARE SCARF, AND ART LINEN INDUSTRY IN PUERTO RICO [1]

No.	Operation	Piece rate (cents) (1) Cambric	Piece rate (cents) (2) Crash	Unit of payment
	THREAD DRAWING			
	Art linens, first thread, not coming out at edge:			
167.0	Stamped 1" to 10"	1.79	----------	Per dozen threads.
167.2	Not stamped 1" to 10"	2.23	1.33	Do.
	Art linens, unstamped, first thread, all-around, not coming out at edge:			
167.4	Doilies 12" x 18"	9.99	8.13	Per dozen pieces.
	Napkins:			
167.6	12" x 12"	7.99	6.77	Do.
167.7	15" x 15"	9.99	8.13	Do.
167.8	18" x 18"	11.99	9.39	Do.
	Scarves:			
168.0	17" x 36"	17.64	12.64	Do.
168.1	17" x 45"	20.64	14.26	Do.
168.2	17" x 54"	23.64	15.83	Do.
	Squares:			
168.3	36" x 36"	23.99	15.99	Do.
168.4	45" x 45"	29.97	19.01	Do.
168.5	54" x 54"	35.97	22.21	Do.
	Art linens, unstamped, first thread at one end, coming out at both edges:	-		
	Towels:			
168.6	9" x 15"	----------	1.26	Do.
168.7	15" x 24"	----------	1.83	Do.
168.8	18" x 30"	----------	2.10	Do.
169	Art linens, after first thread	For second and third threads, 20 percent of rate for first thread; for additional threads, 15 percent of rate for first thread.		

[1] For definitions of "hand-embroidery" and "other operations" and current minimum wage rates, see applicable section of wage order.

SCHEDULE B—PIECE RATE SCHEDULE FOR THE HANDERCHIEF, SQUARE SCARF, AND ART LINEN INDUSTRY IN PUERTO RICO [1]

No.	Operation	Piece rate (cents)	Unit of payment
	THREAD DRAWING		
	Ladies' handkerchiefs:		
170	First thread around edge, cotton or linen up to 1600 count inclusive.	2.50	Per dozen threads.
171	First thread, inside, cotton or linen, up to 1600, count inclusive.	3.13	Do.
172	After first thread (for example, for hemstitching)	15 percent of rate for first thread.	
	Men's handkerchiefs:		
173	First thread around edge, linen up to 1500 count, inclusive, 16" x 16" to 20" x 20".	3.75	Do.
174	First thread around edge, linen 1600 count and over, 16" x 16" to 20" x 20".	4.38	Do.
175	First thread, inside, linen up to 1500 count, inclusive, 16" x 16" to 20" x 20".	4.38	Do.
176	First thread, inside, linen 1600 count and over, 16" x 16" to 20" x 20".	5.00	Do.
177	After first thread (for example, for hemstitching)	15 percent of rate for first thread.	

[1] For definitions of "hand embroidery" and "other operations" and current minimum wage rates, see applicable section of wage order.

SCHEDULE B—PIECE RATE SCHEDULE FOR THE HANDKERCHIEF, SQUARE SCARF, AND ART LINEN INDUSTRY IN PUERTO RICO [1]

[Unit of payment, per dozen]

No.	Operation	Doilies			Napkins			Table scarves			Squares			Tablecloths		
		8" x 16"	10" x 14"	12" x 18"	12" x 12"	15" x 15"	18" x 18"	17" x 36"	17" x 45"	17" x 54"	36" x 36"	45" x 45"	54" x 54"	54" x 72"	72" x 72"	72" x 90"
179	Half roll, cambric and crash, at 2.73 cents per dozen inches	$1.31	$1.31	$1.63	$1.31	$1.63	$1.97	$2.90	$3.39	$3.89	$3.93	$4.92	$5.90	$6.89	$7.87	$8.87
180	Hand or French rolling, 10 stitches or less per inch, cambric and crash, at 1.77 cents per dozen inches	.85	.85	1.07	.85	1.07	1.27	1.87	2.19	2.51	2.56	3.19	3.82	4.46	5.09	5.72
	Hemming stitch over pasada, measuring all around edge:															
181	Cambric at 3.27 cents per dozen inches	1.57	1.57	1.96	1.57	1.96	2.35	3.46	4.05	4.64	4.70	5.88	7.05	8.23	9.41	10.58
182	Crash, at 3.07 cents per dozen inches	1.48	1.48	1.83	1.48	1.83	2.22	3.24	3.79	4.36	4.42	5.53	6.64	7.71	8.82	9.93
	Second seams, for separate borders, measuring all around edge:															
183	Cambric, at 3.27 cents per dozen inches	1.57	1.57	1.96	1.57	1.96	2.35	3.46	4.05	4.64	4.70	5.88	7.05	8.23	9.41	10.58
184	Crash, at 3.07 cents per dozen inches	1.48	1.48	1.83	1.48	1.83	2.22	3.24	3.79	4.36	4.42	5.53	6.64	7.71	8.82	9.93
	Second seams, for separate borders, with French corners, measuring all around edge:															
185	Cambric, at 3.68 cents per dozen inches	1.76	1.76	2.22	1.76	2.22	2.65	3.90	4.57	5.23	5.29	6.64	7.95	9.28	10.58	11.93
186	Crash, at 3.27 cents per dozen inches	1.57	1.57	1.96	1.57	1.96	2.35	3.46	4.05	4.64	4.70	5.88	7.05	8.23	9.41	10.58

[1] For definition of "hand-embroidery" and "other operations" and current minimum wage rates, see applicable section of wage order.

SCHEDULE B—PIECE RATE SCHEDULE FOR THE HANDKERCHIEF, SQUARE SCARF, AND ART LINEN INDUSTRY IN PUERTO RICO [1]

No.	Operation	Piece rate (cents)	Unit of payment
	SCALLOP CUTTING		
	Hand-cutting machine-embroidered, shallow, curved scallops on handkerchiefs or square scarves:		
187.4	Small, measuring from 5/16" up to, but not including 3/8", along outside edge.	0.26	Per dozen scallops.
187.5	Medium, measuring from 3/8" up to, but not including 7/16", along outside edge.	.33	Do.
187.6	Large, measuring from 7/16" to, and inclusive of, 1 1/4", along outside edge.	.49	Do.
	NEEDLEPOINT OPERATIONS [2]		
200	Compact florals, figures and landscapes	26.00	Per 1,000 stitches.
201	Scattered florals	28.00	Do.
202	Scattered florals consisting of borders or garlands only	30.00	Do.
203	Combinations of compact center and scattered borders in which the compact portion totals 45 percent or more of the total design.	28.00	Do.
204	Combinations of compact center and scattered borders in which the compact portion totals less than 45 percent of the entire design.	30.00	Do.
205	Two cents (2.0¢) must be added to the above piece rates to cover thumbtack mounting on frame for each piece of canvas. Employers using other methods must set individual rates for mounting and removing canvas in accordance with § 545.10.		

[1] For definitions of "hand embroidery" and "other operations" and current minimum wage rates, see applicable section of wage order.

[2] *Exceptions.* These piece rates do not apply to the following types of needlepoint. For these, and all other varieties of needlepoint not covered by the schedule and definitions, piece rates must be set by employers in accordance with Regulations 545.10.

1. Florals having more than 10,000 stitches.
2. Florals having more than 36 color tones.
3. Figures and landscapes having more than 3,000 stitches.
4. Figures and landscapes having more than 25 color tones.
5. Petit point.
6. Stamped grospoint.

Definitions. 1. A scattered design is one in which 50 percent or more of the component parts, when finished, are separated by spaces of unsewn canvas.

2. A compact design is one in which 50 percent or more of the finished piece contains no spaces of unsewn canvas.

SCHEDULE C—PIECE RATE SCHEDULE FOR THE FABRIC AND LEATHER GLOVE INDUSTRY IN PUERTO RICO [1]

No.	Operation	Ladies' woven or knitted fabric gloves (1)	Leather gloves [2] Ladies' (2)	Leather gloves [2] Men's (3)	Unit of payment
		Cents	*Cents*	*Cents*	
188	Buttons, slip stitches with tape, 1 button per glove	----------	----------	49.500	Per dozen pairs.
189	Buttonholes, stitched in and outside, one buttonhole per glove.	----------	----------	66.000	Do.
190	Crede stitch, 5 to 6 stitches per inch	0.313	----------	----------	Per inch.
191	Egyptian stitch, 5 to 6 stitches per inch	----------	0.453	----------	Do.
192	Feather stitch, 5 to 6 stitches per inch	.375	.569	----------	Do.
193	Large stitch (husky), 5 to 6 stitches per inch	----------	----------	.407	Do.
194	Regular stitch, 5 to 6 stitches per inch	.246	.427	.407	Do.
195	Slip stitch, hem only, 5 to 6 stitches per inch	.159	.292	.292	Do.
196	Slip stitch, reinforcement on slit, 5 to 6 stitches per inch, when sewing has been faced on by machine.	----------	.292	.292	Do.
197	Swagger stitch, 5 to 6 stitches per inch	.246	.427	.407	Do.
198	Whip stitch, 5 to 6 stitches per inch	.246	.427	.407	Do.

[1] Piece rates apply only to hand-sewing operations. For description of operations included under "hand-sewing," see definitions in applicable section of the wage order.

[2] The hourly minimum wage rates applicable to leather gloves are also applicable to combination leather and fabric gloves. However, piece rates for combination leather and fabric gloves must be set by employers in accordance with § 545.10.

[F. R. Doc. 57-381; Filed, Jan. 22, 1957; 8:45 a. m.]

DEPARTMENT OF AGRICULTURE

Agricultural Marketing Service

[7 CFR Part 46]

REGULATIONS (OTHER THAN RULES OF PRACTICE) UNDER THE PERISHABLE AGRICULTURAL COMMODITIES ACT, 1930

NOTICE OF PROPOSED RULE MAKING

Notice is hereby given that the United States Department of Agriculture is considering the revision of existing regulations, other than Rules of Practice (7 CFR, §§ 46.1–46.28) issued pursuant to the authority contained in the Perishable Agricultural Commodities Act, 1930 (46 Stat. 531 et seq., as amended; 7 U. S. C. 499 et seq.).

The proposed revision is intended to clarify the regulations and make various changes therein found advisable on the basis of experience in administering the Act.

All persons who desire to submit written data, views, or arguments for consideration in connection with the proposed regulations should file the same with the Chief, Regulatory Branch, Fruit and Vegetable Division, Agricultural Marketing Service, United States Department of Agriculture, South Building, Washington 25, D. C., not later than 60 days after publication hereof in the FEDERAL REGISTER.

The proposed regulations are as follows:

DEFINITIONS

Sec.
46.1 Words in singular form.
46.2 Definitions.

ADMINISTRATION

46.3 Director.

LICENSES

46.4 License required.
46.5 Application for license.
46.6 License fee.
46.7 Issuance of license.
46.8 Copies of licenses.
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AUTHORITY: §§ 46.1 to 46.38 issued under sec. 15, 46 Stat. 537, as amended; 7 U. S. C. 499o.

DEFINITIONS

§ 46.1 *Words in singular form.* Words in this part in the singular form shall be deemed to import the plural, and vice versa, as the case may demand.

§ 46.2 *Definitions.* The terms defined in section 1 of the act shall have the same meaning as stated therein. Unless otherwise defined, the following terms whether used in the regulations, in the act, or in the trade shall be construed as follows:

(a) "Act" means the Perishable Agricultural Commodities Act, 1930, approved June 10, 1930, and legislation supplementary thereto and amendatory thereof (46 Stat. 531; 7 U. S. C. 499a–499r);

CROSS REFERENCE: For Rules of Practice under the act, see Part 47 of this chapter.

(b) "Department" means the United States Department of Agriculture.

(c) "Secretary" means the Secretary of Agriculture of the United States, or any officer or employee of the Department to whom authority has heretofore been delegated, or to whom authority may hereafter be delegated, to act in his stead.

(d) "Service" means the Agricultural Marketing Service, United States Department of Agriculture.

(e) "Deputy Administrator" means the Deputy Administrator for Marketing Services, or any officer or employee of the Service, to whom authority has heretofore lawfully been delegated, or to whom authority may hereafter lawfully be delegated, to act in his stead.

(f) "Division" means the Fruit and Vegetable Division of the Service.

(g) "Director" means the Director of the Division or any officer or employee of the Division to whom authority has heretofore lawfully been delegated, or to whom authority may hereafter lawfully be delegated by the Director to act in his stead.

(h) "In commerce" means interstate or foreign commerce as defined in section 1 (3) and (8) of the act.

(i) "Licensee" means any person who holds an unrevoked and valid unsuspended license issued under the act.

(j) "Inspector" means any person authorized or licensed by the Secretary to inspect any perishable agricultural commodity.

(k) "Produce" means any perishable agricultural commodity, as defined in section 1 (4) of the act.

(l) "Fresh fruits and fresh vegetables" include all products generally considered by the trade as perishable fruits and vegetables, whether or not frozen or packed in ice and whether or not held in common or cold storage, but does not include those perishable fruits and vegetables which have been dried or manufactured into articles of food of a different kind or character. Blanching, chopping, color adding, curing, cutting, dicing, drying for the removal of surface moisture, fumigating, gassing, heating for insect control, ripening and coloring, husking, icing, peeling, polishing, precooling, refrigerating, shredding, slicing, trimming, washing with or without chemicals, waxing, adding of sugar or other sweetening agents, and ascorbic acid or other agents used to retard oxidation, or the mixing of several kinds of sliced, chopped, or diced fruit or vegetables for packaging in any type of containers, or comparable methods of preparation, where the product is not

processed by heat to assure preservation shall not be considered a change into a food of a different kind or character.

(m) "Cherries in brine" means cherries packed in an aqueous solution containing sulphur dioxide or other bleaching agent of sufficient strength to preserve the product, with or without the addition of hardening agents.

(n) "Wholesale or jobbing quantities" as used in section 1 (6) of the act means aggregate quantities of all produce totaling one ton (2,000 pounds) or more in weight per day shipped or received or contracted to be shipped or received.

(o) "Truly and correctly to account" means, in connection with (1) consignments, to account promptly by rendering a true and correct itemized statement showing separately the receipts from the sale or other disposition of the produce, and the proper, usual or specifically agreed selling charges and expenses necessarily and actually incurred or agreed to in the handling thereof; (2) joint account transactions, to account promptly by rendering a true and correct itemized statement showing separately the receipts from the sale or other disposition of produce, the cost of the produce, and the expenses necessarily and actually incurred or other charges specifically agreed to in the handling thereof; and (3) buying brokerage transactions, to account promptly by rendering a true and correct itemized statement showing separately the cost of the produce and expenses necessarily and actually incurred and the amount of brokerage charged.

(p) "Account promptly" means rendering a true and correct accounting (1) within 10 days after the date of final sale in connection with consignment or joint account transactions; (2) within 24 hours after the date of shipment in connection with buying brokerage transactions where the broker pays for the produce; or (3) within such other period as may have been specifically agreed upon by the parties.

(q) "Full payment promptly" means (1) Payment of the net proceeds for produce received on consignment or the pro rata share of the net profits for produce received on joint account within 10 days after the day on which the final sale is made; (2) payment of deficits on consignment or joint account transactions within 10 days after the day on which the accounting is received; (3) payment of the purchase price, including brokerage and other expenses, to buying brokers who pay for the produce, within 10 days after the day on which the invoice is received by the buyer; (4) payment of brokerage charges earned in connection with produce purchased or sold within 10 days after the day on which the invoice is received by the principal; (5) payment for produce purchased by a buyer, within 10 days after the day on which the produce is accepted without complaint by the buyer; (6) in the case of selling agents or brokers selling in carlot quantities for the account of a shipper, payment will be due the shipper within 10 days after the buyer or receiver pays the agent or broker; *Provided*, That if there is a dispute concerning the transaction, the foregoing time periods apply only to the undisputed amount, if any; or such other period as may have been specifically agreed upon by the parties. Payment in connection with any transaction or situation not specifically covered herein shall be made within a reasonable time.

(r) "Reject without reasonable cause" means in connection with purchases, consignments, or joint account transactions (1) refusing or failing without legal justification to accept produce within a reasonable time, (2) advising the seller or shipper or his agent that produce will not be accepted in accordance with the contract, or (3) indicating an intention not to accept produce through an act or failure to act inconsistent with the contract.

(s) "Reasonable time," as used in paragraph (r) of this section, means (1) for frozen produce with respect to rail shipments, 48 hours after the receiver is given notice of arrival and the produce is made accessible for inspection, and with respect to truck shipments, not to exceed 12 hours after the receiver is given notice of arrival and the produce is made accessible for inspection; (2) for fresh produce, with respect to rail shipments, not to exceed 24 hours after the receiver is given notice of arrival and the produce is made accessible for inspection; and with respect to truck shipments, not to exceed 8 hours after the receiver is given notice of arrival and the produce is made accessible for inspection; and, with respect to boat shipments, not to exceed 24 hours after the produce is unloaded and made accessible for inspection. These time periods may be extended if the receiver requests Federal inspection of the produce within the applicable period for the purpose of ascertaining whether the shipment complies with the contract specifications and notifies the shipper of his potential complaint and his request for inspection within 2 hours after such request has been made. If the receiver cannot obtain Federal inspection or make personal inspection within 24 hours following notice of arrival, due to the unavailability of inspectors, adverse weather conditions, or other causes, he shall notify the seller of the situation within 2 hours after such fact is known. Inspection shall be made or caused to be made by the receiver as soon as possible after the receipt of such notice of arrival. In no event shall the time be extended beyond 48 hours after the receiver is given notice of arrival. In computing the time periods specified above, (i) for shipments arriving on nonworkdays or after the close of business on workdays, nonworking hours preceding the start of business on the next working day shall not be included; and (ii) for shipments arriving during working hours, the period shall run without interruption from the time of arrival except that, for shipments arriving less than 2 hours before the close of business, the unexpired balance of the time period shall be extended and run from the start of business on the next working day.

(t) "Acceptance" means (1) any act by the purchaser signifying his acceptance to the seller; (2) any act by the purchaser which is inconsistent with the seller's ownership, but if such act is wrongful against the seller it is acceptance only if ratified by him; (3) failure of the purchaser to reject the produce and give notice of rejection to the seller within a reasonable time as defined in paragraph (s) of this section; (4) failure of the purchaser to apply for Federal inspection of the produce within a reasonable time, as defined in paragraph (s) of this section, and to take action to notify the seller of his rejection of the produce within 2 hours after he has received either an oral or a written report of the results of such inspection; and (5) in case inspection cannot be made, as referred to in paragraph (s) of this section failure of the purchaser to notify the seller, within 24 hours after receipt of notice of arrival of the produce, as to the conditions which prevent inspection and to notify the seller of his rejection immediately after inspection can be made, shall constitute acceptance of the produce: *Provided, however*, That such acceptance shall not affect any claim for damages because of failure of the produce to meet the terms of the contract.

(u) "Responsible position" means (1) a position in which the person is authorized to negotiate contracts of purchases, sales, consignments or joint account transactions of produce (excluding floor salesmen or other local salesmen making sales at predetermined prices who operate under direct supervision and handle only local sales in less than carlot quantities and other comparable positions in relation to operations of the licensee); or (2) a position of general supervisory nature, including one having responsibility for office management or supervision of the preparation of account sales and/or the maintenance of records required by the act; or (3) any other position in which the person, through exercise of his own judgment or initiative, has authority to bind or commit his employer by his acts.

(v) "Responsibly connected" means the owner, any general partner, officer, director, holder of more than 10 percent of the stock, or any other person who, through the exercise of his own judgment or initiative, was responsible for violations of the act resulting in the suspension or revocation of a license.

ADMINISTRATION

§ 46.3 *Director.* The Director shall perform for and under the supervision of the Secretary and the Deputy Administrator, such duties as the Secretary or the Deputy Administrator may require in enforcing the provisions of the act and the regulations issued thereunder.

LICENSES

§ 46.4 *License required.* No person shall at any time carry on the business of a commission merchant, dealer, or broker without a license which is valid and effective at such time.

§ 46.5 *Application for license.* Any person who desires to secure a license to carry on such business shall make application therefor on the currently approved form to be obtained from the Director or his representatives. The ap-

plication shall be signed by the owner, all partners, or, in the case of a corporation, an official duly authorized to do so. An application which does not contain all of the required information shall not be considered as a valid application for license. A license obtained through a false or misleading statement or through misrepresentation, concealment, or withholding of facts is subject to revocation. The application and fee shall be forwarded to the Director, Fruit and Vegetable Division, Agricultural Marketing Service, U. S. Department of Agriculture, Washington 25, D. C. The date of any application shall be the date it is received by the above office.

§ 46.6 *License fee.* Effective February 1, 1957, and thereafter, the annual license fee shall be twenty-five dollars ($25). The fee submitted by mail shall be in the form of a money order, bank draft, cashier's check, or certified check made payable to the Agricultural Marketing Service. Thereafter the annual fee shall be remitted in the same manner. In addition to the forms specified above, field representatives of the Department may accept payment in cash and issue a receipt therefor.

§ 46.7 *Issuance of license.* Upon receipt of a properly prepared application accompanied by the proper fee for a license, the Secretary shall, if the applicant is found to be eligible, issue a license certifying that the licensee is authorized to engage in the business of a commission merchant, dealer, or broker. The fee so tendered, together with any accrued fees and any penalty assessed by the Secretary in accordance with the provisions of the act, shall be deposited as soon as practicable in a special fund designated as the "Perishable Agricultural Commodities Act fund." If the license is denied, the sum paid shall be refunded to the applicant. Fees received for either renewal of or reinstatement of a license shall be handled in the same manner as other fees mentioned in this section.

§ 46.8 *Copies of licenses.* Copies of licenses may be issued upon request and upon the payment of a fee of $2 for each copy. Each copy shall bear the word "Copy" in conspicuous letters on its face and shall be certified by the Director as a true copy of the original.

§ 46.9 *Termination of license; notice; renewal.* Thirty days or more prior to the anniversary date of a valid and effective license, the Director shall mail a notice to the licensee at the latest address known to the Director, advising that the license will automatically terminate on its anniversary date unless the annual fee is paid on or before such date. If the annual fee is not paid by the anniversary date the licensee may obtain a renewal of that license at any time within thirty days by paying the annual fee, plus five dollars ($5.00). Within sixty days after termination date of a valid and effective license, the licensee shall be notified that its license has been terminated. No termination notice shall be mailed to a licensee whose license is at that time under suspension due to failure to pay one or more reparation orders on which appeals have not been perfected, or whose license has been suspended because of refusal to make its records available for examination, or whose license has been revoked.

§ 46.10 *Nonlicensed person; penalty; settlement.* Any commission merchant, dealer, or broker who violates the act by engaging in business subject to the act, without a valid and effective license, may settle his liability for the penalty prescribed in 3 (a) of the act by submitting an explanation satisfactory to the Secretary showing that the violation was not willful but was due to inadvertance and by paying the amount of fees due for the period covered by such violation, plus such additional amount not in excess of $25.00 as may be determined by the Director. The fees accrued shall be computed on the basis of 1/12 of the annual license fee in effect at the time of the violation for each month or fraction thereof the applicant engaged in business without a license. In the absence of an explanation satisfactory to the Secretary, any person who engages in business subject to the act shall be liable to a penalty of not more than $500 for each such offense and not more than $25 for each day it continues.

§ 46.11 *What constitutes valid license, form and use.* Each license shall bear a serial number, the facsimile signature of the Secretary, the seal of the Department and shall be countersigned by a duly authorized representative of the Secretary. The licensee may place upon his stationery, trucks, or business sign an inscription indicating that he is licensed under the act, but such inscription shall not be of such form or arrangement as to be deceptive or misleading to the public, nor shall any such inscription be displayed or used unless the person using the inscription has a license valid and effective at the time. Such inscription on vehicles or other equipment shall be removed by the licensee prior to sale or transfer.

§ 46.12 *Forms of inscriptions.* The following inscriptions, for use with or without the license number, meet the foregoing requirements and may be used by licensees: "Licensed by the U. S. Department of Agriculture under the Perishable Agricultural Commodities Act", or "Licensed under the PACA."

§ 46.13 *Address, ownership, or membership changes.* The licensee shall promptly inform the Director of any change of address and of any change in the officers, holders of more than 10% of the stock of a corporation, partners, ownership, or name in which the business is conducted. In case of a change in the ownership of a business; a change in the name of a corporation; a change in the members of a partnership, a new license is required. Separate licenses are required for each subsidiary, branch, or affiliated firm that is a separate legal entity, whether or not business is conducted in one or more names different from the licensed parent company. Where such subsidiary or affiliated firm, which is not a separate legal entity, is wholly owned by the parent company but is operated under a different name than the parent company, a separate license shall not be required, providing, in the case of corporations, a resolution of the Board of Directors of the parent company shall be submitted to the Secretary, assuming responsibility for any violation of the Act committed by the subsidiaries, branches, or affiliated firms. Where the parent firm is individually owned or is a partnership, a notarized statement shall be signed by the owner or all partners and submitted to the Secretary, assuming responsibility for any violation of the Act committed by its subsidiaries, branches, or affiliated firms. All business forms of each subsidiary, branch or affiliated firm shall clearly show its affiliation with the parent firm.

ACCOUNTS AND RECORDS

§ 46.14 *General.* Every commission merchant, dealer, and broker shall prepare and preserve for a period of two years from the closing date of the transaction the accounts, records, and memoranda required by the act, which shall fully and correctly disclose all transactions involved in his business, including the true ownership of such business by stockholding or otherwise. Licensees shall keep records which are adapted to the particular business that the licensee is conducting and in each case such records shall fully disclose all transactions in the business in sufficient detail as to be readily understood and audited. So many different types of business are conducted in the produce industry and so many different types of contracts are made performing such a wide range of services by agents and others, it is impracticable to specify in detail every class of records which may be found essential. The responsibility is placed on every licensee to determine carefully what must be properly recorded in order to disclose every essential fact regarding the transactions in the business. The specific records set out below are illustrations of some of the essential records required in certain types of business and are not to be considered as a complete listing of the records required by the act.

§ 46.15 *Record of produce received.* Each licensee shall keep in the order of receipt a record of all produce received and this record shall be in the form of a book with numbered pages or comparable business machine record. This record shall clearly show for each lot the date of arrival and unloading; whether received by freight, express, truck, or otherwise; the car initials and number; the truck license number and the driver's name or the name of the trucking firm; the number of packages or the quantity received; the kind of produce; the name and address of the consignor or seller; whether the produce was purchased, consigned, or received on joint account; and the disposition of the produce, whether jobbed or sold in carlots or trucklots, and the lot number assigned to the shipment by the receiver (as required by § 46.16).

§ 46.16 *Lot numbers.* Every licensee shall assign a lot number to each shipment of produce to be sold on consignment or joint account or for the account

of another person or firm, including shipments in dispute between the parties. A lot number shall also be assigned to each purchased shipment of similar produce on hand at that time or received later while the consigned or joint account or disputed lot is being sold. A lot number shall be assigned to each purchased shipment which is reconditioned if the seller is to be charged with the shrinkage or loss. The lot number shall be entered on the receiving record in connection with each shipment and entered on all sales tickets identifying and segregating the sales from the various shipments on hand. The lot number shall be entered on the sales tickets by the salesmen at the time of sale or by the produce dispatcher, and not by bookkeepers or others in the licensee's firm after the sales have been made. No lot number shall be repeated within a period of 30 days after the last sale from the preceding lot to which such number was assigned.

§ 46.17 *Sales tickets.* Sales tickets shall bear printed serial numbers running consecutively and shall be used in numerical order insofar as practicable. No serial number shall be repeated within a 90-day period. The sales tickets shall be prepared and all the details of the sales shall be entered on the tickets in a legible manner in order that an audit can be readily made. Erasures, strike-outs, changes, etc., shall be held to the minimum. When errors are made in preparing sales tickets, the tickets should be voided. Each sales ticket shall show the date of sale, the purchaser's name (so far as practicable), the kind, quantity, the unit price, and the total selling price of the produce. In addition, each sales ticket shall show the lot number of the shipment if the produce is being handled on consignment or on joint account or is similar to such a lot on hand at the same time. The original or a legible carbon copy of each sales ticket, including those voided or unused, shall be accounted for and shall be filed or stored either by dates of sales or in the order of the serial numbers for a period of two years.

§ 46.18 *Returns, rejections, or credit memorandums on sales.* In the event of the rejection and return of any produce sold for or on behalf of another on consignment or joint account, or of any necessary allowance or adjustment being made to the buyers thereof, a credit memorandum showing the buyer's name, sales ticket number, lot number, date of the granting of the allowance, and amount of the credit or adjustment, with reasons therefor, shall be made and filed with the original sales ticket, or a notation shall be made on the original sales ticket referring to the adjustment and showing where the credit memorandum is filed. The credit memorandum shall be on a regular form or on a sales ticket or invoice properly completed to show the facts and shall be approved by a duly authorized person or a member of the firm. The credit memorandum shall be entered in the same records as the original sales ticket, otherwise it cannot serve to alter or affect the original sales ticket.

§ 46.19 *Accounting for produce sold for or on behalf of another.* All licensees who accept produce for sale on consignment or on joint account are required to exercise the care and diligence of a reasonable and prudent businessman in disposing of the produce promptly and in a fair and reasonable manner. Accurate and detailed accountings showing dates of sale shall be rendered to the consignor or joint partner not later than 10 days from the date of the last sale together with payment of the net proceeds, unless a longer time is specifically agreed to by the consignor or joint partner. Since the discarding or dumping of produce received on joint account, on consignment, or handled for or on behalf of another person, without reasonable cause, is one of the unfair practices prohibited by the act, a clear and complete record shall be maintained on dumping if a substantial portion of such produce cannot be sold due to poor condition or is lost through re-sorting or reconditioning. An official dumping certificate, or other adequate evidence, shall be obtained to prove the produce was actually lost, and the original certificate or other adequate evidence of dumping shall be forwarded to the consignor or joint account partner with the accounting and a copy shall be retained by the receiver, unless there is a specific agreement to the contrary between the parties. Averaging of sales or the pooling of such produce is not permitted in accounting to the consignor or joint account partner unless a specific written agreement to this effect prior to the accounting is arranged between the parties involved. The receiver of consigned or joint account produce shall not take title to any portion of such produce without the consent of the consignor or joint account partner. Furthermore, his records and the accounting shall clearly show this fact and no commission or brokerage can be charged for this portion of the produce. If a licensee sells or otherwise disposes of any produce, the handling or sale of which is entrusted to him, to any person in whose business such licensee or any stockholder, owner, officer, or salesman thereof, has a financial interest, such licensee shall disclose such fact in accounting to the owner or consignor of the produce, and is not entitled to a commission on such sales, unless a specific agreement to the contrary is made with the parties involved. Double commissions are not permitted and a receiver of consigned produce shall not employ another firm to dispose of all or part of such produce without specific prior authority of the consignor. Commission charges should be discussed and specifically agreed upon before accepting consigned produce, otherwise, the receiver is entitled to charge not more than the usual or customary commission charges for that market or area. All handling, reconditioning, dumping, unloading, delivering, freight charges, etc., deducted by the receiver shall be supported by proper evidence of payment, otherwise, such charges are not deductible.

§ 46.20 *Brokers.* The function of a broker is to negotiate, for and on behalf of others, valid and binding contracts. It shall be the duty of the broker to fully inform all parties concerning the terms and conditions of the proposed contract, and to make certain that the parties agree to the same terms and conditions. When a contract has been effected, the broker shall immediately prepare and deliver to all parties a properly executed confirmation or memorandum of sale setting forth all essential details of the agreement between the parties. The broker shall retain a copy of such confirmations or memoranda as part of his accounts and records. If the broker does not issue and deliver these documents to the proper parties, and his records do not fully support his contentions that a binding contract was made with proper notice to the parties, the broker may be held liable for any loss or damage resulting from such negligence or failure to perform his express or implied duty. Brokers shall take into consideration the method of confirmation which properly should be used in view of all of the circumstances of the transaction. If shipment is to be made before mail could be delivered to all of the parties involved in the contract, confirmation shall be made by telegram to the parties located in another city and confirmation shall be promptly delivered either personally or by messenger to the local parties. Brokerage fees may be charged to only one of the parties to the contract (unless by mutual agreement the parties agree to split the brokerage fee) and if a brokerage fee is charged to both parties (each assuming the other has not paid the brokerage fee) such action by the broker will be considered a violation of the act. Brokers employed to negotiate the sale of produce may not employ another broker or selling agent when additional brokerages are involved without specific prior authority from their principal. When a shipment is handled by more than one broker, the final accounting to the owner of the produce by the broker or selling agent must show the actual gross sale and all brokerages deducted as well as all other charges incurred in connection with the shipment. Brokers who operate in a dual capacity, both as brokers and as dealers, shall clearly disclose their status in each transaction to all of the parties with whom they are dealing. When such a broker purchases produce as a dealer, he is not entitled to request or receive a brokerage fee from the seller or to charge a brokerage fee to his customer when reselling the produce. A broker is not considered to be entitled to a brokerage fee unless he effects a sale or makes a valid and binding contract, fully performing his duties as a broker. Statements by a broker indicating that a sale has been made, when in fact no enforceable contract has been entered into, may subject the broker to a complaint alleging false or misleading statements in violation of the act. However, failure on the part of the seller or the buyer to fulfill their contractual obligations after a valid and binding contract has been effected by the broker, does not excuse failure to pay the brokerage fee due the broker. Brokers who collect funds for or on behalf

of another shall promptly remit such funds and undue delay in this respect is a violation of the act. Brokers shall at all times exercise care to protect any claim rights against the carriers due the owners of the produce. If a broker agrees to file and handle such a claim for the benefit of the owner of the produce, the claim shall be filed promptly, supported by adequate evidence, and the broker shall follow up with the carrier on the claim. When settlement of the claim is effected, the broker shall promptly remit the net amount due the owner, after deducting the agreed or customary charges for handling the claim. Adequate information shall be furnished the owner regarding the claim while the matter is being handled with the carrier. If the owner files the claim, the broker shall promptly furnish any necessary information requested by the owner that is available in the records of the broker. When a broker or dealer acts as agent for a shipper in the sale of produce at auction, the broker shall report to the auction company for listing in its catalogue the beneficial or true owner, with the option of showing that he is acting in the capacity of agent. If a broker instructs the auction company to catalogue a shipment in his name without disclosing its true ownership, he shall be deemed to have made a false or misleading statement under the act.

§ 46.21 *Commission merchants.* A licensee handling produce for or on behalf of another shall not employ another commission merchant or dealer to sell the produce or divert the shipment to another market without the specific consent of the consignor or owner. Any additional expenses, such as extra commission or freight or handling charges, resulting from such action, will not be permitted in the absence of proof of such consent. If such charges are incurred and deducted without clearly showing these items of expense on the accounting rendered the owner or consignor of the produce, such accounting shall be deemed fraudulent. Before accepting produce on consignment, the parties should reach a specific agreement on the amount of commission and other charges which will be assessed by the commission merchant. In the absence of such an agreement, only the usual and customary commission and other charges will be permitted. A commission merchant may not purchase produce consigned to him, or sell such produce to any person or firm in whose business he has a financial interest, without the full knowledge and consent of the consignor of the shipment and with a specific agreement as to the price to be paid by the commission merchant. However, produce may be purchased by the commission merchant to clean up remnants of shipments so accountings will not be unduly delayed, provided the owner or consignor is fully informed when the accounting is rendered. "Remnants", as used here, means small quantities remaining after the bulk of the shipment has been sold but shall not exceed 5 percent of the shipment. When consigned produce is purchased or is sold to any person or firm in whose business the commission merchant has a financial interest, he shall not charge a commission for this portion of the sales. When rendering account sales for produce handled for or on behalf of another an accurate and itemized report of sales must be made and averaging or pooling of sales is not permissible without the specific written consent of the owner of the produce prior to the accounting. Complete and detailed records shall be prepared and maintained by all commission merchants covering sales, quantities lost, dates and cost of repacking or reconditioning, unloading, handling, freight or demurrage charges, or any other expenses which are deducted on the accounting. All charges which cannot be supported by proper evidence in the records of the commission merchant shall not be deducted. In respect to the handling of claims with carriers on consigned produce, before any action is taken by the commission merchant a specific agreement must be reached with the consignor. If the commission merchant is authorized to file the claim, he shall exercise all the care of a reasonable and prudent businessman to protect the interest of the consignor by filing the claim promptly in the proper amount with adequate evidence, and diligently follow up with the carrier on the matter. When settlement of the claim is effected, he shall promptly remit the net amount due the consignor, after deducting the agreed handling charges. Full and complete information shall be furnished the consignor while the claim is being handled. If the consignor is to file the claim, the commission merchant must take all necessary steps to protect the claim rights of the consignor and shall promptly furnish all necessary information and evidence from his records to enable the consignor to file a proper claim. The commission merchant may be held liable for any financial loss resulting to the consignor due to his careless or negligent handling or failure to perform any specific or implied duty in such matters.

§ 46.22 *Shippers or agents.* Licensees who act as agents or whose operations as joint partners include harvesting, grading, packing or processing, or the furnishing of packages or other supplies, or the selling, storing or distributing of such produce shall prepare and maintain a number of special records not required of other licensees. It may be necessary for these records to show clearly the character and quantity of the produce received from each owner, consignor, or patron, and the result of all grading and packing operations on each lot of produce, including the cost of materials, disposition of culls, selling prices, allowances or adjustments granted buyers, results of claims filed with carriers, rejections, detailed accounting rendered any financially-interested party and other essential details depending on the contract between the parties.

§ 46.23 *Conversion of funds.* Any licensee who collects or receives funds for or on behalf of another person or firm in connection with produce shall not make any use or disposition of such funds in his possession or control that will endanger or impair faithful and prompt payment to the owner or consignor of the produce or to any other person having a financial interest therein.

§ 46.24 *Dumping of produce.* Reasonable cause for destroying any produce exists when the commodity has no commercial value or when it is dumped by order of a local health officer or other authorized official or when the shipper has specifically consented to such disposition. The term "commercial value" means any value that a commodity may have for any purpose that can be ascertained by the exercise of due diligence without unreasonable expense or loss of time. When produce is being handled for or on behalf of another person, proof as to the quantities of produce destroyed or dumped shall be provided by procuring a dumping certificate from (a) any person authorized by the United States Department of Agriculture to inspect fruits and vegetables; (b) any health officer or food inspector of any State, county, parish, city, or municipality or of the District of Columbia; (c) any established commercial agency or service making inspections for the fruit and vegetable industry; or (d) when, and only when, no inspector or health officer, designated in (a), (b) or (c) of this section, is available, the inspection and certification provided in this section may be made by any two persons having no financial interest in the produce involved or in the business of any person financially interested therein, and who are unrelated by blood or marriage to any such financially interested person, and who, at the time of the inspection and certification, and for a period of at least one year immediately prior thereto, have been engaged in the handling of the same general kind or class of produce with respect to which the inspections and certification are to be made. Any certificate issued by any persons designated in paragraph (d) of this section shall include a statement that each of them possesses the requisite qualifications. Any such certificate shall properly indentify the produce by showing the commodity, lot number, brand or principal identifying marks on the containers, quantity dumped, name and address of shipper, name and address of applicant, condition of the produce, and a statement that the produce possesses no commercial value.

§ 46.25 *Documents to be preserved.* Bills of lading, diversion orders, paid freight and other bills, car manifests, express receipts, confirmations and memorandums of sales, letter and wire correspondence, inspection certificates, invoices on purchases, receiving records, sales tickets, copies of statements (bills) of sales to customers, accounts of sales, papers relating to loss and damage claims against carriers, records as to reconditioning, shrinkage and dumping, daily inventories by lots, a consolidated record of all rebates and allowances made or received in connection with shipments handled for the account of another, an itemized daily record of cash receipts, ledger records in which sales as shown by sales tickets can be verified, and all other pertinent papers relating to the

shipment, handling, delivery and sale of each lot of produce shall be preserved and filed for a period of 2 years.

§ 46.26 *Records of retailers.* Notwithstanding the specific records and documents prescribed in the foregoing sections, licensees who purchase produce solely for sale at retail shall establish and maintain accounts and records, adapted to their type of operations, which will fully and correctly disclose all transactions relating to the purchase of produce. Such accounts and records should include the date of receipt of each lot, kind of produce, number of packages and quantity, price paid, evidence of agreement or contract of purchase, bills of lading, paid bills, and any other documents relating to the purchase of produce.

§ 46.27 *Method of preservation or storage of records.* All records required to be preserved under the act shall be stored in an orderly manner and in keeping with sound business practices. The records being currently used shall be filed in order of dates, by serial numbers, alphabetically or by any other proper method which will enable the licensee to promptly locate and produce the records. Records in dead storage should be carefully arranged in an orderly fashion, be packaged or wrapped to insure proper preservation, be marked or identified to insure easy access, and stored in a clean, safe, dry location on the licensee's premises for a minimum period of 2 years. When part of the records are forwarded to others (such as accountants, traffic agencies, attorneys, etc.), proper notations should be filed in appropriate places in the records clearly identifying the missing records and stating where they can be located.

§ 46.28 *Inspection of records.* Each licensee shall, during ordinary business hours, permit any duly authorized representative of the Department to enter his place of business and inspect such accounts, records, and memoranda as may be material (a) in the investigation of complaints under the act, or (b) to the determination of ownership, control, packer, or state, country or region of origin in connection with commodity inspections, or (c) to ascertain whether there is compliance with section 9 of the act. If any licensee refuses to permit such inspection, the Secretary may publish the facts and circumstances and/or by order, suspend the license of the licensee until permission to make such inspection is given. Each licensee shall have present on his premises during ordinary business hours at least one person duly authorized to permit such inspection. Failure to make the records available upon demand will be considered as refusal by the licensee. Any necessary facilities for such inspection shall be extended to such representatives by the licensee, his agents, and employees.

§ 46.29 *No disclosure of business of licensee.* No representative of the Department shall, without the consent of the licensee, divulge or make known, except to financially interested parties, or to other representatives of the Department who may be required to have such knowledge in the regular course of their official duties, or except insofar as he may be directed by the Secretary, the Judicial Officer, the Deputy Administrator, the Director, or by a court of competent jurisdiction, any facts or information regarding the business of such licensee which may come to the knowledge of such representative through an examination or inspection of the business or the accounts of the licensee, unless such facts or information should be testified to at a hearing authorized by the act because they are relevant and material to the issue in the case being heard.

SUSPENSION AND REVOCATION OF LICENSES

§ 46.30 *Suspension or revocation order.* (a) Whenever the Secretary shall order the suspension or revocation of a license, the person against whom such order is directed shall be served by the Hearing Clerk with a copy of the order, and be notified of the effective date thereof.

(b) Except in the case of any license automatically suspended by the act, a reasonable time, which shall not be less than 10 days between the date of service of the order of suspension or revocation and the date upon which such order becomes effective, shall be allowed, during which period the licensee may make all necessary arrangements with some other person, who has a valid and effective license to safeguard the interests of consignors or other innocent parties whose property or business may be affected by such suspension or revocation and during which the licensee may terminate his affairs and business relating to the handling of produce.

(c) After the revocation of his license or during the effective period of any suspension thereof, no person shall, either directly or indirectly, through any agent, employee, or otherwise, carry on the business of a commission merchant, dealer, or broker until his status as a licensee has been restored.

(d) The suspension or revocation of a license shall not prevent the licensee from collecting amounts due on his contracts or in connection with transactions occurring prior to the date of suspension or revocation in which he acted as an agent or from remitting the same promptly to his principals and obligees.

PUBLICATION OF FACTS

§ 46.31 *Publicity.* Upon the issuance by the Secretary of an order awarding reparation or revoking or suspending a license, or in case of automatic suspension of a license for failure to pay a reparation award, the Director shall cause general publicity to be given to such fact, in order that those doing business with the licensee against whom reparation has been awarded or whose license has been revoked or suspended may take due notice thereof.

TRADE TERMS AND DEFINITIONS

§ 46.32 *Terms construed.* Unless otherwise defined, the following terms when included in a contract or communication involved in any investigation made or hearing held pursuant to the act shall be construed, respectively, as follows:

(a) "Today's shipment," or shipment on a specified date (such as "shipment September 12"), means in connection with shipments by rail, that the goods referred to shall be under billing by the transportation company on the date the order is given or on the date specified in time to be picked up by a train scheduled to move that day's loadings from the shipping point: *Provided,* That such train shall leave the first pick-up point on its schedule before midnight of the day the order is given. When used in connection with shipments by boat, this term shall mean that the goods shall be placed alongside the boat and be under billing in time to be loaded and shipped on a boat scheduled to leave before midnight of the date specified. When used in connection with shipments by truck, this term shall mean that the goods shall be loaded and shall actually start from loading point to destination before midnight of the date specified.

(b) "Tomorrow's shipment" or "Immediate shipment" means that the shipment referred to shall be under billing by the transportation company in time to move on a transportation facility scheduled to leave not more than 24 hours later than allowed under "Today's shipment."

(c) "Quick shipment" means that the conditions of the offer, order, or confirmation will be met if the shipment is under billing by the transportation company in time to move on a transportation facility scheduled to leave not more than 48 hours later than allowed under "Today's shipment."

(d) "Prompt shipment" means that the conditions of the offer, order, or confirmation will be met if the shipment is under billing by the transportation company in time to move on a transportation facility scheduled to leave not more than 72 hours later than allowed under "Today's shipment."

(e) "Shipment first part of week" or "Shipment early part of week" means that the produce referred to shall be under billing by the transportation company in time to move on a transportation facility scheduled to leave Monday or Tuesday of the week specified, subject to the same provisions with reference to shipments picked up after midnight of the day specified as apply to "Today's shipment."

(f) "Shipment middle of week" means that the produce referred to shall be under billing by the transportation company in time to move on a transportation facility scheduled to leave Wednesday or Thursday of the week specified, subject to the same provisions with reference to shipments picked up after midnight of the day specified as apply to "Today's shipment."

(g) "Shipment last of week" or "Shipment latter part of week" means that the produce referred to shall be under billing by the transportation company in time to move on a transportation facility scheduled to leave on Friday or Saturday of the week specified, subject to the same provisions with reference to cars picked up after midnight of the day

specified as apply to "Today's shipment."

(h) "Shipment as soon as possible" or "Shipment as soon as cars can be secured" means that the shipper is uncertain as to when the shipment can be made, but expects to make it within a reasonable time and will make it soon as possible. But in any case where these words are used the buyer shall, at any time after 12 days from the date the order is given, have the right to cancel the order or contract of sale, if notice of his decision so to cancel shall have been received by the shipper before shipment has been made.

(i) "F. o. b." (for example, "f. o. b. Laredo, Tex.", or even "f. o. b. California") means that the produce quoted or sold is to be placed free on board the boat, car, or other agency of the through land transportation at shipping point, in suitable shipping condition (see definitions of "suitable shipping condition", paragraphs (j) and (k) of this section), and that the buyer assumes all risk of damage and delay in transit not caused by the shipper, irrespective of how the shipment is billed. The buyer shall have the right of inspection at destination before the goods are paid for, but only for the purpose of determining that the produce shipped complied with the terms of the contract or order at time of shipment, subject to the provisions covering suitable shipping condition. Such right of inspection shall not convey or imply any right of rejection by the buyer because of any loss, damage, deterioration, or change which has occurred in transit.

(j) "Suitable shipping condition", in relation to direct shipments, means that the commodity, at time of billing, is in a condition which, if the shipment is handled under normal transportation service and conditions, will assure delivery without abnormal deterioration at the destination specified in the contract of sale.

(k) "Suitable shipping condition", in connection with reconsigned rolling or tramp cars, means that the commodity, at time of sale, meets the requirements of this phrase as defined in paragraph (j) of this section, relating to direct shipments.

(l) "F. o. b, acceptance" means the same as "f. o. b.", except that the buyer assumes full responsibility for the goods at shipping point and has no right of rejection on arrival, nor has he any recourse against the shipper because of any change in condition of the produce in transit, unless the produce when shipped was not in suitable shipping condition (see definitions, paragraphs (j) and (k) of this section). The buyer's remedy under this method of purchase is by recovery of damages from the shipper and not by rejection of the shipment.

(m) "F. o. b. acceptance final" means that the buyer accepts the produce f. o. b. cars at shipping point without recourse.

(n) "F. o. b. steamer" means that the produce is to be placed free on board steamer at shipping point, in suitable shipping condition (see definitions of "suitable shipping condition", paragraphs (j) and (k) of this section), in accordance with the terms of the contract, and that the buyer assumes all responsibility and risk of damage thereafter.

(o) "F. a. s. steamer" means that the produce is to be delivered free alongside the steamer, in suitable shipping condition (see definitions of "suitable shipping condition", paragraphs (j) and (k) of this section), in accordance with the terms of the contract, and that the buyer assumes all responsibility and risk of damage thereafter.

(p) "Delivered" or "Delivered sale" means that the produce is to be delivered by the seller on board car, or truck or on dock if delivered by boat, at the market in which the buyer is located, or at such other market as is agreed upon, free of any and all charges for transportation or protective service. The seller assumes all risks of loss and damage in transit not caused by the buyer. For example, a sale of "U. S. No. 1 potatoes delivered Chicago" means that the potatoes, when tendered for delivery at Chicago, shall meet all the requirements of the U. S. No. 1 grade as to quality and condition.

(q) (1) "In transit", "Roller", or "Rolling car" means that the produce referred to is in possession of the transportation company and under movement from shipping point when the quotation is made, and that the car is moving over a route in line of haul between the point of origin and the market in which delivery is to be made, and has been so moving since date of shipment, without any delay attributable to the shipper or his agent. If a roller, rolling car, or car in transit is sold f. o. b. shipping point, the buyer shall be deemed to assume only the lowest authorized all-rail freight charges applicable between the point of origin and the destination stated in the contract of purchase, together with car rental and refrigeration and heater charges, if any: *Provided*, That the kind and extent of the protective service required by the shipper's instructions to the carriers are specified in the contract; but the buyer shall not be deemed to have assumed any demurrage, storage, detention, icing, or heater charges, or diversion or reconsignment charges, that would not have accrued had the car been originally shipped direct to the destination named in the contract of purchase.

(2) If the carrier fails to accomplish diversion when properly notified, and such notification has been duly acknowledged by the carrier, the contract of sale shall be deemed to have become null and void, unless otherwise specifically provided.

(r) (1) "Tramp car" or "Tramp car sale" means that the produce has left the shipping point under a bill of lading issued prior to the day on which the quotation is made and has moved or is moving over a route out of line of haul with the market in which it is to be delivered or in which it is being offered or quoted, or has been moving over a route in line of haul between the point of origin and the market in which it is to be delivered or in which it is being offered or quoted, but has been delayed in transit by the shipper, or has been held by the transportation company at diversion or other points en route awaiting instructions from the shipper and by such holding or delay has missed scheduled movement between points of shipment and the market in which it is to be delivered as the result of the transaction in question. If a "tramp car" is sold f. o. b. shipping point or a "tramp car sale" is made f. o. b. shipping point, the buyer shall be deemed to assume only the lowest authorized all-rail freight charges applicable between the point of origin and the destination stated in the contract of purchase, together with car rental and refrigeration and heater charges, if any: *Provided*, That the kind and extent of the protective service required by shipper's instructions to the carriers are specified in the contract. But the buyer shall not be deemed to have assumed any demurrage, storage, detention, icing, or heater charges, or diversion or reconsignment charges that would not have occurred had the car been originally shipped direct to the destination provided in the contract of purchase.

(2) If the carrier fails to accomplish diversion when properly notified, and such notification has been duly acknowledged by the carrier, the contract of sale shall be deemed to have become null and void, unless otherwise specifically provided.

(s) "Rolling acceptance" means that the buyer accepts at time of purchase produce which is in the possession of the transportation company and under movement from shipping point, under the terms and conditions described in paragraphs (q) and (r) of this section, except that the buyer assumes full responsibility for transportation of the goods from time of purchase, has no recourse against the seller because of any change in condition after time of purchase unless the goods when shipped were not in suitable shipping condition, and has no right of rejection on arrival. The buyer's remedy under this method of purchase is by recovery of damages from the shipper and not by rejection of the shipment. By agreement between the parties, however, the purchase may be made subject to inspection at any specified point while the car is rolling or in transit and the point at which the buyer will assume transportation charges may be specified without affecting the time of acceptance of the commodity.

(t) (1) "Track sale" or "Sale on track" means a sale of produce on track after arrival at destination and after inspection or opportunity for inspection by the buyer who shall be considered to have waived any right to reject the commodity so purchased upon receipt by him or his duly authorized representative from the seller or his duly authorized representative of the bill of lading, delivery order, or other document enabling him to obtain the goods from the carrier.

(2) The above definition shall not be construed as depriving the buyer of a right to reparation when the unloading of the car demonstrates that a part of the lading which was not accessible to inspection was of a quality or condition much inferior to that portion which was accessible to inspection; but notice of in-

tention to file a claim for reparation must be given the seller within 24 hours after receipt by the buyer of the delivery order or bill of lading.

(3) If the seller gives the date of arrival when quoting price, the buyer shall, in the absence of any written memorandum of sale to the contrary, assume all charges that accrue on the shipment from the date of its arrival. If the seller fails to furnish the date of arrival when quoting price the buyer may, in the absence o fany written memorandum of sale which includes the date of arrival or specific written statement as to who shall assume such charges as have accrued after arrival, assume that the shipment arrived at point of sale on the day and date upon which the purchase was made, and shall be liable only for such changes as would properly attach to a shipment arriving on the date the purchase was made.

(u) "C. a. f.," "c. a. c.," and "c. i. f." mean "cost and freight," "cost and charges," and "cost, insurance, and freight," respectively. C. a. f. sales shall be deemed to be the same as f. o. b. sales, except that the selling price shall include the correct freight charges to destination. C. a. c. sales shall be deemed to be the same as f. o. b. sales, except that the selling price includes the correct freight and refrigeration or heater charges to destination. C. i. f. sales shall be deemed to be the same as f. o. b. sales, except that the selling price includes insurance and the correct freight and refrigeration or heater charges to desination.

(v) "Carload," "carlot," or "car" when used in offers, quotations, or contracts in which the quantity is not more definitely specified, and in the absence of well-established trade custom or standard as to size of a "carload," "carlot," or "car" of the produce in question, means not less than the minimum quantity required by the carrier's tariff applicable to the movement, and not more than 10 percent in excess of such minimum tariff requirements, except that, where the carrier's tariffs provide alternative rates and minimum, the buyer shall state which tariff minimum must be observed, and, in event of failure so to do, the shipper may exercise his discretion, in no case, however, exceeding the higher alternative minimum quantity provided by the tariff, with only such variations therefrom as are permitted by this paragraph.

(w) "Shipping-point inspection" means that the seller is required to obtain Federal or Federal-State inspection, or such private inspection as has been mutually agreed upon, to show the compliance of the lot sold with the quality, condition, and grade specifications of the contract, and that the seller assumes the risk incident to incorrect certification.

(x) "Shipping-point inspection final," or "Inspection final" following the name of the State or point, as "California inspection final," means that the seller is required to obtain Federal or Federal-State inspection, or such private inspection as has been mutually agreed upon, to show the compliance of the lot sold with the quality, condition, and grade specifications of the contract, and that the buyer assumes the risk incident to incorrect certification and is without recourse against the seller on account of quality, condition, and grade.

(y) "Subject approval wired Government inspection" means that the seller is required to obtain Federal or Federal-State inspection, or such private inspection as has been mutually agreed upon, and to correctly communicate, by wire or other agreed means, the statements on the certificate as to quality, condition and grade, and other essential information, whereupon the buyer, upon approval thereof, will be deemed to have accepted the produce without recourse against the seller on account of quality, condition, and grade.

(z) "Guaranteed advance" used in connection with an advance payment on consigned produce means that the person making the advance guarantees that the net proceeds to the consignor shall at least equal the amount so advanced, and that the consignor cannot be held liable for any deficit resulting from the sale of the produce, if such deficit is not occasioned by or contributed to by an act of the consignor.

(aa) "Accommodation advance" or "Regular advance", used in connection with an advance of money or credit against anticipated net proceeds to be realized from the sale of consigned produce, means that the shipper has received an advance of money or credit and that, if the consigned produce does not sell for enough to cover the cost of transportation and handling, including customary or agreed commission and the advance made to him, the shipper must return to the person making the advance a sum equal to the deficit sustained.

(bb) "Price arrival", in the absence of a contrary specific understanding, means that the produce is shipped either direct to the customer or to an agent of the shipper, for the benefit of the customer, the price to be subject to agreement between the customer and the shipper upon the arrival of the produce at the customer's destination, with sufficient time being permitted for inspection.

(cc) "F. o. b. inspection and acceptance arrival" means that the produce quoted or sold is to be placed by the seller free on board car or other agency of through transportation at shipping point, the cost of transportation to be borne by the buyer, but the seller to assume all risks of loss and damage in transit not caused by the buyer, who has the right to inspect the goods upon arrival and to reject them if, upon such inspection, they are found not to meet the specifications of the contract of sale at destination. The buyer may not reject without reasonable cause. Such a sale is f. o. b. only as to price and is on a delivered basis as to grade, quality, and condition.

(dd) "F. o. b. sale at delivered price" means the same as f. o. b., except that transportation charges from shipping point to destination shall be borne by the seller; that is, the sale is f. o. b. as to grade, quality, and condition, and delivered as to price.

SUNDAYS AND HOLIDAYS

§ 46.33 *Sundays and holidays excluded.* Sundays and holidays shall not be included in the computation of the 5 day period provided by section 7 (d) of the act, nor in connection with the periods defined in § 46.32 with exception of paragraph (a) thereof, and where specifically provided for in paragraph (s) of § 46.2.

§ 46.34 *Sundays and holidays included.* Sundays and holidays shall be included in the computation of all other periods mentioned in the act or in the regulations in this part.

INSPECTION OF COMMODITIES

§ 46.35 *Inspection of commodities.* Each licensee shall, during ordinary business hours, permit any duly authorized representative of the Department to enter his place of business and inspect any lot of produce under his ownership or control covered by this act. If any licensee fails or refuses to authorize or permit such inspection promptly upon request, the Secretary may, after 30 days' notice and an opportunity for a hearing, publish the facts and circumstances and/or, by order, suspend the license of the offender for a period not to exceed 90 days. Each licensee shall have present on his premises during ordinary business hours at least one person duly authorized to permit such inspection. Failure to permit inspection of such produce promptly upon request will be considered as a refusal by the licensee. Any necessary facilities for such inspection shall be extended to such representative by the licensee, his agents, and employees. The licensee shall be furnished a copy of any certificate or memorandum of inspection which is issued for any lot of his produce which is inspected in accordance with this section.

INSPECTION SERVICE

§ 46.36 *Inspection service.* The rules and regulations of the Secretary governing inspection and certification of fresh fruits and vegetables as outlined in Part 51, of frozen fruits and vegetables as outlined in Part 52 of Title 7, Code of Federal Regulations, and amendments thereto, and such additional amendments as may from time to time be promulgated shall govern the inspection of such products under the act and are hereby made a part of the regulations in this part.

LICENSEE'S RESPONSIBILITY FOR ACTS OF EMPLOYEES AND AGENTS

§ 46.37 *Licensee's responsibility for acts of employees and agents.* In construing and enforcing the provisions of the act and the regulations in this part, the act, omission, or failure of any agent, officer, or other person acting for or employed by a licensee, within the scope of his employment or office, shall in every case be deemed the act, omission, or failure of the licensee.

COPIES OF RECORDS

§ 46.38 *Copies of records; how obtained.* Copies of the application and other records pertaining to licensees

under the act may be furnished under the conditions prescribed in the regulations of the Department, and, except where requested by Government officials, upon the payment of the following fees, which shall be deposited in the Treasury of the United States in the PACA fund.

(a) For each typewritten copy, $1.00 per page.

(b) For each photographic or photostatic copy, 25 cents per page.

(c) For each separate authentication, 25 cents.

Dated: January 17, 1957.

[SEAL] ROY W. LENNARTSON,
Deputy Administrator,
Marketing Service.

[F. R. Doc. 57-453; Filed, Jan. 22, 1957; 8:49 a. m.]

[7 CFR Part 972]

[Docket No. AO-177-A17]

MILK IN TRI-STATE MARKETING AREA

DECISION WITH RESPECT TO PROPOSED AMENDMENTS TO TENTATIVE MARKETING AGREEMENT AND TO ORDER, AS AMENDED

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and marketing orders (7 CFR Part 900), a public hearing was conducted at Gallipolis, Ohio, on August 15-16, 1956, pursuant to notice thereof issued July 25, 1956, which was published in the FEDERAL REGISTER (21 F. R. 5695), upon proposed amendments to the tentative marketing agreement and to the order, as amended, regulating the handling of milk in the Tri-State marketing area.

Upon the basis of the evidence introduced at the hearing and the record thereof, the Acting Deputy Administrator, Agricultural Marketing Service, on December 7, 1956, issued his recommended decision and notice of opportunity to file written exceptions thereto. Said recommended decision was published in the FEDERAL REGISTER on December 12, 1956 (21 F. R. 9908).

The material issues of record related to:

1. Class I prices, including intra-area differentials, and the supply-demand price adjustment.

2. Allocation of Class I milk to shipping plants.

3. Location differentials.

Proposals with respect to other matters appeared in the notice of hearing, but were not supported at the hearing. These included extension of the marketing area, market-wide pooling, and a method of accounting for solids not fat.

Findings and conclusions. The following findings and conclusions with respect to the material issues are based upon the evidence contained in the record of the hearing:

1. *Class I price.* The Class I price differentials should be increased, and the seasonal pattern of the differentials should be modified. The prices in the several districts in the marketing area should be changed in a manner consistent with changes in plant location differentials. The supply-demand adjustor should be modified for some months to avoid contra-seasonal price changes.

Two proposals were made by producer groups to increase Class I price differentials. One of these would increase the Class I price differential 35 cents per hundredweight in the Huntington and Gallipolis-Scioto districts, and 40 cents in the Athens district, with some modification of the present schedule of seasonal price changes. The other proposal would establish a Class I differential in the Huntington district of $1.75 for March through August, and $2.25 for September through February, with the same seasonal changes in the Gallipolis-Scioto and Athens districts. A proposal made by certain handlers would provide the same price for the Athens and Gallipolis-Scioto districts, and a price 10 cents higher than that for the Huntington district. The same handler group recommended that the supply-demand adjustment be eliminated, and be replaced by a 25-cent increase in the stated Class I differentials.

The problem of the appropriate level of Class I prices in this market was reviewed in a hearing held in January 1955, and a decision thereon of the Secretary issued August 8, 1955. Official notice is here taken of that decision (20 F. R. 5815). It was concluded therein that a general price increase was not justified at that time, but the Class I differentials were modified in a manner that resulted in a 2-cent per hundredweight market-wide increase, and an additional 5 cents per hundredweight in the Athens district. Also, certain products, principally buttermilk and fluid cream disposition, were added to the Class I category. This amendment became effective September 1, 1955.

Some changes in milk utilization have occurred since the January 1955 hearing. Handler representatives contended, however, that the increase in Class I sales during the twelve months preceding this hearing was largely accounted for by the items added to the Class I definition by the September 1, 1955 amendment.

An estimate of the changes insofar as they were not caused by the amendment may be made by combining the Class I and Class II volumes in months prior to the amendment. The sum of the Class I and Class II items in these prior periods represents product utilization closely comparable with that under the present definition of Class I milk. On this basis, the gross utilization by handlers increased about 20 percent in such product uses from 1954 to 1955, and increased about 8 percent for the first seven months of 1956 as compared to the same period of 1955. Such estimated product utilization, on an average annual basis, was equivalent to about 86 percent of producer milk at fluid milk plants in 1954, and about 90 percent in 1955.

Receipts of producer milk at fluid milk plants have not increased as fast as the indicated product utilization. In 1955, receipts were 15 percent over receipts in 1954, and in the first seven months of 1956, 2.3 percent less than in the same period of 1955.

The market is short of an adequate supply of producer milk in the low production months. For the period October through December 1955, Class I sales in the market exceeded producer milk in all plants by 2 to 7 percent in each month. In January 1956, Class I sales about equalled producer milk, and in February 1956, were about 95 percent of producer receipts. During such October-February period, the amount of other source milk used by fluid milk plants for Class I averaged about 1,360,000 pounds per month, or about 8 percent of Class I sales. This was considerably more than the amount of other source milk used in Class I a year previous.

Although conditions vary in the several districts of the marketing area, the situation of shortage of producer milk in some months of the year is general throughout the entire area.

Considerable attention was given in testimony to the price relationships of surrounding Federal order markets. (For purposes of evaluation of these relationships, official notice is taken of the Federal orders in effect for the Cleveland, Columbus, Stark County, Greater Wheeling, Clarksburg, Cincinnati, and Bluefield marketing areas.) It was pointed out that the average annual level of Class I differentials in markets to the east and southeast are higher than the average level in the Tri-State market, and that producers in the intervening areas are attracted by the higher prices. It was also testified that a number of the largest producers formerly supplying the Huntington district had transferred to Charleston, West Virginia, which is not a Federally regulated market.

There is some overlapping of the production area of the Tri-State market with the production areas for the Greater Wheeling, Clarksburg and Bluefield orders. The average annual Class I differentials in these neighboring markets are: For Wheeling, $1.72; for Clarksburg, $1.97; and for Bluefield, $1.87. The average annual Class I differential in the Huntington district of the Tri-State market is approximately $1.48, and in the Athens district approximately $1.23. The Class I prices under these other orders are subject to location differential credits as follows: Under the Greater Wheeling order, 16.5 cents per hundredweight at Marietta, Ohio, 18 cents at Parkersburg, West Virginia, and 21 cents at Athens, Ohio. Under the Clarksburg order, 22 cents at Marietta, 24 cents at Parkersburg, and 28 cents at Athens; and under the Bluefield order, 26½ cents at Ashland, Kentucky. The Class I prices under the Greater Wheeling and Clarksburg orders are affected by the supply-demand adjustment in the Cleveland order.

There is an overlapping of sales areas of Tri-State handlers and of handlers under the Greater Wheeling and Bluefield orders in areas between the markets. One handler in the Bluefield market complained that the difference between the proposed prices under the Bluefield order and the existing prices

under the Tri-State order would give an unfair advantage to Tri-State distributors in Mingo and Logan Counties, West Virginia, and Pike County, Kentucky, where a considerable part of his milk is sold.

To a slight extent there is overlapping of the supply area of the Tri-State market with supply areas of the Cincinnati and Columbus markets, where somewhat lower Class I differentials apply. Price differences with markets to the east and southeast are much wider, however, even after allowing for location differential credits to points in the Tri-State marketing area. In view of the existing price differences, and the relatively short supply in the Greater Wheeling, Clarksburg, and Bluefield markets, as well as shortages experienced in this market for a considerable part of the year, some narrowing of these price differences is desirable. The amount of change which should be made in the differentials at this time would depend, as well, on other factors discussed herein.

In addition to the handler proposal, previously described, to eliminate the supply-demand adjustment, a proposal was made by a producer association to generally increase the rate of adjustment obtainable from this pricing mechanism. The latter proposal would provide a lesser rate of price adjustment on decreases for oversupply than the rate of adjustment for price increases when a relatively short supply is in prospect.

The order amendment of September 1, 1955 made comprehensive changes in the supply-demand adjustment designed to eliminate contra-seasonal adjustments and generally to improve its operation. The new supply-demand formula has generally reflected changing conditions with greater accuracy than the previous formula. It has resulted in additions to the Class I price ranging from 3 to 27 cents, or an average increase slightly less than 15 cents.

A supply-demand adjustment is considered to be a desirable part of the price mechanism for this market to reflect local changes in supply and demand conditions. If it were eliminated and replaced by a fixed addition to the Class I differentials, considerable flexibility and responsiveness of the price to changing market conditions would be lost. The proposal to eliminate the supply-demand adjustment is denied.

The proposal to apply a lesser rate of price adjustment when supply is excessive than when supply is short has decided disadvantages. It could result in criticism in that it would tend to maintain a higher level of prices than needed to assure an adequate supply. It could not be expected to result in price changes designed to correct a condition of oversupply. As a consequence, such a mechanism could result in serious misalignment of prices with conditions in this and other markets.

In the period in which the new supply-demand formula has been in effect, it has provided an increasing price adjustment in response to the higher level of Class I utilization in the market. Inasmuch as the fairly substantial price increases resulting from the supply-demand adjustment have occurred to large extent in recent months, it is too early to judge whether the rate of adjustment should be changed. Conditions in the market, particularly the steady increase in fluid sales which has persisted for some time, make an increase in the level of the Class I differentials a more appropriate method of providing additional incentive to supply milk for this market.

Although no change is recommended in the rate of price adjustment, which now is 3 cents for each percentage of deviation from the base utilization percentages, some changes should be made in the base utilization percentages of individual months to avoid erratic or contra-seasonal price changes. The minimum and maximum percentages which apply in the November Class I price calculation should be reduced by subtracting 4 from each. This change should be made to avoid a drop in the price adjustment, such as occurred from October to November 1955 and again in 1956. (Official notice is taken of market administrator's report.) The base utilization percentages for the March price computation should be increased by adding 2, so as to avoid a contra-seasonal price increase.

Class I price differentials in the Tri-State order are established at separate levels for the three districts of the marketing area. The differentials for the Athens district are lowest, and those for the Gallipolis-Scioto and Huntington districts are 15 and 25 cents higher, respectively. These price differences are for the purpose of improving the distribution of the total producer milk supply among the various parts of the marketing area.

Considerable concern was shown by handlers and producers in the Huntington district over the possible competitive advantage to handlers in the Athens district resulting from the present intra-market differential. It was pointed out that two plants in the Athens district are sending distribution routes into the Huntington district. Various proposals were made to reduce the difference between these two districts to 20 cents, or even to 10 cents.

Two handlers with plants in the Athens district gave testimony in opposition to reducing the intra-area differentials. One handler cited a cost figure of 38.7 cents per hundredweight for moving packaged milk from Marietta to Huntington, and the other a cost of 29 cents for moving packaged milk from Athens to Huntington. Inasmuch as these costs exceed the price differences, apparently there are factors other than producer price differences which provide incentive for distribution by Athens handlers in the Huntington district.

In view of the decrease in location allowances to handlers, recommended elsewhere herein, a comparable reduction should be made in the price differential between the Athens district and the other districts of the marketing area. Otherwise, producers supplying the Athens district plants would receive a lower price on milk moved from such plants to the Huntington market than do producers at out-of-area supply plants which ship milk from comparable distances directly to Huntington handlers. The difference between the Athens and Huntington district prices should be reduced from 25 cents to 20 cents. This would make the price difference between adjoining districts 10 cents in each case.

In the attached proposed amending order language, the annual average of the Class I differentials for the Athens district would be about 16 cents higher than the differentials now in the order. Differentials for the Gallipolis-Scioto and Huntington districts would be 10 and 20 cents higher, respectively, than those for the Athens district. In view of general supply and demand conditions affecting this market, such increases in the Class I price differentials appear warranted. These increases, along with price increments which will result from the supply-demand adjustor as long as the market remains short, will make the market more attractive to producers. The annual average of the Class I price differentials for the Athens district would be about $1.39 per hundredweight. So long as the supply-demand adjustor continues to add about the same amount as shown for the last twelve months in the record, or about 15 cents per hundredweight, the resulting price should average about the same as the Wheeling order price adjusted for location to points in the Athens district. The annual average of Class I price differentials for the Huntington district, with the changes recommended herein, would be about $1.59 without the effect of the supply-demand adjustor. This is slightly less than the average of the Bluefield order Class I differentials adjusted for location to Ashland.

Various proposals were made which would change the seasonal pattern of Class I price differentials. The proposal of a producer association which would provide for two seasonal changes per year has been mentioned previously. Another producer association proposed that the month of July be changed from a low differential month to a medium differential month, and the month of August be changed from a medium differential month to a high differential month. A group of handlers recommended that the low differential period be May through August, that the medium differentials apply in March, April, and September, and that the highest differentials apply in October through February. Testimony given in support of these proposals generally supported the desirability of evening out seasonal variations in production to more nearly approach the relatively more stable needs of the fluid market.

Presently, the amount of seasonal change in the Class I differentials, from the lowest to the highest, is 85 cents. The lowest seasonal differential for the Athens district is 80 cents per hundredweight, which applies in April, May, June, and July. An intermediate level of $1.10 applies in the months of February, March, and August, and the highest differential, $1.65, applies for the months of September through January. This pattern of differential changes was established by the amendment made effective September 1, 1955.

In view of the continued pronounced seasonal variation in production, it is concluded that about the same range in price differential changes should be maintained. The changes in the seasonal pattern set forth in the attached amending language are designed to provide incentive for improving the seasonal production-sales relationship, as well as to give some consideration to the existing price differences in individual months compared with neighboring markets. Exceptions to the recommended decision complained that the change in the March Class I differential from the intermediate level to the lowest seasonal level did not comport with the level of utilization in that month relative to other months and the amount of other source milk used in March 1956 for meeting Class I needs. It was pointed out that the recommended decision also provided a decrease in the supply-demand price adjustment for March.

The change in the base utilization percentage for March, as explained elsewhere in this decision, is for the purpose of avoiding a contra-seasonal price movement from action of the supply-demand adjustment.

With respect to the changes in the seasonal schedule of Class I price differentials, it is possible to retain March in the intermediate differential months, as is the case under present order provisions, and yet arrive at nearly the same average annual price level as provided in the recommended decision, if small changes are made in the differentials for the months of February, and April through August. It is concluded that this should be done. In the attached order provisions, the differentials for the months of September through January, for the Athens district, would be $1.80, for February, March, and August, $1.35, and for April through July, 90 cents. This schedule of differentials would be 15 cents per hundredweight higher than the present differentials in the months of September through January, 25 cents higher in February, March, and August, and 10 cents higher in the months of April through July. Class I price differentials for the Gallipolis-Scioto and Huntington districts would be 10 and 20 cents higher, respectively, in each month than the Athens differentials. The greater increase in August is appropriate, since this month is just prior to the short production season and because of the wide difference between the Athens district and the Wheeling order Class I differentials. The changes for February and March represent, besides the general increase mentioned, also a seasonally different distribution of returns, which is in accord with the producer request for a seasonally higher level in these months in view of production conditions and Class I requirements of the market. Changes made in February and August also serve to lessen the widest seasonal differences between the Huntington district and Bluefield order prices.

2. *Allocation of Class I milk to shipping plants.* The amount of milk which a fluid milk plant may allocate to a supply plant during the months of February through September pursuant to § 972.34 (c) of the order should be limited by the monthly average amount of milk received from producers at the supply plant in the preceding months of October through January. No allocation of Class I milk should be made between fluid milk plants, except with respect to actual transfers of milk.

Under the provisions of § 972.34 (c), a fluid milk plant may, during the months of February through September, allocate some of its Class I utilization to any supply plant which transferred milk to such fluid milk plant in at least three of the months of October through January immediately preceding. Such allocation does not depend on actual physical transfer of the milk in the February-September period, but the total allocation in each such month, including allocation with respect to actual transfers in the current month, is limited by the smaller of (1) the monthly average allocation on transfers in the preceding October-January period, or (2) a percentage of the total Class I milk in the fluid milk plant in the current month which is the same as the percentage the amount described in (1) above is of the Class I milk in the fluid milk plant in the preceding October-January period.

A producer representative operating a supply plant proposed that an additional limit be placed on such allocation to prevent any allocation greater than the amount of producer milk received at the supply plant in the preceding October-January period. It was pointed out that such an allocation could occur if in the October-January period the supply plant handled other source milk, part or all of which was transferred to a fluid milk plant. In this way the supply plant might build up a credit for "pass-back" allocation in the following February-September period exceeding the volume of producer milk at the supply plant in the prior months of October through January.

The proposed limitation on pass-back allocation would not limit the amount of allocation in relation to the amount of producer milk in the supply plant in the current month of the February-September period. There could be instances in which a supply plant would be handling little, or considerably less, producer milk in these months than it handled in prior fall and winter months, and at the same time might be handling considerable volumes of other source milk representing surplus of unregulated plants. In such an instance, pass-back allocation of Class I utilization could result in giving other source milk in the supply plant a preference over producer milk in the fluid milk plant. It is concluded that the amount of the Class I use in the fluid milk plant in the February-September period, which may be allocated to a supply plant, should, in addition to the other limitations, be limited to the amount of producer milk in the supply plant in the current month.

The provisions of § 972.34 (c) should not be extended to provide for similar allocation of Class I milk to fluid milk plants where no actual transfer of milk in the current month occurs. It was not indicated on the record how a workable provision with this purpose resulting in equitable allocation of utilization could be constructed. In this connection, reference is made to the findings and conclusions on the same matter in the Secretary's decision issued August 8, 1955.

3. *Location differentials.* The rate of location adjustment allowed to plants more than 45 miles and less than 100 miles from designated reference points should be reduced from 2½ cents for each ten miles to 2 cents for each ten miles. No location allowance should be given to plants at distances less than 45 miles.

A producer group proposed that location credits to handlers on Class I milk be reduced to 2 cents, instead of 2.5 cents, for each ten miles up to 100 miles from the nearest reference point stated in the order, and be reduced to 1 cent, instead of 1½ cents, for each ten miles over 100 miles. The producer group also proposed that the smallest mileage to which the location credits apply should be increased from 25 miles to 65 miles. With respect to producer location differentials, it was proposed that these apply only to Class I milk rather than to all milk.

Evidence was submitted by the operator of a milk shipping plant that the cost of moving milk in a 22,000 pound tank truck is about 18 cents per hundredweight for 100 miles. It was also pointed out that it is common for handlers to move milk within the same pricing district of the marketing area for distances in excess of 50 miles. On such milk movements, no location credit is allowed by the order. Proponent asserted such evidence shows that the allowances in the order are generally in excess of current costs of transporting milk.

Two handlers gave evidence, previously mentioned herein, of higher costs for moving milk from plants in Athens and Marietta to Huntington. These costs, however, were for packaged milk, and are not considered to be an appropriate basis for establishing location allowances when a less costly method of moving milk is available.

Official notice is taken of price announcements of the market administrator which show location allowances of 12½ cents per hundredweight to a plant at Circleville, Ohio, and 31 cents to a plant at Welch, West Virginia. Since the time of the hearing, the plant at Welch has become regulated under Order No. 112, regulating the handling of milk in the Bluefield marketing area. The plant at Circleville, Ohio, is about 50 miles from the nearest reference point (Jackson) from which the mileage distance to such plant is computed.

It is concluded that the proposed reduction in the rate of location allowances to handlers should be adopted with respect to distances not exceeding 100 miles. There was no direct evidence as to changes in the cost of movements of milk exceeding 100 miles. It is also concluded that location differentials should not apply for distances less than 45 miles. There are not now any plants to which location differentials apply within such distance, and there is no economic need for a supply plant so near to the plant from which the milk is distributed.

Within such a distance milk may be ordinarily moved direct from the farm to the plant.

With respect to proposal to apply producer location differentials only to Class I milk, it is concluded that this proposal should be denied. The differential applied to producer uniform prices of each handler should continue to be at the same rate as allowed handlers with respect to Class I milk. These differentials, as applied to producer prices, represent the difference in value for whole milk as received at plants in various locations.

The provisions with respect to producer location differentials do not need to be modified to take account of the changes in the location credits to handlers, inasmuch as § 972.72 of the order applies the same rate to producer payments as is allowed to handlers on Class I.

Ruling on exceptions. Within the period reserved therefor, interested parties filed exceptions to certain of the findings, conclusions and actions recommended by the Acting Deputy Administrator. In arriving at the findings, conclusions, and regulatory provisions of this decision, each of such exceptions was carefully and fully considered in conjunction with the record evidence pertaining thereto. To the extent that findings, conclusions and actions decided upon herein are at variance with any of the exceptions, such exceptions are overruled.

Determination of representative period. The month of October 1956 is hereby determined to be the representative period for the purpose of ascertaining whether the issuance of the order amending the order, as amended, regulating the handling of milk in the Tri-State marketing area, in the manner set forth in the attached amending order, is approved or favored by producers, as defined in the order, as amended, and as proposed hereby to be further amended, who, during such representative period, were engaged in the production of milk for sale in the marketing area as defined in the order, as amended, and as proposed hereby to be further amended.

General findings. (a) The proposed marketing agreement and the order, as amended, and as hereby proposed to be further amended, and all of the terms and conditions thereof will tend to effectuate the declared policy of the Act;

(b) The parity prices of milk as determined pursuant to section 2 of the act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply of and demand for milk in the marketing area, and the minimum prices specified in the proposed marketing agreement and the order, as amended, and as hereby proposed to be further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest; and

(c) The proposed order, as amended, and as hereby proposed to be further amended, will regulate the handling of milk in the same manner as, and will be applicable only to persons in the respective classes of industrial and commercial activity specified in a marketing agreement upon which a hearing has been held.

Marketing agreement and order, amending the order, as amended. Annexed hereto and made a part hereof are two documents entitled respectively, "Marketing Agreement Regulating the Handling of Milk in the Tri-State Marketing Area", and "Order Amending the Order, as Amended, Regulating the Handling of Milk in the Tri-State Marketing Area", which have been decided upon as the detailed and appropriate means of effectuating the foregoing conclusions. These documents shall not become effective unless and until the requirements of § 900.14 of the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and orders have been met.

It is hereby ordered, That all of this decision, except the attached marketing agreement, be published in the FEDERAL REGISTER. The regulatory provisions of said marketing agreement are identical with those contained in the order, as amended, and proposed to be hereby further amended.

This decision filed at Washington, D. C., this 17th day of January 1957.

[SEAL] EARL L. BUTZ,
Assistant Secretary.

Order [1] Amending the Order, as Amended, Regulating the Handling of Milk in the Tri-State Marketing Area

§ 972.0 *Findings and determinations.* The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations previously made in connection with the issuance of the aforesaid order; and all of said previous findings and determinations are hereby ratified and affirmed, except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) *Findings upon the basis of the hearing record.* Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), a public hearing was held upon certain proposed amendments to the tentative marketing agreement and to the order, as amended, regulating the handling of milk in the Tri-State marketing area. Upon the basis of the evidence introduced at such hearing and the record thereof, it is found that:

(1) The said order, as amended, and as hereby further amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the act;

(2) The parity prices of milk produced for sale in the said marketing area as determined pursuant to section 2 of the act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supplies of and demand for such milk, and the minimum prices specified in the order, as amended, and as hereby further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk and be in the public interest; and

(3) The said order, as amended, and as hereby further amended, regulates the handling of milk in the same manner as and is applicable only to persons in the respective classes of industrial and commercial activity specified in a marketing agreement upon which a hearing has been held.

Order relative to handling. It is therefore ordered, that on and after the effective date hereof the handling of milk in the Tri-State marketing area shall be in conformity to and in compliance with the terms and conditions of the aforesaid order, as amended, and as hereby further amended as follows:

1. In § 972.34 (c), add subparagraph (3) as follows:

(3) The quantity of milk received from producers at such supply plant during the current month.

2. Delete § 792.41 (a), and substitute the following:

(a) Add the following amounts for the months indicated:

	February, March, and August	April, May, June, and July	September, October, November, December, and January
Huntington district plants	$1.55	$1.10	$2.00
Gallipolis-Scioto district plants	1.45	1.00	1.90
Athens district plants	1.35	.90	1.80

3. Delete the table in § 972.41 (b) (2), and substitute the following:

Month for which price is being computed	Base utilization percentages	
	Minimum	Maximum
January	103	107
February	103	107
March	99	103
April	95	99
May	93	97
June	87	91
July	77	81
August	68	72
September	64	68
October	68	72
November	79	83
December	94	98

4. Delete § 972.48 and substitute the following:

§ 972.48 *Location adjustment credits to handlers.* The price for Class I milk at a fluid milk plant or supply plant located outside the marketing area and more than 45 miles from the nearest of the following listed places, shall be, regardless of point of sale within or out-

[1] This order shall not become effective unless and until the requirements of § 900.14 of the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and orders have been met.

side the marketing area, the same as the price for Class I milk (§ 972.41) for the district of the marketing area in which such nearest listed place is located, less a location adjustment computed as follows: 2 cents per hundredweight for each 10 miles, or major fraction thereof, up to 100 miles, and 1.5 cents per hundredweight for each 10 miles, or major fraction thereof, in excess of 100 miles, by the shortest hard-surfaced highway distance as determined by the market administrator, from such fluid milk plant to such nearest listed place:

City Hall, Huntington, W. Va.
City Hall, Ashland, Ky.
City Hall, Portsmouth, Ohio.
City Hall, Jackson, Ohio.
City Hall, Athens, Ohio.
City Hall, Marietta, Ohio.
City Hall, Gallipolis, Ohio.

[F. R. Doc. 57-451; Filed, Jan. 22, 1957; 8:48 a. m.]

[7 CFR Part 975]

[Docket No. AO-179-A15]

MILK IN CLEVELAND, OHIO, MARKETING AREA

DECISION WITH RESPECT TO PROPOSED MARKETING AGREEMENT AND PROPOSED AMENDMENTS TO ORDER, AS AMENDED

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing the proceedings to formulate marketing agreements and marketing orders (7 CFR Part 900), a public hearing was conducted at Cleveland, Ohio, on October 10-12, 1956, pursuant to notice thereof which was issued on October 3, 1956 (21 F. R. 7686).

Upon the basis of the evidence introduced at the hearing and the record thereof, the Deputy Administrator, Agricultural Marketing Service, on January 2, 1957, filed with the Hearing Clerk, United States Department of Agriculture, his recommended decision in this proceeding. The notice of filing such recommended decision and opportunity to file written exceptions thereto was published in the FEDERAL REGISTER on January 5, 1957 (22 F. R. 146).

1. Revision of the Class I price as to:
(a) Level.
(b) Seasonality.
(c) Supply demand adjustment.
2. Level of the Class III milk price.
3. Changes in the eligible milk quota plan concerning:
(a) Quota rules.
(b) Quotas for new producers.
(c) Number of operating months.
4. Classification of milk moved to, or allocation of milk from plants regulated under other Federal orders.
5. Revision of location adjustments.
6. Review of other provisions affecting:
(a) Classification of cream moved to distant plants.
(b) Exemption of handlers doing business in the marketing area.
(c) Allocation of shrinkage on producer milk transferred in bulk between pool plants.
(d) Certain administrative procedures.

1. The level, seasonally and supply-demand adjustment of the price for Class I milk.

The price for Class I milk under the Cleveland order is determined by adding to a basic formula price $1.40 for the months of February through July and $1.85 for other months. The price is subject to adjustment of not more than 25 cents on the basis of supply-sales relationship in the immediately preceding two-month period. The supply-demand adjustment has been suspended for the months of October, November and December 1956, pending this hearing and action on the record thereof.

Producer groups proposed that the Class I differential be $2.25 for all months of the year and that supply-demand adjustment be based upon the ratio of combined receipts to Class I utilization for the Cleveland, Akron and Stark County markets as compared with revised standard utilization percentages. These proposals raise three separate issues which will be considered separately: the level of the Class I differential, seasonal changes in the Class I differential, and the supply-demand adjustment of the Class I price.

(a) *The level of the Class I price differential.* In support of the proposal to increase the Class I price differential to $2.25 producers cite increased production costs, feed shortages, premiums over minimum order prices currently being paid by Cleveland handlers, and competitive prices paid by nearby markets, regulated and otherwise, with which Cleveland competes for supplies.

It is difficult to evaluate, at this time, the effect that these factors have had on the Cleveland milk supply. As of May 1, 1955, an increase in the marketing area added substantial volumes of receipts and sales to the Cleveland pool. As of August 1955, a plant with substantial receipts and sales which, up to that time, were included in the Cleveland pool became subject to the Akron order. For the year 1954, producer receipts were 154 percent of milk and cream sales whereas for 1955 this ratio had declined to 143 percent. For the first eight months of 1956, monthly ratios of receipts to sales averaged 133 percent as compared to 152 percent for the same months of 1955. Supplies during January through April of this year were only slightly higher than a year ago, while sales were substantially higher. Supplies in May, June and July were substantially less than a year earlier with sales only slightly higher. The change in the seasonal pattern of producer deliveries noted elsewhere in this decision was most marked during this period. Adverse weather conditions also had some probable effect on milk supplies in the early summer months of 1956. It is significant, however, that for August supplies and sales were about identical with those of a year earlier, and that a ratio of receipts to sales at approximately the 1955 level has continued through October. It must be concluded that the level of milk supply in what is normally the short season of production has been maintained, and that no increase in the level of the fixed Class I price differential is required to encourage additional production.

(b) *Seasonal changes in the Class I differential.* Seasonal changes in the Class I differential should be retained at this time.

Producers and handlers are united in the support of a uniform Class I differential throughout the months of the year. Producers supported a uniform differential at a higher annual level than that now prevailing while handlers' support was for a uniform differential applicable in all months of the year at approximately the present annual average level.

The support for elimination of seasonality in the Class I price differential is based largely on the claim that (1) Class I sales are lost as resale prices change with seasonal changes in producer prices, and (2) the eligible milk quota plan eliminates need for seasonal pricing.

The record indicates, however, that seasonal pricing is used in the nearby unregulated Youngstown market, and in the unregulated (Federally) Pittsburgh market which competes for supplies in the Cleveland supply area. Cleveland also competes for supplies with the Detroit and Toledo markets, the orders for which include seasonal pricing. Consideration is now being given to regulation of an area between Cleveland and Toledo for which price alignment would be particularly difficult if the discrepancy in price patterns of these two markets were widened.

It is concluded that changes in the seasonal patterns of pricing in the Cleveland market should be deferred until such time as its adoption could promote greater uniformity in pricing patterns between markets rather than have the contrary effect.

(c) *Supply-demand adjustment.* The supply-sales relationship used as a basis for adjustment of the Class I price should be that of the combined receipts and sales of the Cleveland-Akron-Stark County markets. The standard utilization percentages, deviations from which result in price adjustment, should be revised to reflect the changed seasonal patterns of utilization to be expected in the markets and the level of reserve supply required by present marketing practices.

The Class I prices of the Akron and Stark County orders are maintained in fixed alignment with that of the Cleveland order and it is proposed that such alignment be maintained in a merged order to regulate the handling of milk in the combined Akron-Stark County marketing area. Cleveland handlers make substantial sales of milk in the Akron-Stark County area. An Akron handler operates more than 30 dairy stores in the Cleveland marketing area. The Akron-Stark County supply area lies wholly within the Cleveland milkshed. Presently supplies of milk associated with the Cleveland pool and sales by handlers regulated under the Cleveland order determine the supply-demand adjustment of the Class I price affecting the three markets. Intermarket competition for supplies or sales may readily affect the Class I price of all markets without any change in the overall supply or sales volumes merely by transfer of supply or

sales from one plant to another. Since the competitive situation is such as to require fixed alignment of Class I prices, it is appropriate that the ratio of total supplies to total sales should be the basis for adjustment of Class I prices to supply-demand conditions.

A very substantial change in the seasonal pattern of production has taken place in the Cleveland market in the past two years. Seasonal variations in deliveries per producer and for the market as a whole are not nearly as great as in former years. Daily deliveries per producer in May 1956 were 123 percent of those in November 1955. May 1954 daily deliveries per producer were 160 percent of those for November 1953. Total market deliveries for May 1956 were only 117 percent of those for the preceding November. Somewhat similar changes in the seasonal pattern of deliveries appear to have taken place in the Akron-Stark County market.

The eligible milk quota plan under which payments were first made in the Cleveland market in April–June 1956 on quotas established by deliveries in the last three months of 1955 undoubtedly has had considerable effect in leveling the seasonality of deliveries the past year. Adverse weather conditions in the months of normally flush production may also have contributed.

The standard utilization percentages presently included in the order were based upon experience prior to 1955 with some adjustment for the expected effect of the eligible milk quota plan then being included in the order. It is now evident that these percentages do not reflect the seasonal pattern of utilization that can now be expected in the market. The seasonal pattern of utilization in the three markets has likewise changed and follows rather closely that now to be expected in the Cleveland market.

With lower seasonal variations in supplies more reserve supplies can be carried in the short season without burdensome spring surpluses. Producers in the Cleveland market have leveled production in part by decreasing spring production and in part by increasing fall production. Standard utilization percentages can reflect a somewhat higher short season supply without reflecting any increase in the annual average level of supply since correspondingly lower percentages will apply for the spring season.

It is concluded that the standard utilization percentages with which the combined Cleveland-Akron-Stark County ratio of receipts to sales will be compared should be as follows:

Month priced	2-month period used	Standard utilization percentage
January	November–December	123
February	December–January	126
March	January–February	129
April	February–March	132
May	March–April	135
June	April–May	144
July	May–June	149
August	June–July	144
September	July–August	131
October	August–September	125
November	September–October	123
December	October–November	122

The simple average of these percentages is about four points less than that of those presently included in the order. The higher utilization for the combined markets as compared with the Cleveland market will approximately offset the results of this change in the standard.

2. The Class III milk price should not be revised.

The Class III milk price is now determined by using the basic formula price which is the higher of a group of midwest condenseries or a butter-powder formula.

Wayne Cooperative Milk Producers proposed the Class III milk price should be the basic formula price less 20 cents. Reasons given by this cooperative for the reduction in price were as follows:

(1) The price it pays for surplus milk must be comparable to the prices paid by its competitors and from January 1956, through August 1956, the Class III price has been 17 cents per hundredweight higher than the support price for manufacturing milk as announced by the Department, (2) that there are difficulties involved in marketing manufactured dairy products made from surplus milk due to variations in volume, (3) that their costs in the manufacture of butter and powder exceed by 25 cents per hundredweight their returns for such products, (4) that the Class III price for the first 8 months of 1956 has averaged 9.6 cents above the price for milk for similar use in the Federally regulated markets of Fort Wayne, Detroit, Dayton-Springfield, Cincinnati, Chicago, Toledo and Lima, and (5) that the make allowance of 55.6 cents as provided in the butter-powder formula is 19.4 cents below their cost of operation.

Other handlers did not offer direct testimony concerning the level of the Class III price but in their briefs stated that such milk should be priced in relation to its recovery value.

In opposing, three other producer groups testified that a reduction in the Class III milk price would decrease returns to all producers for their milk deliveries. It was claimed that a Class III price too low serves to encourage plants with manufacturing facilities to carry more than an adequate reserve supply to insure Class I or fluid milk market requirements.

The amount of milk classified as Class III milk in 1954 averaged 26 percent of all producer receipts, in 1955 it averaged 25 percent, and for the first nine months of 1956, 21.1 percent. Milk utilized as nonfat dry milk represented 19.6 percent of producer receipts in 1954, 13.4 percent in 1955 and 8.2 percent for the first nine months of 1956. Amounts used to produce butter represented 1.5 percent of producer receipts in 1954, 0.8 percent in 1955 and in the first nine months of 1956 seven-tenths of one percent.

The proponent cooperative operates two pool plants under this order, one of which is located at Fort Wayne, Indiana; the other at Coldwater, Michigan. There is direct competition for supply at these two Cleveland pool plants with the Fort Wayne and Detroit market supplies. Consequently, a comparison of price for milk in these markets is more appropriate than with more distant ones. The Federal order prices in Fort Wayne and Detroit markets for milk used to produce products similar to Cleveland order Class III products are in close alignment with the Cleveland Class III price.

Present indications are that the quantities of milk which need to be utilized as Class III are being reduced. In 1954 this order was amended to include a plan to achieve more level seasonal production. This plan has tended to alleviate the problem of excessive amounts of producer milk for use as Class III both annually and seasonally.

The Federal order markets of Akron and Stark County use the basic formula to price milk of corresponding use to the Cleveland Class III milk. The fact that several handlers have plants in two or more of these markets, the ease with which they can shift manufacturing operations by transferring or diverting producers, and the close competition between them makes it highly desirable that prices for milk used to produce manufactured products in all three markets be held in close alignment.

A level of prices for Class III milk should be provided so as to encourage the transfer of milk from manufacturing to higher-valued uses. The Class III milk price as now determined in this order reflects an appropriate value for milk used to produce manufactured dairy products. The request to decrease the Class III milk price by 20 cents is denied.

3. The provisions concerning quota rules should be revised. The number of operating months should not be changed and no additional provisions should be added for establishment of quotas by new producers.

The order presently provides for transfer of a producer quota from one producer to another.

Producers proposed that transfer of quotas be limited to those cases in which (a) a member of the immediate family carries on the dairy operation on the same farm in the event of a producer's death or (b) there is a division between joint holders of a quota.

Considerable administrative detail is involved in the provisions for unlimited transfers of quotas. Since the quota plan is effective in determining producer payments in only three months of each year and since all producers must establish new quotas each year, there is little need to provide for widespread transfers of quotas involving such administrative detail. The proposed rules will provide an administratively feasible plan for the necessary transfers of quotas in cases of death in a family or where partnerships are dissolved. They should be adopted.

Certain handlers proposed that the quota operating period be extended to include February through July with provision for quotas to new producers entering the market. Handlers believe the quota plan has been highly effective during the relatively short time it has been a part of this order. It was their contention that an extension of the quota operating periods from three to six months would further the effectiveness of the quota plan in obtaining more even

production. It was further contended that, (a) the even producer should receive a greater share of the Class I price for a longer period of time than now provided and (b) more encouragement to level production should be provided to those producers who have been less responsive to the plan. Handlers also contended new producers should be provided a quota so they would be encouraged to enter the market any time available and needed.

Three producer groups in opposing the extension of the quota operating period and provision for making quotas other than in the three quota forming months stated: (a) The market has adequate reserve supplies without the necessity of providing quotas for new producers and (b) the division of returns among producers is of primary concern to producers, who in this incidence, oppose any change in the order effecting their returns.

Significant changes in the pattern of production did occur during the first year the quota plan was operative in this order. During the April through June quota operating period, approximately one-third of all producers were within quota and 61 percent produced within 125 percent of quota. It is notable that 20 percent of all producers averaged over 500 pounds of milk per day. About half of this group were within quota and 85 percent were within 125 percent of quota. Of those producers averaging under 500 pounds of milk per day, 30 percent were within quota and 56 percent within 125 percent of quota.

Producers may enter the market at any time. Present order provisions provide payment to producers who have no quota at the uniform price, except April through June, when such producers would receive payment at the ineligible milk price.

In view of the above facts additional time should be provided for the operation of the present order provisions dealing with the quota operating period before any substantial change is made. The proposals to extend the quota operating period from three to six months and provision of quotas for new producers should not be adopted at this time.

4. No change in the Cleveland order should be made on the basis of this record to change the classification of milk moved to, or the allocation of milk received from plants regulated under other Federal orders.

Two separate sets of proposals affecting movements of milk between Cleveland pool plants and plants regulated by other Federal orders were presented by handlers. One such set of proposals related specifically to movements involving Akron-Stark County plants, while the other set of proposals would have more general application.

In general it was proposed to (a) permit shipments to Akron-Stark County plants to count toward qualification of a supply plant for pool plant status under the Cleveland order, (b) permit classification of milk transferred from Cleveland pool plants to plants subject to other orders to be as agreed upon by the handlers involved, as classification of milk transferred between Cleveland pool plants is now determined, and (c) to exempt receipts of milk transferred to Cleveland plants from plants subject to other orders from yielding prior claim for Class I use to receipts of Cleveland pool milk.

This record indicates that nearby markets under Federal regulation depend to some extent on the supply of Cleveland pool milk for reserve supplies in seasons of short supply. The availability of Cleveland reserve supplies relieves such markets of the necessity of carrying fully adequate reserve supplies, and provides opportunity for maintenance of high Class I utilization in such markets. The changes proposed in the Cleveland order would not serve to meet this situation. This fact was recognized by the proponents who indicated that identical amendments in other orders would be required.

The principle of assigning producer milk under each order to the highest priced available use should be waived in favor of milk from another regulated market only on the basis of specific evidence that the exporting market performs services for the receiving market which merit special consideration. Such consideration could only be given to intermarket movements in a single direction. Under such circumstances classification and allocation should be based on specific rules designed to fit the circumstances rather than upon agreement of handlers. There is nothing in this record to indicate that Cleveland depends upon other markets for services that would warrant the changes proposed in the Cleveland order.

5. Provisions for location adjustments on milk received at plants less than 60 miles from Cleveland should be revised to conform with those applicable elsewhere and the minimum distance at which adjustments apply should be increased from 30 to 40 miles.

Under the present provisions of the Cleveland order, the value of milk received from producers at a pool plant located more than 30 miles but not more than 60 miles from the Public Square in Cleveland is computed at the class prices applicable to plants located in Cleveland, and the handler operating such plant is credited with paying the f. o. b. Cleveland producer prices in determining his pool debit or credit. He is permitted, however, to deduct 13 cents per hundredweight (except with respect to ineligible milk) in making settlement to producers. At plants located more than 60 miles from Cleveland, handler location adjustments are used in computing the value of milk classified as Class I or Class II milk. Location adjustments at the same rate apply to the producer price for all except ineligible milk.

Within the 30–60 mile zone there are presently three supply plants and nine bottling plants. A group of producers delivering milk to one of the supply plants proposed that the permissive deduction of 13 cents from producer prices in this zone be deleted. This particular plant has not taken the full 13-cent deduction any of the last 20 months and in 7 of these months has paid full f. o. b. Cleveland price or more. At the other two supply plants the 13-cent deduction is taken with much greater regularity.

These supply plants are located in areas from which many farmers now deliver their milk directly to bottling plants in Cleveland. The 13-cent differential represents fairly well the average amount that producers supplying these plants save in farm to plant hauling costs as compared to delivernig their milk to Cleveland. Premium payments at these locations have resulted more from competition from other markets, principally Akron, than from competition with direct delivery to Cleveland. Cleveland handlers procuring direct shipped supplies from the competitive area have also paid premiums.

Location adjustments should be retained within the 60-mile zone but should be consistent with those prevailing at more distant plants. The handler credit should be restricted to Class I and II milk. Present provisions encourage Class III use of milk located nearest the marketing area.

The bottling plants in the present 30–60 mile zone became subject to the order May 1955 when the marketing area was expanded. Those located within 40 miles of Cleveland are in no position to take advantage of the 13-cent deduction provision. At Painesville, Ohio, one plant is 28.3 miles from Cleveland and three others are between 33 and 34 miles. Eliminating provision for location adjustments within the 30–40 mile zone will eliminate difference in treatment of nearby plants serving essentially the same segment of the marketing area.

The decision to make 40–60 mile location adjustment provisions consistent with those applicable beyond 60 miles renders unnecessary certain technical correction of the present provisions proposed at the hearing.

6. *Review of other provisions.*

Cream transfers to distant nonpool plants. The order presently classifies as Class I milk transfers to nonpool plants located more than 265 miles from Cleveland in forms specified as Class I milk when disposed of for fluid consumption. A handler proposed that this rule of automatic classification on the basis of mileage not apply to transfers in the form of cream. He proposed that instead the provisions applicable to movements within 265 miles, certification of use by the receiver and privilege of audit by the market administrator, apply. Determination of use of cream shipped to distant plants would involve considerable administrative expense. The record shows no lack of facilities for disposition of Class III milk within the 265 mile zone. It is concluded that no change in the transfer provisions should be made on the basis of this record.

Exemption of handlers doing little business in the marketing area. The order presently exempts from regulation plants from which routes entering the marketing area dispose of less than an average of 300 units (quarts of milk or equivalent) daily. A handler proposed deletion of this exemption. Only one handler is presently selling milk in the

area under this exemption, continuing minor sales in a portion of the marketing area added by the amendment effective May 1955.

The provision provides a feasible means of avoiding full regulation of plants whose association with the marketing area is of such a minor and incidental nature that such regulation would accomplish nothing. It should be retained.

Allocation of shrinkage on producer milk transferred in bulk between pool plants. It was proposed that provisions be made for handlers to agree upon an equal division of the two percent shrinkage allowance on producer milk transferred in bulk between pool plants. The order presently reserves the entire allowance to the plant receiving the milk from producers. Optional agreement between the handlers was proposed because some supply arrangements in the Cleveland market entail considerably more opportunity for plant loss to the plant receiving milk from producers than is normally the case.

Processing plants which receive bulk shipments from supply plants encounter losses in processing and packaging such milk. The present provisions limit the application of the shrinkage allowance on milk so handled to the operations carried out by the supply plant. Within the overall two percent limit plant losses incurred in later operations should be allowed the same as if all processing were done in the plant at which milk is received from producers. The proposal represents a practical means for accomplishing this and should be adopted.

Certain administrative procedures. Certain changes of an administrative nature should be made. The present provision requiring a pool plant operator to notify the market administrator on or before January 31 of his desire for his operation to continue as a pool plant will be changed so that such plant will continue to be a pool plant, if so qualified, unless written advice to the contrary is furnished the market administrator. This change in order language should be made.

A typographical error in § 975.75 (a) should be corrected so that the order will correctly describe the procedure for calculation of the eligible milk price.

General findings. (a) The tentative marketing agreement and the order, as amended, and as hereby proposed to be further amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the Act;

(b) The parity prices of milk as determined pursuant to section 2 of the Act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply and demand for milk in the marketing area, and the minimum prices specified in the proposed marketing agreement and the order, as amended, and as hereby proposed to be further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest; and

(c) The tentative marketing agreement and the order, as amended, and as hereby proposed to be further amended, will regulate the handling of milk in the same manner as, and will be applicable only to persons in the respective classes of industrial and commercial activity specified in, a marketing agreement upon which a hearing has been held.

Rulings. Within the period reserved for filing exceptions to the recommended decision, exceptions were submitted on behalf of interested parties. These exceptions have been fully considered and to the extent to which the findings and conclusions of this decision are at variance with the exceptions, such exceptions are hereby overruled.

Order of the Secretary directing conduct of a referendum: determination of representative period: and designation of referendum agent. Pursuant to provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 608c (19)), it is hereby directed that a referendum be conducted to determine whether the issuance of the attached order amending the order, as amended, regulating the handling of milk in the Cleveland, Ohio, marketing area, is approved or favored by the producers, as defined under the terms of the order, as amended, and as hereby proposed to be further amended, and who, during the following determined representative period, were engaged in the production of milk for sale within the aforesaid marketing area.

The month of October 1956 is hereby determined to be the representative period for the conduct of such referendum.

Howard G. Eisaman is hereby designated agent of the Secretary to conduct such referendum in accordance with the procedure for the conduct of referenda to determine producer approval of milk marketing orders, as published in the FEDERAL REGISTER on August 10, 1950 (15 F. R. 5177), such referendum to be completed on or before the 10th day from the date this decision is issued.

Marketing agreement and order. Annexed hereto and made a part hereof are two documents entitled respectively, "Marketing Agreement Regulating the Handling of Milk in the Cleveland, Ohio, Marketing Area," and "Order Amending the Order, as Amended, Regulating the Handling of Milk in the Cleveland, Ohio, Marketing Area," which have been decided upon as the detailed and appropriate means of effectuating the foregoing conclusions. These documents shall not become effective unless and until the requirements of § 900.14 of the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and orders have been met.

It is hereby ordered, That all of this decision except the attached marketing agreement, be published in the FEDERAL REGISTER. The regulatory provisions of said marketing agreement are identical with those contained in the order, as amended, and as hereby proposed to be further amended by the attached order which will be published with this decision.

This decision filed at Washington, D. C., this 17th day of January 1957.

[SEAL] EARL L. BUTZ,
Assistant Secretary.

Order[1] Amending the Order, as Amended, Regulating the Handling of Milk in the Cleveland, Ohio, Marketing Area

§ 975.0 *Findings and determinations.* The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations previously made in connection with the issuance of the aforesaid order and of each of the previously issued amendments thereto; and all of said previous findings and determinations are hereby ratified and affirmed except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) *Findings upon the basis of the hearing record.* Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure, as amended, governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), a public hearing was held at Cleveland, Ohio, during October 10–12, 1956, upon certain proposed amendments to the tentative marketing agreement and to the order, as amended, regulating the handling of milk in the Cleveland, Ohio, marketing area. Upon the basis of the evidence introduced at such hearing and the record thereof, it is found that:

(1) The said order, as amended and as hereby further amended, and all of the terms and conditions thereof will tend to effectuate the declared policy of the act;

(2) The parity prices of milk as determined pursuant to section 2 of the act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply and demand for milk in the said marketing area and the minimum prices specified in the order, as amended, and as hereby further amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest; and

(3) The said order, as amended, and as hereby further amended, regulates the handling of milk in the same manner as and is applicable only to persons in the respective classes of industrial and commercial activity specified in a marketing agreement upon which a hearing has been held.

Order relative to handling. It is therefore ordered, That on and after the effective date hereof, the handling of milk in the Cleveland, Ohio, marketing area shall be in conformity to and in compliance with the terms and conditions of the aforesaid order, as amended, and as hereby further amended; and the aforesaid order, as amended, is hereby further amended as follows:

1. In § 975.30 (b) following the phrase "such plant shall" delete the words "upon written application to the market administrator on or before January 31

[1] This order shall not become effective unless and until the requirements of § 900.14 of the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and orders have been met.

of any year" and substitute therefor "unless written advice to the contrary is furnished the market administrator on or before January 31".

2. Add the following as § 975.52 (c).

(c) Where producer milk is transferred in bulk from a pool plant to the pool plant of another handler, and the operators of such plants have so requested the market administrator in writing prior to the delivery period within which the transfer occurred, the maximum allowance for shrinkage pursuant to § 975.51 (c) (3) with respect to such milk shall be divided equally between the transferor and transferee plants.

3. Delete § 975.61 and substitute therefor the following:

§ 975.61 *Class I milk prices.* The respective minimum prices per hundredweight to be paid by each handler, f. o. b. his plant for milk received from producers or from a pool plant of a cooperative association, during the delivery period which is classified as Class I milk, shall be as follows as computed by the market administrator:

(a) Add to the basic formula price the following amount for the period indicated:

Delivery period:	*Amount*
February through July	$1.40
All others	1.85

(b) Add or subtract a "supply-demand adjustment" computed as follows:

(1) With respect to receipts and utilization of the Cleveland and Akron-Stark County, Ohio, marketing areas during the first and second months preceding the delivery period, combine into separate totals:

(i) The total quantity of milk received from producers defined in § 975.8 and in § 960.7 of the order regulating the handling of milk in the Akron-Stark County, Ohio, marketing area; and

(ii) The gross quantity of milk utilized as Class I at pool plants pursuant to § 975.30 and to § 960.5 of the order regulating the handling of milk in the Akron-Stark County, Ohio, marketing area, exclusive of interhandler and intermarket transfers between such plants.

(2) Divide the result obtained in subparagraph (1) (i) of this paragraph by that obtained in subparapragh (1) (ii) of this paragraph, multiply by 100, and round to the nearest whole number. This result shall be known as the "current utilization percentage."

(3) Compute a "deviation percentage" by subtracting from the current utilization percentage computed in subparagraph (2) of this paragraph the "standard utilization percentage" shown below:

Month for which the price is being computed:	*Standard utilization percentage*
January	123
February	126
March	129
April	132
May	135
June	144
July	149
August	144
September	131
October	125
November	123
December	122

(4) Determine the amount of the supply-demand adjustment from the following schedule:

Deviation percentage:	*Amount of supply-demand adjustment (cents)*
+13 or over	−25
+10 or +11	−19
+7 or +8	−13
+4 or +5	−7
+2 or −2	0
−4 or −5	+7
−7 or −8	+13
−10 or −11	+19
−13 or below	+25

When the deviation percentage does not fall within the tabulated brackets, the adjustment shall be determined by the adjacent bracket which is the same as or nearest to the bracket used in the previous month.

4. Effective July 1, 1957, delete § 975.66 and substitute therefor the following:

§ 975.66 *Quota rules.* (a) Except as provided in paragraph (b) of this section, an eligible milk quota shall apply to deliveries of milk by the producer for whose account that milk was delivered to a handler(s) during the quota forming period;

(b) A daily quota may be transferred during the period of April through June by notifying the market administrator in writing before the first day of any delivery period that such quota is to be transferred to the person named in such notice, but under the following conditions only:

(1) In the event of the death of a producer, the entire daily quota may be transferred to a member of such producer's immediate family who carries on the dairy operation on the same farm;

(2) If a quota is held jointly and such joint holding is terminated on the basis of written notice to the market administrator from the joint holders, the entire daily quota may be transferred to one of the joint holders, or divided in accordance with such notice between the former joint holders if they continue dairy farm operations.

5. Delete § 975.71 and substitute therefor the following:

§ 975.71 *Location adjustment to handlers.* In computing the value of such quantities of milk as are received at a pool plant located 40 miles or more, by the shortest highway distance from the Public Square in Cleveland, Ohio, as determined by the market administrator, and classified as Class I or Class II milk, there shall be deducted:

(a) 13 cents per hundredweight, if such distance is more than 40 miles but not more than 60 miles; and

(b) 20 cents per hundredweight, if such distance is more than 60 miles but not more than 74 miles, and 2 cents per hundredweight additional for each 14 miles or fraction thereof in excess of 74 miles.

(c) For the purpose of determining the respective quantities of Class I and Class II milk subject to the location adjustment, each pool handler's utilization of Class I and Class II milk during the month at pool plants as defined in § 975.30 (a) shall be allocated first to receipts of milk from producers' farms at such plants and then to the receipts of producer milk from pool plants as defined in § 975.30 (b) in the order of their nearness to the Public Square in Cleveland, Ohio, by shortest highway distance as determined by the market administrator.

6. In § 975.73 (c) delete "§ 975.81 (b)" and substitute therefor "§ 975.81".

7. In § 975.75 (a) delete "§ 975.73 (a) through (c)" and substitute therefor "§ 975.73 (a) through (e)".

8. In § 975.81 (a) delete "30 miles" and substitute therefor "40 miles".

[F. R. Doc. 57-450; Filed, Jan. 22, 1957; 8:48 a. m.]

[7 CFR Part 1014]

[AO-287]

TOMATOES GROWN IN LOWER RIO GRANDE VALLEY IN TEXAS

NOTICE OF RECOMMENDED DECISION AND OPPORTUNITY TO FILE WRITTEN EXCEPTIONS WITH RESPECT TO PROPOSED MARKETING AGREEMENT NO. 124 AND ORDER NO. 114

Correction

In Federal Register Document 57-284, published at page 301 in the issue for Wednesday, January 16, 1957, paragraph (c) of § 1014.60 was inadvertently omitted. This paragraph reads as follows:

§ 1014.60 *Inspection and certification.* * * *

(c) Insofar as the requirements of this section are concerned, the length of time for which an inspection certificate is valid may be established by the committee with the approval of the Secretary.

NOTICES

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

UTAH

NOTICE OF PROPOSED WITHDRAWAL AND RESERVATION OF LANDS

JANUARY 14, 1957.

An application, Serial No. Utah 019139, for the withdrawal from location, sale, and entry, under the General Mining Laws of the lands described below, subject to existing valid claims, was filed August 9, 1956, by the United States Department of Agriculture.

The purposes of the proposed withdrawals are for the establishment and maintenance of the Hub Ranger Station within the Wasatch National Forest, and for a roadside zone along the Alpine Loop

Highway and a recreation area in the Uinta National Forest.

For a period of thirty days from the date of publication of this notice, persons having cause to object to the proposed withdrawal may present their objections in writing to the State Supervisor for Utah, Bureau of Land Management, Box 777, Salt Lake City 10, Utah. In case any objection is filed and the nature of the opposition is such as to warrant it, a public hearing will be held at a convenient time and place, which will be announced, where opponents to the order may state their views and where proponents of the order can explain its purpose.

The determination of the Secretary on the application will be published in the FEDERAL REGISTER, either in the form of a public land order or in the form of a notice of determination if the application is rejected. In either case, a separate notice will be sent to each interested party of record.

The lands involved in the application are:

SALT LAKE MERIDIAN, UTAH

WASATCH NATIONAL FOREST

Hub Ranger Station Administrative Site

T. 2 S., R. 12 W.,
Sec. 28: SE¼NE¼NE¼, E½SW¼NE¼NE¼, N½SE¼NE¼, N½NE¼SW¼NE¼, NW¼NW¼SW¼NE¼.
Total area 42.5 acres.

UINTA NATIONAL FOREST

Alpine Loop Highway (Utah #80) Roadside Zone

A strip of land 200 feet wide on each side of the center line of Alpine Loop Highway (Utah #80) through the following legal subdivisions:

T. 4 S., R. 2 E.,
Sec. 24: SE¼SW¼, SE¼;
Sec. 25: N½NW¼;
Sec. 26: NW¼, N½NE¼;
Sec. 27: S½NE¼;
Sec. 28: Lots 7, 8, SE¼SW¼, SE¼;
Sec. 33: Lots 1, 2, NE¼NW¼.
T. 4 S., R. 3 E.,
Sec. 19: Lot 4, S½SE¼;
Sec. 20: SW¼SW¼;
Sec. 28: SW¼NW¼, SW¼;
Sec. 29: NW¼, E½SW¼, SE¼;
Sec. 32: NE¼NW¼;
Sec. 33: E½NW¼, W½NE¼, SE¼NE¼, NW¼SE¼, E½SE¼;
Sec. 34: Lot 1.
T. 5 S., R. 3 E.,
Sec. 4: Lots 1, 2, SW¼NE¼, Lots 5, 6, 7, SW¼SE¼;
Sec. 9: NW¼NE¼, Lot 1.
Containing 698.2 acres, more or less.

Cascade Springs Recreation Area

T. 4 S., R. 3 E.,
Sec. 24: S½N½NE¼, S½NE¼, N½SE¼.
Total area, 200 acres.

VAL B. RICHMAN,
State Supervisor.

[F. R. Doc. 57-428; Filed, Jan. 22, 1957; 8:45 a. m.]

DEPARTMENT OF AGRICULTURE

Agricultural Marketing Service

LAJUNTA LIVESTOCK COMMISSION CO., ET AL.

NOTICE RELATIVE TO POSTED STOCKYARDS

Pursuant to the authority delegated to the Director, Livestock Division, Agricultural Marketing Service, United States Department of Agriculture, under the Packers and Stockyards Act, 1921, as amended (7 U. S. C. 181 et seq.), on the respective dates specified below, it was ascertained that the livestock markets named below were stockyards within the definition of that term contained in section 302 of the act (7 U. S. C. 202) and were, therefore, subject to the act, and notice was given to the owners and to the public by posting notice at the stockyards as required by said section 302.

Name of stockyard	*Date of posting*
COLORADO	
LaJunta Livestock Commission Company, LaJunta.	Apr. 20, 1956
IDAHO	
Cattlemans Live Stock Auction, Inc., Nampa.	Dec. 29, 1955
Pocatello Livestock Auction, Inc., Pocatello.	Nov. 16, 1955
IOWA	
Knickman Live Stock Sales Company, Council Bluffs.	Dec. 14, 1955
KANSAS	
Hill City Sale Company, Hill City.	Oct. 18, 1956
KANSAS	
Leoti Livestock Sales Company, Leoti.	Oct. 15, 1956
Oberlin Livestock Exchange, Oberlin.	Oct. 16, 1956
MONTANA	
Shelby Stockyards Company, Shelby.	Feb. 18, 1956
NEBRASKA	
Ainsworth Sale Yards, Ainsworth.	Sept. 6, 1956
Creighton Livestock Market, Creighton.	Jan. 18, 1956
Blue Hill Sales Company, Blue Hill.	Dec. 16, 1955
Republican Valley Livestock Auction, Franklin.	Dec. 16, 1955
Loup City Commission Company, Loup City.	Jan. 18, 1956
Oxford Livestock Commission Company, Oxford.	Dec. 17, 1956
Ord Livestock Market, Ord	Jan. 19, 1956
NEW MEXICO	
Clayton Cattle Auction, Clayton.	Nov. 6, 1956
OKLAHOMA	
Seiling Sales Association, Inc., Seiling.	Mar. 12, 1956
SOUTH DAKOTA	
Gettysburg Livestock Sales Company, Gettysburg.	June 26, 1956
McLaughlin Commission Company, McLaughlin.	Jan. 31, 1956
Martin Livestock Sales, Inc., Martin.	Dec. 4, 1956
Wagner Livestock Sales Company, Wagner.	May 22, 1956
TEXAS	
Big Springs Livestock Auction, Big Springs.	Nov. 29, 1956
Bonham Livestock Commission Company, Bonham.	Nov. 20, 1956
Childress Livestock Commission Company, Childress.	Nov. 9, 1956
Dalhart Livestock Auction Company, Dalhart.	Nov. 6, 1956
J. C. (Po-Boy) Morriss Commission Company, Douglasville.	Nov. 23, 1956
Sig Faircloth Livestock Commission, Eastland.	Nov. 30, 1956
Rains County Livestock Commission Company, Emory.	Nov. 22, 1956
TEXAS—Continued	
Graham Livestock Auction, Graham.	Nov. 13, 1956
Greenville Livestock Commission Company, Greenville.	Nov. 21, 1956
Keeton Livestock Commission Company, Lubbock.	Nov. 5, 1956
Paris Livestock Commission Company (North Barn), Paris.	Nov. 20, 1956
Paris Livestock Commission Company (South Barn), Paris.	Nov. 20, 1956
Perryton Cattle Commission Company, Perryton.	Nov. 8, 1956
Quanah Livestock Commission Company, Quanah.	Nov. 10, 1956
Seymour Livestock Commission Company, Seymour.	Nov. 14, 1956
Shamrock Auction Sale, Shamrock.	Nov. 8, 1956
Tri-County Auction Company, Sweetwater.	Nov. 28, 1956
Wellington Livestock Sale, Wellington.	Nov. 8, 1956
Winnsboro Livestock Commission Company, Winnsboro.	Nov. 22, 1956
Olney Livestock Auction, Olney.	Nov. 14, 1956
Hall County Livestock Commission Company, Memphis.	Nov. 9, 1956
UTAH	
Utah Valley Auction Company, Spanish Fork.	May 24, 1956

Done at Washington, D. C., this 17th day of January 1957.

[SEAL] H. E. REED,
Director, Livestock Division, Agricultural Marketing Service.

[F. R. Doc. 57-438; Filed, Jan. 22, 1957; 8:46 a. m.]

BROWNWOOD CATTLE AUCTION ET AL

POSTING OF STOCKYARDS

The Director of the Livestock Division, Agricultural Marketing Service, United States Department of Agriculture, has information that the livestock markets named below are stockyards as defined in section 302 of the Packers and Stockyards Act, 1921, as amended (7 U. S. C. 202), and should be made subject to the provisions of the act.

Brownwood Cattle Auction, Brownwood, Texas.
Eads & Cole Commission Company, Brownwood, Texas.
Calvert Commission Company, Calvert, Texas.
Cameron Livestock Auction, Cameron, Texas.
McDougal's Livestock Auction Barn, Comanche, Texas.
Evant Commission Company, Evant, Texas.
Hamilton Commission Company, Hamilton, Texas.
Lometa Commission Company, Lometa, Texas.
Falls County Livestock Auction, Marlin, Texas.
Taylor Commission Company, Taylor, Texas.
Temple Livestock Auction, Temple, Texas.
Leggott Livestock Auction, Waco, Texas.

Notice is hereby given, therefore, that the said Director, pursuant to authority delegated under the Packers and Stockyards Act, 1921, as amended (7 U. S. C. 181 et seq.), proposes to issue a rule designating the stockyards named above as posted

stockyards subject to the provisions of the act, as provided in section 302 thereof.

Any person who wishes to submit written data, views, or arguments concerning the proposed rule may do so by filing them with the Director, Livestock Division, Agricultural Marketing Service, United States Department of Agriculture, Washington 25, D. C., within 15 days after publication hereof in the FEDERAL REGISTER.

Done at Washington, D. C., this 17th day of January, 1957.

[SEAL] H. E. REED,
Director, Livestock Division, Agricultural Marketing Service.

[F. R. Doc. 57-439; Filed, Jan. 22, 1957; 8:46 a. m.]

Office of the Secretary

NEBRASKA, UTAH, AND WYOMING

DISASTER ASSISTANCE; DELINEATION OF DROUGHT AREAS

Pursuant to Public Law 875, 81st Congress, the President determined on July 19, 1956, that a major disaster occasioned by drought existed in the State of Nebraska; the President determined on June 15, 1956, that a major disaster occasioned by drought existed in the State of Utah, and the President also determined on October 30, 1956, that a major disaster occasioned by drought existed in the State of Wyoming.

Pursuant to the authority delegated to me by the Administrator, Federal Civil Defense Administration (18 F. R. 4609; 19 F. R. 2148, 5364), and for the purposes of section 2 (d) of Public Law 38, 81st Congress, as amended by Public Law 115, 83d Congress, and section 301 of Public Law 480, 83d Congress, the following counties were determined on January 11, 1957, to be affected by the abovementioned major disasters:

Nebraska: Phelps, Fillmore.

Utah: That portion of Utah County lying in Cedar Valley.

Wyoming: That area in Natrona County which is bounded on the south by the CB & Q Railroad from Casper west to county line, and on the east by Highway 87 and north to county line.

That area in Converse County lying north of Highway 26 and south of an east to west line across the county intersecting the source of Box Creek; also the small area of Converse County south and east of Highway 20.

Done at Washington, D. C., this 17th day of January 1957.

[SEAL] TRUE D. MORSE,
Acting Secretary.

[F. R. Doc. 57-455; Filed, Jan. 22, 1957; 8:49 a. m.]

KANSAS AND WYOMING

DISASTER ASSISTANCE; DELINEATION OF DROUGHT AREAS

Pursuant to Public Law 875, 81st Congress, the President determined on August 26, 1954, that a major disaster occasioned by drought existed in the State of Kansas; and the President determined on October 30, 1956, that a major disaster occasioned by drought existed in the State of Wyoming.

Pursuant to the authority delegated to me by the Administrator, Federal Civil Defense Administration (18 F. R. 4609; 19 F. R. 2148, 5364), and for the purposes of section 2 (d) of Public Law 38, 81st Congress, as amended by Public Law 115, 83d Congress, and section 301 of Public Law 480, 83d Congress, the following areas were determined on January 7, 1957, to be affected by the abovementioned major disasters:

Kansas: Six townships in Riley County: Bale, Madison, Seven Mile, Sherman, Grant, and Wild Cat

Wyoming: That part of Converse County lying south of Highway 87 from the Platte County line to Douglas and then south of the North Platte River from Douglas west to the Converse County line

Done at Washington, D. C., this 17th day of January 1957.

[SEAL] TRUE D. MORSE,
Acting Secretary.

[F. R. Doc. 57-456; Filed, Jan. 22, 1957; 8:49 a. m.]

Rural Electrification Administration

[Administrative Order T-925]

NORTH CAROLINA

AMENDMENT TO LOAN ANNOUNCEMENT

OCTOBER 1, 1956.

I hereby amend:

(a) Administrative Order No. T-741, dated December 19, 1955, by rescinding the loan of $443,000 therein made for "Guilford Telephone Company—North Carolina 524-A Guilford College."

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57-457; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T-926]

OREGON

LOAN ANNOUNCEMENT

OCTOBER 2, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Beaver Creek Co-operative Telephone Company, Oregon 526-A Beaver Creek[1]	$193,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57-458; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T-927]

TEXAS

LOAN ANNOUNCEMENT

OCTOBER 4, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Etex Telephone Cooperative, Inc., Texas 572-B Gilmer	$126,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57-459; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T-928]

MINNESOTA

LOAN ANNOUNCEMENT

OCTOBER 4, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Halstad Telephone Company, Minnesota 555-B Halstad	$91,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57-460; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T-929]

MISSOURI

LOAN ANNOUNCEMENT

OCTOBER 16, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Chariton Valley Telephone Corporation, Missouri 535-D Bucklin	$699,000

[SEAL] R. G. ZOOK,
Acting Administrator.

[F. R. Doc. 57-461; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T-930]

TEXAS

LOAN ANNOUNCEMENT

OCTOBER 17, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following

designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Cap Rock Rural Telephone Cooperative, Inc., Texas 564–C Spur	$98,000

[SEAL] R. G. ZOOK,
Acting Administrator.

[F. R. Doc. 57–462; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T–931]

SOUTH DAKOTA

AMENDMENT TO LOAN ANNOUNCEMENT

OCTOBER 22, 1956.

Inasmuch as (1) Independent Telephone, Inc.—South Dakota 510–A & B has transferred its assets and liabilities to Sully Buttes Telephone Cooperative, Inc.—South Dakota 522, and Sully Buttes Telephone Cooperative, Inc.—South Dakota 522 has assumed the indebtedness to the United States of America, of Independent Telephone, Inc.—South Dakota 510–A & B, arising out of loans made by the United States of America pursuant to the Rural Electrification Act of 1936, as amended, and (2) Independent Telephone, Inc.—South Dakota 510–A & B, with the consent of the United States of America, has assigned to Sully Buttes Telephone Cooperative—South Dakota 522, and Sully Buttes Telephone Cooperative, Inc.—South Dakota 522 has accepted the assignment of the rights and obligations of Independent Telephone, Inc.—South Dakota 510–A & B arising out of loans contracted to be made by the United States of America pursuant to the Rural Electrification Act of 1936, as amended, I hereby amend:

(a) Administrative Order No. T–77, dated October 23, 1951, by changing the project designation appearing therein as "Independent Telephone, Inc.—South Dakota 510–A" in the amount of $640,000; and, Administrative Order No. T–167, dated July 16, 1952, by changing the project designation appearing therein as "Independent Telephone, Inc.—South Dakota 510–B" in the amount of $96,000 to read "Sully Buttes Telephone Cooperative, Inc.—South Dakota 522 TP1 (Independent Telephone, Inc.—South Dakota 510–A and B)" in the amount of $662,000 and "Sully Buttes Telephone Cooperative, Inc.—South Dakota 522 TA1 (Independent Telephone, Inc.—South Dakota 510–A and B)" in the amount of $74,000.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–463; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T–932]

ARKANSAS

LOAN ANNOUNCEMENT

OCTOBER 25, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Allied Telephone Company, Arkansas 518–B Little Rock	$235,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–464; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T–933]

NORTH DAKOTA

LOAN ANNOUNCEMENT

OCTOBER 25, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Bowman-Slope Rural Telephone Mutual Aid Corporation, North Dakota 520–B Bowman	$160,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–465; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T–934]

TEXAS

LOAN ANNOUNCEMENT

OCTOBER 31, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Garrison Telephone Co., Inc., Texas 604–A West Columbia	[1] $364,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–466; Filed, Jan. 22, 1957; 8:50 a. m.]

[Administrative Order T–935]

CALIFORNIA

LOAN ANNOUNCEMENT

NOVEMBER 2, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Tuolumne Telephone Company, California 518–A Tuolumne	[1] $202,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–467; Filed, Jan. 22, 1957; 8:51 a. m.]

[Administrative Order T–936]

MINNESOTA

LOAN ANNOUNCEMENT

NOVEMBER 2, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Scott-Rice Telephone Company, Minnesota 541–A Prior Lake	[1] $389,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–468; Filed, Jan. 22, 1957; 8:51 a. m.]

[Administrative Order T–937]

ILLINOIS

AMENDMENT TO LOAN ANNOUNCEMENT

NOVEMBER 7, 1956.

I hereby amend:

(a) Administrative Order No. T–658, dated August 12, 1955, by rescinding the loan of $339,000 therein made for "Adams Telephone Cooperative—Illinois 518–C Adams."

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–469; Filed, Jan. 22, 1957; 8:51 a. m.]

[Administrative Order T–938]

WISCONSIN

LOAN ANNOUNCEMENT

NOVEMBER 7, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Dickeyville Telephone Corporation, Wisconson 567–A Dickeyville	[1] $100,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–470; Filed, Jan. 22, 1957; 8:51 a. m.]

[Administrative Order T-939]

MAINE

LOAN ANNOUNCEMENT

NOVEMBER 9, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
The Union River Telephone Company 505–A Union River	[1] $189,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–471; Filed, Jan. 22, 1957; 8:51 a. m.]

[Administrative Order T-940]

IOWA

LOAN ANNOUNCEMENT

NOVEMBER 9, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Brooklyn Mutual Telephone Company, Iowa 555–A Brooklyn	[1] $292,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–472; Filed, Jan. 22, 1957; 8:51 a. m.]

[Administrative Order T-941]

LOUISIANA

LOAN ANNOUNCEMENT

NOVEMBER 9, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
St. Helena Telephone and Telegraph, Inc., Louisiana 522–A Greensburg	[1] $230,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–473; Filed, Jan. 22, 1957; 8:52 a. m.]

[Administrative Order T-942]

MISSOURI

LOAN ANNOUNCEMENT

NOVEMBER 15, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Eastern Missouri Telephone Company, Missouri 521–B Silex	$259,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–474; Filed, Jan. 22, 1957; 8:52 a. m.]

[Administrative Order T-943]

MISSOURI

LOAN ANNOUNCEMENT

NOVEMBER 15, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Liberal Telephone Company, Missouri 565–A Liberal	[1] $202,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–475; Filed, Jan. 22, 1957; 8:52 a. m.]

[Administrative Order T-944]

WISCONSIN

LOAN ANNOUNCEMENT

NOVEMBER 15, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Boscobel Telephone Company, Wisconsin 563–A Boscobel	[1] $813,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–476; Filed, Jan. 22, 1957; 8:52 a. m.]

[Administrative Order T-945]

KENTUCKY

LOAN ANNOUNCEMENT

NOVEMBER 16, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Brandenburg Telephone Company, Kentucky 524–E Brandenburg	$732,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–477; Filed, Jan. 22, 1957; 8:52 a. m.]

[Administrative Order T-946]

MONTANA

LOAN ANNOUNCEMENT

NOVEMBER 19, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Blackfoot Telephone Cooperative Association, Inc., Montana 517–B Blackfoot	$48,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–478; Filed, Jan. 22, 1957; 8:52 a. m.]

[Administrative Order 9-947]

TENNESSEE

LOAN ANNOUNCEMENT

NOVEMBER 21, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Loretto Telephone Company, Tennessee 557–A Loretto	[1] $550,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–479; Filed, Jan. 22, 1957; 8:53 a. m.]

[Administrative Order T-948]

TEXAS

LOAN ANNOUNCEMENT

NOVEMBER 21, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Clifton Telephone Company, Texas 587–B Clifton	$157,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–480; Filed, Jan. 22, 1957; 8:53 a. m.]

[Administrative Order T-949]

GEORGIA

LOAN ANNOUNCEMENT

NOVEMBER 27, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Plant Telephone & Power Company, Inc., Georgia 550–B Plant	$315,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–481; Filed, Jan. 22, 1957; 8:53 a. m.]

[Administrative Order T-950]

MAINE

LOAN ANNOUNCEMENT

NOVEMBER 29, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Unity Telephone Company, Maine 506–B Unity	$121,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–482; Filed, Jan. 22, 1957; 8:53 a. m.]

[Administrative Order T-951]

WISCONSIN

LOAN ANNOUNCEMENT

NOVEMBER 29, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Cream Valley Telephone Company, Wisconsin 526–D Cream Valley	$146,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–483; Filed, Jan. 22, 1957; 8:53 a. m.]

[Administrative Order T-952]

TEXAS

LOAN ANNOUNCEMENT

NOVEMBER 29, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Caldwell County Telephone Company, Texas 605–A Dale	[1] $394,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–484; Filed, Jan. 22, 1957; 8:52 a. m.]

[Administrative Order T-953]

NORTH DAKOTA

LOAN ANNOUNCEMENT

DECEMBER 5, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Souris River Telephone Mutual Aid Corporation, North Dakota 524–B Souris River	$2,011,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–485; Filed, Jan. 22, 1957; 8:53 a. m.]

[Administrative Order T-954]

KANSAS

LOAN ANNOUNCEMENT

DECEMBER 5, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
The Assaria Telephone Exchange, Inc., Kansas 526–A Assaria	[1] $135,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–486; Filed, Jan. 22, 1957; 8:54 a. m.]

[Administrative Order T-955]

GEORGIA

LOAN ANNOUNCEMENT

DECEMBER 7, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Ellijay Telephone Company, Georgia 516–C Ellijay	$125,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–487; Filed, Jan. 22, 1957; 8:54 a. m.]

[Administrative Order T-956]

KENTUCKY

LOAN ANNOUNCEMENT

DECEMBER 7, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Harold Telephone Company, Inc., Kentucky 534–B Harold	$37,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–488; Filed, Jan. 22, 1957; 8:54 a. m.]

[Administrative Order T-957]

OREGON

LOAN ANNOUNCEMENT

DECEMBER 11, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Lincoln-Tillamook Telephone Company, Oregon 518–A Lincoln	[1] $1,025,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–489; Filed, Jan. 22, 1957; 8:54 a. m.]

[Administrative Order T-958]

WASHINGTON

LOAN ANNOUNCEMENT

DECEMBER 11, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Cohassett Beach Telephone Company, Washington 504–D Cohassett	$72,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–490; Filed, Jan. 22, 1957; 8:54 a. m.]

[Administrative Order T-959]

MISSOURI

LOAN ANNOUNCEMENT

DECEMBER 11, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Verona Telephone Company, Missouri 553–B Verona	$134,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–491; Filed, Jan. 22, 1957; 8:54 a. m.]

[Administrative Order T–960]

KANSAS

LOAN ANNOUNCEMENT

DECEMBER 11, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Reno Telephone Association, Inc., Kansas 545–E Reno	$90,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–492; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–961]

GEORGIA

LOAN ANNOUNCEMENT

DECEMBER 14, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Coastal Utilities, Inc., Georgia 543–B Coastal	$321,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–493; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–962]

KANSAS

LOAN ANNOUNCEMENT

DECEMBER 14, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Gorham Telephone Company, Kansas 562–B Gorham	$58,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–494; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–963]

NEW HAMPSHIRE

LOAN ANNOUNCEMENT

DECEMBER 14, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Chester Telephone Company, New Hampshire 502–A Chester	[1] $220,000

[1] Simultaneous allocation and loan.

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–495; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–964]

SOUTH DAKOTA

LOAN ANNOUNCEMENT

DECEMBER 14, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Sanborn Telephone Cooperative, Inc., South Dakota 520–B Sanborn	$269,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–496; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–965]

TEXAS

LOAN ANNOUNCEMENT

DECEMBER 14, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Mid-State Telephone Company, Texas 563–B San Antonio	$139,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–497; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–966]

WYOMING

LOAN ANNOUNCEMENT

DECEMBER 18, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Union Telephone Company, Wyoming 505–A Union	[1] $420,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–498; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–967]

MISSOURI

LOAN ANNOUNCEMENT

DECEMBER 18, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Sheldon Telephone Company, Missouri 562–A Sheldon	[1] $223,000

[1] Simultaneous allocation and loan.

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–499; Filed, Jan. 22, 1957; 8:55 a. m.]

[Administrative Order T–968]

LOUISIANA

LOAN ANNOUNCEMENT

DECEMBER 18, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	*Amount*
Northwest Louisiana Telephone Company, Inc., Louisiana 510–B Cotton Valley	$106,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–500; Filed, Jan. 22, 1957; 8:56 a. m.]

[Administrative Order T–969]

TEXAS

LOAN ANNOUNCEMENT

DECEMBER 18, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as

amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
The Rocksprings and Nueces Canyon Telephone Company, Texas 558–B Rocksprings	$44,000

[SEAL] DAVID A. HAMIL,
Administrator.

[F. R. Doc. 57–501; Filed, Jan. 22, 1957; 8:56 a. m.]

[Administrative Order T–970]

TENNESSEE

LOAN ANNOUNCEMENT

DECEMBER 20, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Highland Telephone Cooperative, Inc., Tennessee 554–B Highland	$286,000

[SEAL] FRED H. STRONG,
Acting Administrator.

[F. R. Doc. 57–502; Filed, Jan. 22, 1957; 8:56 a. m.]

[Administrative Order T–971]

SOUTH CAROLINA

LOAN ANNOUNCEMENT

DECEMBER 21, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Hargray Telephone Company, Incorporated, South Carolina 529–A Hargray	[1] $538,000

[1] Simultaneous allocation and loan.

[SEAL] J. K. O'SHAUGHNESSY,
Acting Administrator.

[F. R. Doc. 57–503; Filed, Jan. 22, 1957; 8:56 a. m.]

[Administrative Order T–972]

IOWA

LOAN ANNOUNCEMENT

DECEMBER 21, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Iowa-Illinois Telephone Company, Iowa 556–A Iowa-Illinois	[1] $5,667,000

[1] Simultaneous allocation and loan.

[SEAL] J. K. O'SHAUGHNESSY,
Acting Administrator.

[F. R. Doc. 57–504; Filed, Jan. 22, 1957; 8:56 a. m.]

[Administrative Order T–973]

ARKANSAS

LOAN ANNOUNCEMENT

DECEMBER 26, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Allied Telephone Company, Arkansas 518–C Little Rock	$775,000

[SEAL] R. G. ZOOK,
Acting Administrator.

[F. R. Doc. 57–505; Filed, Jan. 22, 1957; 8:56 a. m.]

[Administrative Order T–974]

KANSAS

LOAN ANNOUNCEMENT

DECEMBER 26, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Cunningham Telephone Comham, Inc., Kansas 571–A Cunningham	[1] $354,000

[1] Simultaneous allocation and loan.

[SEAL] R. G. ZOOK,
Acting Administrator.

[F. R. Doc. 57–506; Filed, Jan. 22, 1957; 8:57 a. m.]

[Administrative Order T–975]

MONTANA

LOAN ANNOUNCEMENT

DECEMBER 26, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Project Telephone Company, Montana 519–A Project	[1] $280,000

[1] Simultaneous allocation and loan.

[SEAL] R. G. ZOOK,
Acting Administrator.

[F. R. Doc. 57–507; Filed, Jan. 22, 1957; 8:57 a. m.]

[Administrative Order T–976]

LOUISIANA

LOAN ANNOUNCEMENT

DECEMBER 26, 1956.

Pursuant to the provisions of the Rural Electrification Act of 1936, as amended, a loan contract bearing the following designation has been signed on behalf of the Government acting through the Administrator of the Rural Electrification Administration:

Loan designation:	Amount
Ringgold Telephone Company, Inc., Louisiana 502–C Ringgold	$103,000

[SEAL] R. G. ZOOK,
Acting Administrator.

[F. R. Doc. 57–508; Filed, Jan. 22, 1957; 8:57 a. m.]

DEPARTMENT OF COMMERCE

Federal Maritime Board

ATLANTIC AND GULF/WEST COAST OF CENTRAL AMERICA ET AL.

NOTICE OF CANCELLATION OF AGREEMENTS

Notice is hereby given that the Board by order dated January 9, 1957, approved the cancellation of the following described agreements pursuant to section 15 of the Shipping Act, 1916, 39 Stat. 733, 46 U. S. C. 814:

(1) Addenda Nos. 1 and 3 to Agreement No. 2743, between the member lines of the Atlantic and Gulf/West Coast of Central America and Mexico Conference and Pacific Steam Navigation Company and Grace Line Inc., respectively, covered the transportation of cargo under through bills of lading from Atlantic and Gulf ports of the United States to ports on the West Coast of Central America and Mexico, with transhipment at the Canal Zone;

(2) Agreement No. 7531, between Lykes Bros. Steamship Co., Inc., and Pacific Steam Navigation Company, covered the transportation of cargo under through bills of lading from Pacific Coast ports of Central America to Galveston and Houston, Texas, with transhipment at Cristobal, C. Z.;

(3) Agreement No. 7879, between Panama Canal Company and Roberto Motta Y Cia., Ltda., covered the transportation of cargo under through bills of lading from Pacific Coast ports of Central America to New York, with transhipment at Cristobal, C. Z.; and

(4) Agreement No. 7884, between Panama Canal Company and Compagnia Naviera Independencia, S. A., covered the transportation of cargo under through bills of lading from Pacific Coast ports of Central America to New York, with transhipment at Cristobal, C. Z.

Dated: January 17, 1957.

By order of the Federal Maritime Board.

[SEAL] GEO. A. VIEHMANN,
Assistant Secretary.

[F. R. Doc. 57–446; Filed, Jan. 22, 1957; 8:47 a. m.]

TRANS-PACIFIC PASSENGER CONFERENCE

NOTICE OF AGREEMENTS FILED FOR APPROVAL

Notice is hereby given that the following described agreements have been filed with the Board for approval pursuant to section 15 of the Shiping Act, 1916, 39 Stat. 733, 46 U. S. C. 814:

(1) Agreement No. 131–224, between the member lines of the Trans-Pacific Passenger Conference, modifies the basic conference agreement (No. 131, as amended) to provide (1) for a change in the designation of sub-agencies to agencies, and (2) that any agency which violates any rule adopted by the member companies governing agency arrangements shall be subject to a fine in the form of liquidated damages;

(2) Agreement No. 131–225, between the member lines of the Trans-Pacific Passenger Conference, modifies By-Law E–1 of the basic conference agreement (No. 131, as amended) to change the designations of sub-agent and subagency to agent and agency, respectively, and

(3) Agreement No. 131–226, between the member lines of the Trans-Pacific Passenger Conference, modifies By-Law H–1 of the basic conference agreement (No. 131, as amended) to change the designations of sub-agent and subagency to agent and agency, respectively.

Interested parties may inspect these agreements and obtain copies thereof at the Regulation Office, Federal Maritime Board, Washington, D. C., and may submit, within 20 days after publication of this notice in the FEDERAL REGISTER, written statements with reference to the agreements and their position as to approval, disapproval, or modification, together with request for hearing should such hearing be desired.

Dated: January 17, 1957.

By order of the Federal Maritime Board.

[SEAL] GEO. A. VIEHMANN,
Assistant Secretary.

[F. R. Doc. 57–447; Filed, Jan. 22, 1957; 8:47 a. m.]

ALASKA FREIGHT LINES, INC.

NOTICE OF INVESTIGATION AND OF HEARING REGARDING PROPOSED REVISED TARIFF, F. M. B. F–NO. 4 AND ITEM 40 AND SOUTHBOUND RATES ON VEHICLES, ITEM 700

At a session of the Federal Maritime Board held at its Office in Washington, D. C., on the 25th day of April 1956 and December 21st 1956, A. D., respectively, the Board entered the following orders:

[Docket No. 793]

It appearing that there has been filed with the Federal Maritime Board a tariff naming local class and commodity rates between Seattle and Tacoma, Washington, on the one hand, and Anchorage, Fairbanks, Palmer, Seward, Valdez, Big Delta, Eielson A. F. B., Elmendorf A. F. B., Fort Richardson, and Ladd A. F. B., Alaska, on the other. The tariff applies in connection with through service, including one pickup and one delivery of each shipment within the corporate limits of the named points and was published to become effective April 26, 1956, and later, designated as follows:

Alaska Freight Lines, Inc.
Local Freight Tariff No. 4
F. M. B. F–No. 4
Cancelling U. S. M. C. F–No. 3

It appearing that a protest dated April 16, 1956, has been received from Coastwise Line, an established common carrier by water operating a regular berth service directly competitive with the operation covered by Alaska Freight Lines Tariff F. M. B. F–No. 4, petitioning the Board to suspend and investigate the lawfulness and reasonableness of said schedule;

It further appearing that the respondent by sworn affidavit contends that in no instance are any of the rates set forth in the Alaska Freight Lines' tariff lower than the rates of competing carriers and no convincing evidence to the contrary has been adduced;

It further appearing that because of the seasonal nature of the trade suspension would result in virtual cancellation of the proposed tariff for the current season to the possible deteriment of Alaska Freight Lines, Inc., and shippers who may require the service provided by said carrier;

It further appearing that protestant has alleged that the provision of Item 40 of Tariff F. M. B. F–No. 4, granting certain allowances at origin stations to the shipping public who perform their own pickup service, car unloading and terminal handling in lieu of carrier service, applicable only in connection with volume shipments moving under carload ratings and certain commodity rates at specified minimum weights, will result in undue discrimination against certain classes of shippers and against certain classes of commodities in violation of Sections 16 and 18 of the Shipping Act of 1916, as amended, and of the Intercoastal Shipping Act of 1933, as amended;

It further appearing that protestant has alleged that the rates set forth in said tariff are unreasonable in violation of Section 18 of the Shipping Act, 1916, as amended, and of the Intercoastal Shipping Act, 1933, as amended;

It further appearing that the lawfulness of said tariff has been put in issue;

It is ordered, That the petition dated April 16, 1956, on behalf of Coastwise Line, requesting suspension of Alaska Freight Lines, Inc., Tariff F. M. B. F–No. 4, be denied;

It is further ordered, That the Board enter upon an investigation and hearing as to the lawfulness of the provision of Item 40 and of the rates named in tariff designated as Alaska Freight Lines, Inc., Tariff No. 4, F. M. B. F–No. 4;

It is further ordered, That a copy of this order shall be forthwith served upon Alaska Freight Lines, Inc., and that said carrier be duly notified of the time and place of hearing herein ordered; and that notice of such hearing be published in the FEDERAL REGISTER."

[Docket No. 793 (Sub. 1)]

It appearing that there have been filed with the Federal Maritime Board the following tariff schedules to become effective as shown:

Alaska Freight Lines, Inc.

4th Rev. Page 10; Item 40, to F. M. B. F–No. 4.

3d Rev. Page 36; Item 700, to F. M. B. F–No. 4.

Effective December 24, 1956.

It further appearing that a protest against these amendments and a petition for suspension has been received from Coastwise Line;

It further appearing that said 4th Revised Page 10, Item 40 specifies allowances for services not performed by the carrier which are in apparent conflict with other provisions in this item and the tariff to which they are to be added;

It further appearing that the reduced rates on used or surplus trucks, or contractors' trucks are ambiguous and cause undue or unreasonable preference or advantage and unreasonable rates in violation of sections 16 and 18 of the Shipping Act, 1916, as amended;

It further appearing that investigation should be made to determine the lawfulness of such rates, charges, regulations and practices and the Board being of the opinion that the effective date of said schedules should be suspended, pending investigation into their lawfulness;

It is ordered, That the Board enter upon a hearing concerning the lawfulness of the rates, charges, regulations and practices stated in said schedules;

It is further ordered, That the operation of said schedules be, and they are hereby suspended and that the use of the rates, charges, regulations, and practices therein stated be, and they are hereby deferred until April 24, 1957, unless otherwise ordered by the Board;

It is further ordered, That no change shall be made in the rates, charges, regulations, and practices hereby deferred until this investigation and suspension proceeding has been disposed of, or until the period of suspension or any extension thereof has expired, unless otherwise authorized by special permission of the Board.

It is further ordered, That there shall be filed immediately with the Board by Alaska Freight Lines, Inc., consecutively numbered revised pages to the afore-listed schedules, which revised pages shall bear no effective date; shall reproduce the portion of this order wherein the suspended schedules are described; shall state that said schedules are suspended and that the rates, charges, regulations and practices therein stated may not be used until the 24th day of April 1957, unless otherwise authorized by special permission of the Board; and that the rates, charges, regulations and practices hereby deferred may not be changed during the period of suspension or any extension thereof, unless otherwise authorized by special permission of the Board; and that this proceeding be consolidated with the order in Docket No. 793; and

It is further ordered, That copies of this order shall be filed with said tariff in the Office of the Federal Maritime Board; that a copy hereof shall be forthwith served upon Alaska Freight Lines, Inc., and said carrier be, and is hereby, made respondent in this proceeding; that said carrier be duly notified of the time and place of the hearing herein ordered and that notice of such hearing be published in the FEDERAL REGISTER.

Pursuant to the above orders, notice is hereby given that a public hearing in these consolidated proceedings will be held before an examiner of the Board's Hearing Examiners' Office at a time and place to be hereafter determined and announced by the Chief Examiner. The hearing will be conducted in accordance with the Board's Rules of Practice and Procedure, and a recommended decision will be issued by the examiner.

All persons (including individuals, corporations, associations, firms, partnerships, and public bodies), having an interest in these proceedings and desiring to intervene therein, should notify the Secretary of the Board on or before February 25, 1957, and should file petitions for leave to intervene in accordance with Rule 5 (n) of said rules of practice and procedure.

Dated: January 17, 1957.

By Order of the Federal Maritime Board.

GEO. A. VIEHMANN,
Assistant Secretary.

[F. R. Doc. 57–513; Filed, Jan. 22, 1957; 8:58 a. m.]

Office of the Secretary

RAYMOND E. HEBERT

REPORT OF APPOINTMENT AND STATEMENT OF FINANCIAL INTERESTS

Report of appointment and statement of financial interests required by section 710 (b) (6) of the Defense Production Act of 1950, as amended.

Report of Appointment

1. Name of appointee: Mr. Raymond E. Hebert.
2. Employing agency: Department of Commerce, Business and Defense Services Administration.
3. Date of appointment: January 11, 1957.
4. Title of position: Director, Water & Sewerage Industry and Utilities Division.
5. Name of private employer: Filtration Equipment Corporation, Rochester, New York.

CARLTON HAYWARD,
Director of Personnel.

DECEMBER 18, 1956.

Statement of Financial Interests

6. Names of any corporations of which the appointee is an officer or director or within 60 days preceding appointment has been an officer or director, or in which the appointee owns or within 60 days preceding appointment has owned any stocks, bonds, or other financial interests; any partnerships in which the appointee is, or within 60 days preceding appointment was, a partner; and any other businesses in which the appointee owns, or within 60 days preceding appointment has owned, any similar interest.

Filtration Equipment Corporation.
R. E. Hebert & Co., Inc.
Hebert Construction Corporation.
Hebert & Co.
Blaw-Knox Corporation.
Johns-Manville Sales Corporation.
Eastman Kodak Co.
Diana Stores, Inc.
Lincoln Rochester Trust Corporation.
Petaco Mining Co.
Bank deposits.

RAYMOND E. HEBERT.

JANUARY 14, 1957.

[F. R. Doc. 57-443; Filed, Jan. 22, 1957; 8:47 a. m.]

ROBERT W. NISSEN

STATEMENT OF CHANGES IN FINANCIAL INTERESTS

In accordance with the requirements of section 710 (b) (6) of the Defense Production Act of 1950, as amended, and Executive Order 10647 of November 28, 1955, the following changes have taken place in my financial interests as reported in the FEDERAL REGISTER of July 25, 1956, 21 F. R. 5596-97.

A. Deletions: None.
B. Additions: Kaiser Aluminum & Chemical Corporation.

This statement is made as of January 6, 1957.

ROBERT W. NISSEN.

JANUARY 6, 1957.

[F. R. Doc. 57-444; Filed, Jan. 22, 1957; 8:47 a. m.]

CIVIL AERONAUTICS BOARD

[Docket No. 8427]

MIAMI AIRLINE, INC., ET AL.

R. W. DUFF,
AND
EFFIE VIRGINIA DUFF

ENFORCEMENT PROCEEDING

NOTICE OF POSTPONEMENT OF HEARING

Notice is hereby given that the hearing in the above-entitled proceeding now assigned to be held on January 24, 1957, is hereby postponed to February 4, 1957, at 10:00 a. m., e. s. t., in Room E-210, Temporary Building No. 5, Sixteenth Street and Constitution Avenue NW., Washington, D. C., before Examiner Walter W. Bryan.

Dated at Washington, D. C., January 17, 1957.

[SEAL] FRANCIS W. BROWN,
Chief Examiner.

[F. R. Doc. 57-551; Filed, Jan. 22, 1957; 8:53 a. m.]

FEDERAL POWER COMMISSION

[Docket No. G-11710]

THE TEXAS CO. ET AL.

ORDER SUSPENDING PROPOSED CHANGES IN RATES

Erratum notice (January 15, 1957); order suspending proposed changes in rates (issued January 9, 1957).

Under "Rate Schedule Designation" change "Supplement No. 5 to Phillips FPC Gas Rate Schedule No. 133" to read "Supplement No. 5 to Texas FPC Gas Rate Schedule No. 133".

[SEAL] LEON M. FUQUAY,
Secretary.

[F. R. Doc. 57-429; Filed, Jan. 22, 1957; 8:45 a. m.]

[Project No. 1925]

FRESNO IRRIGATION DISTRICT

NOTICE OF APPLICATION FOR LICENSE

Public notice is hereby given that application has been filed under the Federal Power Act (16 U. S. C. 791a-825r) by the Fresno Irrigation District, of Fresno, California, for license for proposed water power Project No. 1925 to be located on Kings River in Fresno County, California, at Pine Flat Dam and Reservoir, owned by the United States and operated by the Corps of Engineers for flood control, irrigation, and supplemental upstream water power storage, and affecting lands of the United States. The proposed project would consist of a powerhouse immediately below the Dam with an installed capacity of three 50,000 kilowatt generating units direct-connected to three hydraulic turbines. Penstocks would be extended downstream from the Dam to the powerhouse and trash racks, gates, and appurtenant facilities, including a switchyard, would be installed at the Dam.

A preliminary permit for the proposed project was issued December 8, 1953 to Fresno Irrigation District for a period of two years from the date of issuance. Two six-month extensions of the period of the permit were granted.

Protests or petitions to intervene may be filed with the Federal Power Commission, Washington 25, D. C., in accordance with the rules of practice and procedure of the Commission (18 CFR 1.8 or 1.10). The last day upon which protests or petitions may be filed is February 25, 1957. The application is on file with the Commission for public inspection.

[SEAL] LEON M. FUQUAY,
Secretary.

JANUARY 15, 1957.

[F. R. Doc. 57-430; Filed, Jan. 22, 1957; 8:45 a. m.]

[Docket Nos. 11475, 11500]

CHAS. T. MCCORD, JR., ET AL.

NOTICE SETTING DATE OF CONSOLIDATED HEARING

Chas. T. McCord, Jr., et al., Docket No. G-11475; Texas Eastern Transmission Corporation, Docket No. G-11500.

Take notice that, pursuant to the authority contained in and subject to the jurisdiction conferred upon the Federal Power Commission by sections 7 and 15 of the Natural Gas Act, and the Commission's rules of practice and procedure, a hearing will be held on February 5, 1957, at 9:30 a. m., e. s. t., in a hearing room of the Federal Power Commission, 441 G Street NW., Washington, D. C., concerning the matters involved in and the issues presented by the respective applications filed on November 13, 1956 and November 19, 1956, respectively in the above-entitled matters: *Provided, however,* That the Commission may, after a non-contested hearing, dispose of the proceedings pursuant to § 1.30 (c) (1) or (2) of the Commission's rules of practice and procedure. Under the procedure herein provided for, unless otherwise advised, it will be unnecessary for Applicants to appear or be represented at the hearing.

Due notice of the applications filed herein has been published in the FEDERAL REGISTER on November 30, 1956 (21 F. R. 9390-1). No protests or petitions to intervene have been received.

[SEAL] LEON M. FUQUAY,
Secretary.

JANUARY 16, 1957.

[F. R. Doc. 57-431; Filed, Jan. 22, 1957; 8:45 a. m.]

[Docket No. G-11277]

TENNESSEE GAS TRANSMISSION CO.

NOTICE OF CONTINUANCE OF HEARING

Take notice that the hearing in the above-designated matter now scheduled for January 21, 1957, is hereby continued until 9:30 a. m. on January 22, 1957, to be held in a hearing room of the Federal Power Commission, 441 G Street NW., Washington, D. C.

[SEAL] LEON M. FUQUAY, *Secretary.*

JANUARY 16, 1957.

[F. R. Doc. 57-432; Filed, Jan. 22, 1957; 8:45 a. m.]

SECURITIES AND EXCHANGE COMMISSION

[File No. 24SF-2030]

POPULAR DRUG STORES, INC.

ORDER TEMPORARILY SUSPENDING EXEMPTION, STATEMENT OF REASONS THEREFOR, AND NOTICE OF OPPORTUNITY FOR HEARING

JANUARY 16, 1957.

I. Popular Drug Stores, Inc., 139 North Virginia Street, Reno, Nevada, filed with the Commission on February 23, 1955, a Notification on Form 1-A and an Offering Circular relative to a proposed offering of 200,000 shares at $1 per share, for the purpose of obtaining an exemption from the registration requirements of the Securities Act of 1933, as amended, pursuant to the provisions of section 3 (b) thereof and Regulation A promuglated thereunder.

II. The Commission has reasonable cause to believe that the terms and conditions of Regulation A have not been complied with by the subject corporation in that it has failed to file 2-A reports of sales as required by Rule 224 under Regulation A and has ignored requests by the Commission's staff for such reports.

III. *It is ordered,* Pursuant to Rule 223 (a) of the general rules and regulations under the Securities Act of 1933, as amended, that the exemption under Regulation A be, and it hereby is, temporarily suspended.

Notice is hereby given, that any persons having any interest in the matter may file with the Secretary of the Commission a written request for hearing; that, within 20 days after receipt of such request, the Commission will, or at any time upon its own motion may, set the matter down for hearing at a place designated by the Commission for the purpose of determining whether this order of suspension should be vacated or made permanent, without prejudice, however, to the consideration and presentation of additional matters at the hearing; and that notice of the time and place of said hearing will be promptly given by the Commission.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 57-434; Filed, Jan. 22, 1957; 8:45 a. m.]

[24 FM-1060]

SHARRON OIL & GAS COMPANY, INC.

ORDER TEMPORARILY SUSPENDING EXEMPTION, STATEMENT OF REASONS THEREFOR, AND NOTICE OF OPPORTUNITY FOR HEARING

JANUARY 16, 1957.

I. Sharron Oil & Gas Company, Inc., a Colorado corporation, filed with the Commission on October 29, 1956, a notification on Form 1-A and an Offering Circular relating to an offering of 8,750,000 shares of its 1 cent par common stock at 1 cent per share for an aggregate offering price of $87,500, for the purpose of obtaining an exemption from the registration requirements of the Securities Act of 1933, as amended, pursuant to the provisions of section 3 (b) thereof and Regulation A promulgated thereunder.

II. The Commission has reasonable grounds to believe that:

A. The terms and conditions of Regulation A have not been complied with in respect of such notification in that:

1. Item 9 (a) fails to disclose the required information relating to the issuer's prior sales of unregistered stock particularly the consideration received from such sales; and

2. Item 9 (c) fails to specify and assert any exemption from registration for the offering and sale of such prior unregistered stock; and

3. Four copies of the provisions of the governing instruments defining the rights of holders of the equity securities proposed to be offered under the notification were not filed as an exhibit as required by Item 11 (a); and

4. Restrictions in the form of escrow agreements or otherwise were not imposed upon shares issued to directors, officers, and promoters of the issuer.

5. A promoter, affiliate and predecessor of the issuer was not identified as required by Item 2; and

6. There is a conflict between Item 8 (b) and Item 7 with respect to the sale of the issuer's stock through the underwriters.

B. The Offering Circular contains untrue statements of material facts and omits to state material facts necessary in order to make the statements made, in light of the circumstances under which they are made, not misleading particularly with respect to the following:

1. The financial information contained in the Offering Circular does not comply with the form specified by paragraphs 11 (a) (1) and (2) or 11 (b) of Schedule I under Rule 256 of Regulation A;

2. The issuer's financial statement is misleading in showing its unissued stock as an asset;

3. It is stated in the text of the Offering Circular that certain dry holes are located at various distances from the issuer's properties whereas a plat attached to the Offering Circular shows such dry holes to be closer to the issuer's properties;

4. No disclosure is made as to the depths to which proposed wells on the issuer's properties will be drilled;

5. No reasonable basis exists for the statement that the maximum ultimate oil recoverable per well from wells to be drilled on the issuer's properties will amount to approximately 250,000 barrels; and

6. Information relating to a number of wells on properties adjacent to the issuer's leases is not given.

III. *It is ordered,* Pursuant to Rule 261 of the general rules and regulations under the Securities Act of 1933, as amended, that the exemption under Regulation A be, and it hereby is, temporarily suspended.

Notice is hereby given to Sharron Oil & Gas Company, Inc. and to any person having any interest in the matter that this order has been entered, that the Commission upon receipt of a written request within thirty days after the entry of this order will, within twenty days after the receipt of such request, set the matter down for hearing at a place to be designated by the Commission for the purpose of determining whether to vacate the order or to enter an order permanently suspending the exemption without prejudice, however, to the consideration and presentation of additional matters at the hearing, that if no hearing is requested and none is ordered by the Commission, the order shall become permanent on the thirtieth day after its entry and shall remain in effect unless or until it is modified or vacated by the Commission, and that notice of the time and place for any hearing will promptly be given by the Commission.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 57-435; Filed, Jan. 22, 1957; 8:45 a. m.]

[File No. 24FW-1063]

OUACHITA MINING CO., INC.

ORDER TEMPORARILY SUSPENDING EXEMPTION, STATEMENT OF REASONS THEREFOR, AND NOTICE OF OPPORTUNITY FOR HEARING

JANUARY 11, 1957.

I. Ouachita Mining Company, Inc. ("Issuer"), an Arkansas corporation of Mena, Arkansas, having filed with the Commission on November 13, 1956 a notification on Form 1-A and an Offering Circular, and subsequently having filed an amendment thereto on November 29, 1956, relating to a proposed offering of 20,000 shares, $1.00 par value, at $2.50 per share, for the purpose of obtaining an exemption from the registration requirements of the Securities Act of 1933, as amended, pursuant to the provisions of section 3 (b) thereof and Regulation A promulgated thereunder; and

II. The Commission having reasonable grounds to believe:

A. That the terms and conditions of Regulation A have not been complied with in that:

1. Four copies of the provisions of the governing instruments defining the rights of holders of the equity securities

proposed to be offered were not filed as an exhibit as required by Item 11 (a);

2. The response to Item 9 (a) (iii) does not give the respective considerations paid by various persons for 702,025 shares of unregistered stock issued to them;

3. No facts are presented to justify the statement in the notification that the net assets of the issuer amount to $755,500;

4. No information was related to support the statement that the issuer received $702,025 for the 702,025 shares which it issued to officers, directors, and other persons.

B. The Offering Circular contains untrue statements of material facts, and omits to state material facts necessary in order to make the statements made, in the light of the circumstances under which they are made, not misleading, particularly with respect to the following:

1. The financial information contained in the Offering Circular does not comply with the form specified in paragraphs 11 (a) (1) and (2) and paragraph 11 (b) of Schedule I under Rule 256 of Regulation A in that assets acquired in exchange for capital stock are carried at dollar amounts in the issuer's balance sheet in excess of identifiable cash costs to promoters, predecessor companies and other transferors;

2. Real and personal properties of the issuer which it acquired largely from its promoters, officers and directors are valued at $780,000.00 but no information is given respecting the considerations paid by the promoters, officers and directors for such properties prior to their transfer to the issuer;

3. The issuer represents that 23,000 lbs. of high grade free manganese ore which it obtained from its properties were sold for $628.00 but no disclosure is made concerning the cost of producing such ore and the number of tons required to be mined to produce the 23,000 lbs. of ore was not revealed;

4. The issuer represents that the officers and directors believe that "one continuous body of ore extends * * * over an area averaging eight miles wide and fifty-two miles long," whereas available geological evidence indicates that no such belief is factually justified.

C. The use of the Offering Circular in connection with the offering of the shares to which the notification relates would operate as a fraud and deceit upon the purchasers thereof.

III. *It is ordered*, Pursuant to Rule 261 (a) of the general rules and regulations under the Securities Act of 1933, as amended, that the exemption under Regulation A be, and it hereby is, temporarily suspended.

Notice is hereby given to Ouachita Mining Company, Inc., and to any person having any interest in the matter that this order has been entered, that the Commission upon receipt of a written request within thirty days after the entry of this order will, within twenty days after the receipt of such request, set the matter down for hearing at a place to be designated by the Commission for the purpose of determining whether to vacate the order or to enter an order permanently suspending the exemption without prejudice, however, to the consideration and presentation of additional matters at the hearing, that if no hearing is requested and none is ordered by the Commission, the order shall become permanent on the thirtieth day after its entry and shall remain in effect unless or until it is modified or vacated by the Commission, and that notice of the time and place for any hearing will be promptly given by the Commission.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 57-436; Filed, Jan. 22, 1957; 8:46 a. m.]

INTERSTATE COMMERCE COMMISSION

FOURTH SECTION APPLICATIONS FOR RELIEF

JANUARY 17, 1957.

Protests to the granting of an application must be prepared in accordance with Rule 40 of the general rules of practice (49 CFR 1.40) and filed within 15 days from the date of publication of this notice in the FEDERAL REGISTER.

LONG-AND-SHORT HAUL

FSA No. 33169: *Ingot lead from Herculaneum, Mo., to Baton Rouge and North Baton Rouge, La.* Filed by O. W. South, Jr., Agent, for interested rail carriers. Rates on lead, ingot or pig, carload from Herculaneum, Mo., to Baton Rouge and North Baton Rouge, La.

Grounds for relief: Short-line distance formula and circuity.

Tariff: Supplement 29 to Agent Spaninger's tariff I. C. C. 1548.

FSA No. 33170: *Fertilizer compounds from southwest to Mt. Vernon, Ind.* Filed by F. C. Kratzmeir, Agent, for interested rail carriers. Rates on fertilizer and fertilizer materials, carloads from points in Arkansas, Louisiana, Missouri, Oklahoma and Texas to Mt. Vernon, Ind.

Grounds for relief: Short-line distance formula and circuity.

Tariff: Supplement 186 to Agent Kratzmeir's I. C. C. 4112.

FSA No. 33171: *Sand from Berkeley Springs and Hancock, W. Va., to points in Alabama and Mississippi.* Filed by St. Louis-San Francisco Railway Company, Agent, for itself and other interested rail carriers. Rates on sand, ground or pulverized, carload from Berkeley Springs and Hancock, W. Va., to points in Alabama and Mississippi.

Grounds for relief: Short-line distance formula and circuity.

FSA No. 33172: *Substituted service, rail for motor, Erie and N. Y., N. H. & H. R. R.* Filed by The Eastern Central Motor Carrier's Association, Agent, for interested rail and motor carriers. Rates on freight loaded in highway truck trailers and transported on railroad flat cars between Hammond, Ind., and Boston, Mass.

Grounds for relief: Truck competition.

Tariff: Supplement 1 to The Eastern Central Motor Carriers Association, Inc., tariff MF-I. C. C. A-133.

FSA No. 33173: *Phosphatic fertilizer solution from Idaho and Utah to Montana.* Filed by The Union Pacific Railroad Company, for itself and other interested rail carriers. Rates on phosphatic fertilizer solution, tank-car load from Don, Idaho and Garfield, Utah to points in Montana.

Grounds for relief: Short-line distance formula and circuity.

Tariff: Supplement 40 to Union Pacific Railroad Company's I. C. C. 5415.

By the Commission.

[SEAL] HAROLD D. MCCOY, *Secretary.*

[F. R. Doc. 57-437; Filed, Jan. 22, 1957; 8:46 a. m.]